بنك أبوظبي الوطني

NBAD

Annual Report 2013

The Late Sheikh Zayed Bin Sultan Al Nahyan

First President of United Arab Emirates



His Highness Sheikh Khalifa Bin Zayed Al Nahyan

President of the United Arab Emirates and Ruler of Abu Dhabi



His Highness Lt. General Sheikh Mohamed Bin Zayed Al Nahyan

Crown Prince of Abu Dhabi and Deputy Supreme Commander of the UAE Armed Forces



Contents

2013-2018 Vision & Strategy ____ 9
Board of Directors, Committees and Senior Management ____ 13
NBAD at a Glance ____ 17
Chairman's Report to Shareholders ____ 21
Group Chief Executive Review to the Shareholders ____ 25
Consolidated Financial Statement ____ 43
- Independent Auditors' Report ____ 45
- Consolidated Statement of Financial Position ____ 46
- Consolidated Income Statement ____ 47
- Consolidated Statement of Comprehensive Income ____ 48
- Consolidated Statement of Changes in Equity ____ 49
- Consolidated Statement of Cash Flows ____ 50
- Notes to the Consolidated Financial Statements ____ 51

Risk Management & Basel II Pillar III Disclosures ____ 117
Corporate Governance Report ____ 145
Shareholders' Information ____ 161
Group Network ____ 165

2013-2018 Vision & Strategy

Vision Mission & Values

Our Mission & Values are the critical ingredients of a “one NBAD” customer value proposition

Vision

- *To be recognised as the World’s Best Arab Bank*

Mission

- *Be core to our chosen customers, helping them grow by providing exceptional products and services across our West-East Corridor and providing an environment to attract and develop exceptional and diverse talent*

Values

- *Put our customers at the forefront and “do the right things the right way”*
- *Value our people and foster great teamwork*
- *Respect our heritage and be loyal to our stakeholders*

Customer and Brand Value Proposition

- *Connected*
- *Relationship*
- *Insight*
- *Safety*
- *Service*

Our new mission to be core to our chosen customers will be built around 3 geographical pillars and will be achieved primarily through organic growth

1 *Home market*

Build the largest, safest and best performing bank first in UAE, and over time in GCC

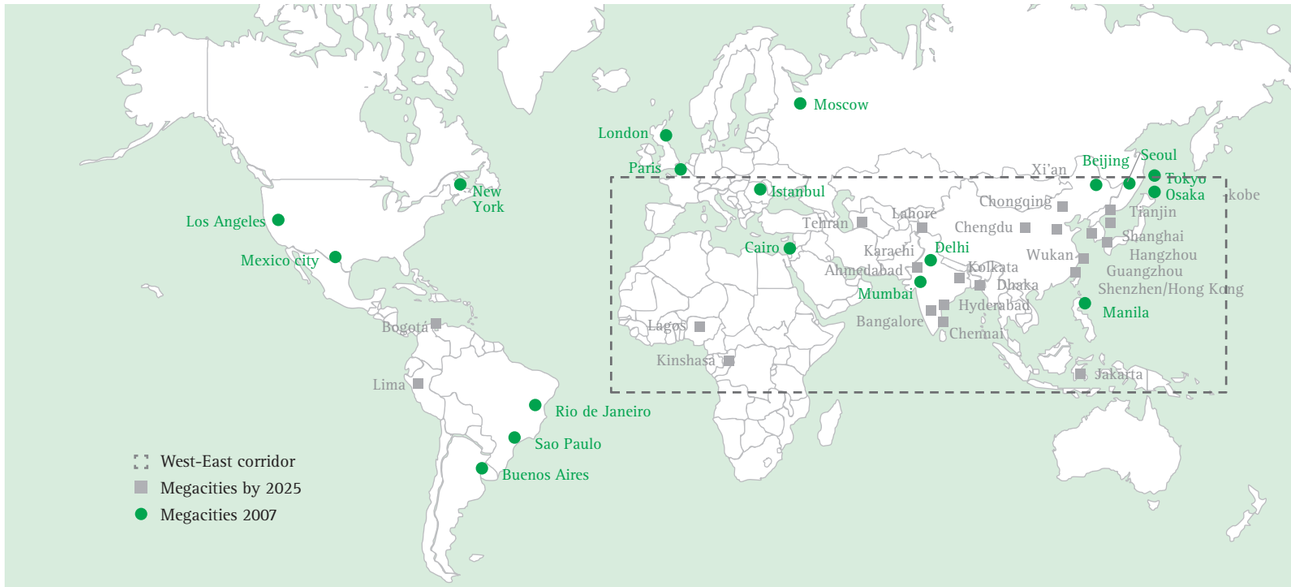
2 *Wholesale and Wealth network markets*

Deepen our Wholesale and Wealth network across the new West-East corridor & further integrate our existing European & North American platforms into this network

3 *New franchise markets*

Build 5 international bank franchises in the largest and fastest growing economies in the West-East corridor

West-East corridor is witnessing high growth and will have a higher concentration of megacities over the next 10-20 years



Our primary drivers are trade and investment flows across the West/East corridor:

- We want to bank the customers from within the corridor
- We want to bank customers located outside of the corridor who trade and invest inside the corridor
- We want to support our chosen UAE customers in London, Paris, Switzerland and Washington

Board of Directors & Senior Management

Board of Directors, Committees and Senior Management

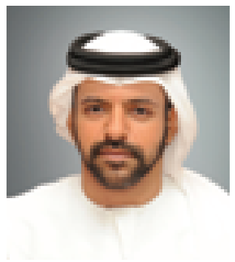
Board of Directors



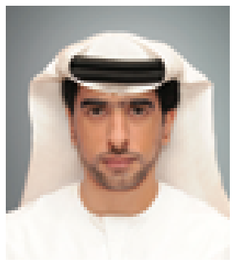
Chairman
H. E. Nasser Ahmed Alsowaidi



Deputy Chairman
Dr. Al Taher Musabah Al Kindi Al Marar



Member
Sheikh Mohammed Bin Saif Bin Mohammed Al Nahyan



Member
Sheikh Ahmed Mohammed Sultan Al Dhaheri



Member
H.E. Mohammed Omar Abdulla



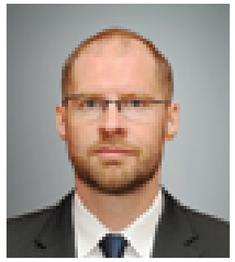
Member
H.E. Sultan Bin Rashed Al Dhaheri



Member
Mr. Hashim Fawwaz Al Kudsi



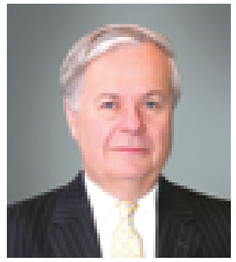
Member
Mr. Khalifa Sultan Al Suwaidi



Member
Mr. David Beau



Member
Mr. Matar Hamdan Al Ameri



Member
Mr. Michael H. Tomalin

Committees

Risk Management Committee
H.E. Nasser Ahmed Alsowaidi – Chairman
Dr. Al Taher Musabah Al Kindi Al Marar – member
Sheikh Mohammed Bin Saif Bin Mohammed Al Nahyan – member
Sheikh Ahmed Mohammed Sultan Al Dhaheri – member
H.E. Sultan Bin Rashed Al Dhaheri – member
Mr. Hashim Fawwaz Al Kudsi – member

Audit Committee
Mr. Matar Hamdan Al Ameri - Chairman
Mr. Khalifa Sultan Al Suwaidi - member
Mr. David Beau - member
Mr. Michael H. Tomalin - member

Corporate Governance and Nominations Committee
H.E. Mohammed Omar Abdullah – Chairman
Dr. Al Taher Musabah Al Kindi Al Marar - member
Mr. Khalifa Sultan Al Suwaidi - member
Mr. Matar Hamdan Al Ameri - member

Human Resources Committee
Sheikh Mohammed Bin Saif Bin Mohammed Al Nahyan - Chairman
H.E. Dr. Al Taher Musabah Al Kindi Al Marar - member
H.E. Mohammed Omar Abdullah – member
Mr. Khalifa Sultan Al Suwaidi - member
Mr. David Beau – member

Strategy and Transformation Committee
Sheikh Mohammed Bin Saif Bin Mohammed Al Nahyan - Chairman
H.E. Mohammed Omar Abdullah – member
Mr. Khalifa Sultan Al Suwaidi - member

Senior Management

Alex Thursby
Group Chief Executive Officer

Abdulla M. S. AbdulRaheem
Deputy Group Chief Executive Officer

Samer Abdelhaq
Senior Managing Director &
Group General Counsel Legal &
Compliance - Board Secretary

Mahmood Al Aradi
Senior Managing Director &
Head of Global Markets

Khalaf Al Dhaheri
Senior Managing Director &
Group Chief Operating Officer

Qamber Al Mulla
Senior Managing Director &
CEO of Gulf & International

Abdulla Al Otaiba
Senior Managing Director & Group Head of
Retail & Commercial - Gulf

Saif Al Shehhi
Senior Managing Director
Government of Abu Dhabi

Abhijit Choudhury
Senior Managing Director &
Group Chief Risk Officer

Ehab Hassan
Senior Managing Director &
Group Chief Human Resources Officer

Rüdiger Von Wedel
Senior Managing Director &
Head of Global Wealth

Malcolm Walker
Senior Managing Director &
Group Chief Audit Officer

Mark Yassin
Senior Managing Director &
Head of Global Banking

NBAD
at a glance

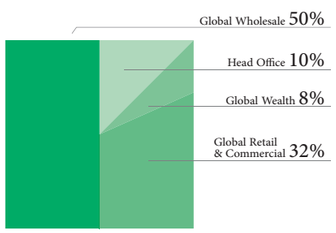
NBAD at a glance

Key Facts

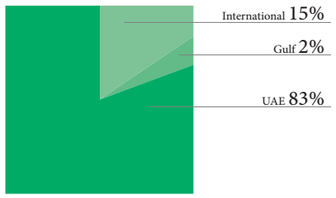
- Incorporated in 1968 to serve as Banker to the Emirate of Abu Dhabi
- Owned (70%) by Government of Abu Dhabi, via the Abu Dhabi Investment Council (ADIC)
- Listed on Abu Dhabi Securities Exchange (ADX) since its inception in November 2000 with a market capitalisation of over USD 16 billion
- Rated AA- or equivalent by the 3 major global rating agencies (rated 'Aa3' by Moody's, 'AA-' by Fitch & 'AA-' by S&P)
- One of the largest domestic networks with 126 branches & cash offices, 588 ATMs/CDMs & 8 Commercial Banking centers across the UAE
- Global presence across 17 countries

- Well diversified Financial Group – across businesses and geography
- Consistent profitability and value creation to shareholders
- 'Safest Bank in the Middle East' - highest rated bank in the Middle East (Global Finance) and amongst the top 20 commercial banks groups in the world (in terms of credit ratings)
- Well positioned for growth as global economy recovers
- Putting the client at the heart of the business
- Clear and focused strategy for growth
- Investing in the business - developing and growing our fee income generating business
- People focused - attracting, selecting and retaining top tier staff across all businesses

Revenue by Segment

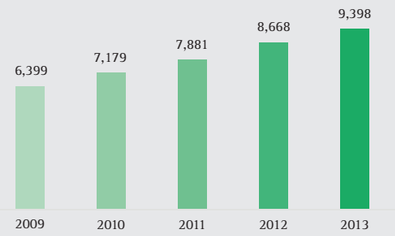


Revenue by Geography

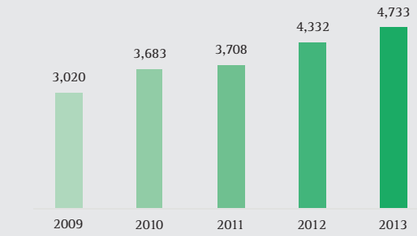


Key Financials

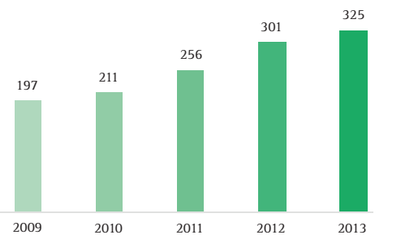
Operating income (AED mn)



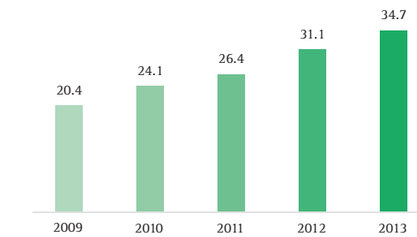
Net profit (AED mn)



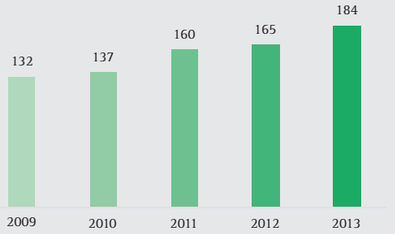
Assets (AED bn)



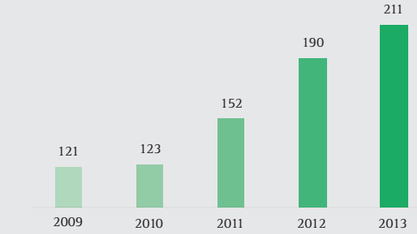
Equity (AED bn)



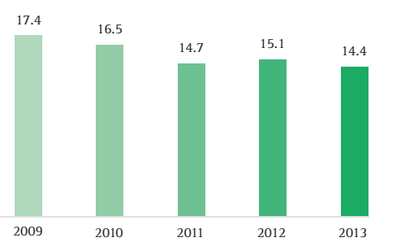
Loans and advances (AED bn)



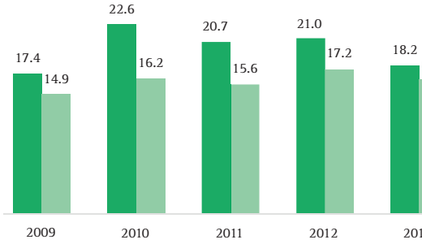
Customers' deposits (AED bn)



Return on average equity (%)



Capital adequacy (%)



Chairman's Report to Shareholders



Chairman's report to the shareholders

For the financial year 2013

On behalf of the Board of Directors of National Bank of Abu Dhabi (NBAD), I would like to commend and thank our senior management and staff for their efforts in enabling the group to produce solid results in a year in which the global economic environment remained challenging and a year in which the Bank experienced a change in leadership and an evolution in strategy.

Economic Conditions in 2013

Global economic activity grew approximately 3% in 2013, down from around 3.3% in 2012 as advanced economies including the US, Europe and Japan contributed less than emerging markets (which include the UAE). Entering 2014, there are several trends which are favorable for the near-term economic outlook including easy monetary policy, record low interest rates and stimulus by major central banks.

In the US, recent announcements indicate that the tapering down of asset purchases will continue if economic conditions continue to improve. At the same time, Japan's economy is showing signs of improvement, driven by public policy initiatives and extensive quantitative easing (Abenomics). Meanwhile, recent Euro-Zone data suggest that a recovery is on the way but growth is expected to remain sluggish in the near-term.

The UAE, which has the 2nd largest economy in the Arab world, 29th largest GDP in the world, and will become part of the MSCI Emerging Market Index in May 2014, has continued to benefit from its safe haven status during periods of instability in the region. The economy has shown signs of resilience amidst global and regional uncertainty and is beginning to generate returns from the efforts of its diversification efforts. In 2013, the non-oil sector constituted nearly 60% of nominal GDP, with strength coming from a recovery in real estate, trade and tourism.

In 2013, average oil prices remained near record highs at US$ 105.8 per barrel (Dubai spot), and the UAE raised its oil production to a record high average of 2.8 million barrels per day and continued to generate significant current and fiscal surpluses.

According to the latest UAE Central Bank data, key indicators of the banking sector have improved. Net Assets grew over 13% to US $552 billion (AED 2.026 Trillion), net loans grew by 7% and the net loan-to-deposit ratio (LTD) declined to approximately 92%, down from its high point of 110% in 2009. Banks in the system continued to maintain capitalisation levels well above regulatory requirements.

Financial Performance of the Group

NBAD performed well in 2013 despite challenging conditions. This strong performance in uncertain times reflects the strength of the Bank's global diversified business model as well as the quality of the staff, our single most valuable asset.

Net profits grew 9.3% to AED 4.7 billion for the full year 2013. The Bank continued to grow its balance sheet and build upon its strong capital and liquidity positions. In 2013, NBAD was once again ranked as one of the "World's 50 Safest Banks" and the safest bank in the Middle East by Global Finance. Following the upgrade of NBAD's long- and short-term counterparty credit ratings by Standard & Poor's to 'AA-/A-1+' from 'A+/A-1', the Bank was ranked the Safest Bank in Emerging Markets. The Bank also was winner of the "Sheikh Khalifa Excellence Award – Diamond Category 2013".

We continued to grow both our domestic and international operations. Our domestic network expanded to reach 126 offices complemented by over 588 ATMs. These are further supported with the set up of 8 centres dedicated to serve the needs of our Commercial Banking customers.

We have laid out a robust, 5-year growth strategy which will enable NBAD to grow its presence in the UAE whilst also expanding internationally. The Bank will be focused on growth driven by trade and investment flows across the geographic area spanning from West Africa to East Asia.

NBAD will focus on building the largest, safest and best performing bank in the UAE and over time in the GCC, deepening its Wholesale network and further integrating our existing European and North American platforms into this network, and ultimately building a number of international bank franchises in some of the largest and fastest growing economies in the area between West Africa to East Asia.

NBAD is extremely well positioned to continue the successful growth trajectory we have experienced in the past by focusing on our new mission to be "core to our chosen customers" and capitalising on our balance sheet strength and geographic positioning.

On behalf of the shareholders, the members of the Board of Directors and the management and staff of the Bank, I would like to express our gratitude for the many years of service of the late Dr. Jauan Salem Al Dhaheri as NBAD's Deputy Chairman. Dr. Jauan played a significant role in NBAD's success as well as the development of the UAE economy. In December, 2013, NBAD teamed up with INSEAD to launch the Jauan Al Dhaheri Scholarship. The scholarship, which will allow one NBAD staff member each year the opportunity to study towards achieving INSEAD's prestigious Global Executive MBA, honours the memory of Dr. Jauan Al Dhaheri and his significant contributions. It will also support our commitment to Emiratisation in the future.

Also, I would like to thank Michael H. Tomalin, our outgoing Chief Executive Officer, for his contributions to NBAD over the last 14 years.

I would also like to welcome H.E. Dr. Al Taher Musabah Al Kindi Al Marar as our new Deputy Chairman and Alex Thursby as our new Group Chief Executive Officer and wish them both the best of luck and much success in the years to come.

Finally, I wish to extend our most sincere appreciation and gratitude to His Highness Sheikh Khalifa Bin Zayed Al Nahyan, President of the UAE and Ruler of Abu Dhabi; His Highness Sheikh Mohammed Bin Rashed Al Maktoum, Vice President and Prime Minister of the UAE and Ruler of Dubai; Their Highnesses members of Supreme Council, Rulers of the Emirates; His Highness General Sheikh Mohamed Bin Zayed Al Nahyan, Crown Prince of Abu Dhabi and Deputy Supreme Commander of the UAE Armed Forces and to His Highness Sheikh Mansour Bin Zayed Al Nahyan, Deputy Prime Minister and Minister of Presidential Affairs, for their continued support and interest in the Bank's activities.

H.E. Nasser Ahmed Alsowaidi
Chairman

Group Chief Executive Review



Group Chief Executive Review to the shareholders

For the financial year 2013

Year in review

2013 was a transitional year for NBAD, and we delivered another year of solid results whilst beginning to reposition the bank for future growth. In spite of many challenges going on throughout the region and the world, we were able to continue to strengthen the balance sheet of the bank and generate growth in our loan book while maintaining very strong credit ratings.

In 2013, the bank delivered record top line revenues of AED 9.4 billion and net profits of AED 4.7 billion, representing growth of 8.4% and 9.3%, respectively. Our growth in 2013 came from both domestic and international operations. Return on average equity was 14.4%, assets grew 8.1% to AED 325.1 billion and deposits grew 10.9% to AED 211.1 billion. Additionally, our capital adequacy ratios continued to be well in excess of the minimum threshholds of 12% and 8% (Tier-I) required by our regulators, with a capital adequacy ratio (CAR) of 18.2% and a Tier-I ratio of 16.5%.

Some significant highlights for the bank in 2013 included the following:

- Upgraded to AA- by S&P, lifting NBAD into an elite group of less than 20 commercial global banks rated AA- (or equivalent) with all 3 major rating agencies.
- Awarded the highly prestigious “Sheikh Khalifa Excellence Award--Diamond Category 2013”, confirming the Bank’s position as a leader in the financial industry.
- Won Hawkamah Bank Corporate Governance Award 2013 at Bankers Middle East Industry Award, which recognizes improved corporate governance practice.
- Hosted the 5th annual 2013 Global Financial Markets Forum, featuring speeches from renowned policymakers, discussions on the most pressing issues impacting world economics and highlighting Abu Dhabi’s rising influence in global financial affairs.
- Sponsored the Abu Dhabi Investment Forum (ADIF) in Paris, which was held in partnership with Abu Dhabi Department of Economic Development.
- Renewed sponsorship commitment to Yas Marina Circuit as Founding Partner of the state-of-the-art Circuit. Yas Marina Circuit hosts the annual Formula 1™ race and several other tournaments.

In 2013, the bank won a number of awards including the following:

- Ranked for the fifth consecutive year one of the “World’s 50 Safest Banks” and recently named “Safest Bank in Emerging Markets” by Global Finance magazine.
- “Best Asset Management House in the Middle East” by International Takaful Awards for the second year running.
- “The Strongest Bank Balance Sheet in the UAE” by Asian Banker Magazine.
- “Best Debt Capital Markets House in the Middle East and the UAE” by Euromoney Magazine.
- “Best Cash Management Services in the Middle East” at the EMEA Finance Treasury Services Awards ceremony.
- “Asset Manager of the Year” by the prestigious Global Investor/ISF Middle East Summit and Awards.
- “Best Private Bank in UAE” at 5th Annual Global Private Banking Awards.
- “Leading Corporate for Investor Relations - UAE” by the Middle East Investor Relations Society (ME-IRS).
- “Best Project Finance Award” by the Banker Middle East Industry Awards.
- “Best Sukuk Fund Award” by Islamic Business & Finance Awards CPI Financials.
- “Best in Branch & Customer Service” by Ethos Consulting & the International Customer Service Institute.

All of these results and achievements in 2013 are a testament to the talent of our management team and our employees. It is also a result of our prudent growth strategy, which is aligned with the growth of Abu Dhabi and the 2030 Vision.

Group Chief Executive Review to the shareholders

For the financial year 2013

Strategic update

Since the middle of the year, we have defined our mission as being “core to our chosen customers” and we have introduced a 5-year strategy aligning to the growth in investment and flow across the “West-East Corridor” (from West Africa to East Asia). The strategy is to build on our fundamental strengths as an institution and capitalise on our unique geographical location at the center of the growth expected from Asia, the Middle East and Africa in the coming years.

We have simplified our organisational structure and are now focused around 3 core client segments: 1) Global Wholesale Bank, 2) Global Retail & Commercial, and 3) Global Wealth. We have streamlined our operations and organisational structure to “build the spine” of our bank by investing in systems and processes which will support our growth aspirations.

Our strategy to deliver our new mission is to build around the following 3 geographical pillars:

Pillar 1 (Home Market)

Focus on developing our commercial and retail businesses here in the UAE and across the Gulf region.

Pillar 2 (Wholesale Network Markets)

To build a wholesale bank, which is built around the trade and investment flows across the “West-East corridor” spanning Africa, the Middle East and Asia.

Pillar 3 (New Franchise Markets)

To build 5 franchise markets, in markets with high growth that are reasonably big in size in terms of GDP and population.

Our focus today is on building Pillar 1 and Pillar 2, and over the next 5 years, we will start to build out the 5 franchise markets of Pillar 3. We will continue to refine our strategic approach and most importantly we will strive to ensure that we are a customer-driven bank focused on always being “core to our chosen customers”, and we will continue to communicate our progress against our strategy.

Business update

From an operational perspective, we have achieved a lot in a short time and have achieved some major wins in the last six months. Our Wholesale Banking relationship team has realigned portfolios and started to build value add into relationships with a number of big global brands, in line with our mission to be ‘core to our chosen customers’. NBAD is now one of the few banks in the UAE that possess sector specialisation and this allows us to serve the key sectors of the UAE economy aligned to our five chosen sectors.

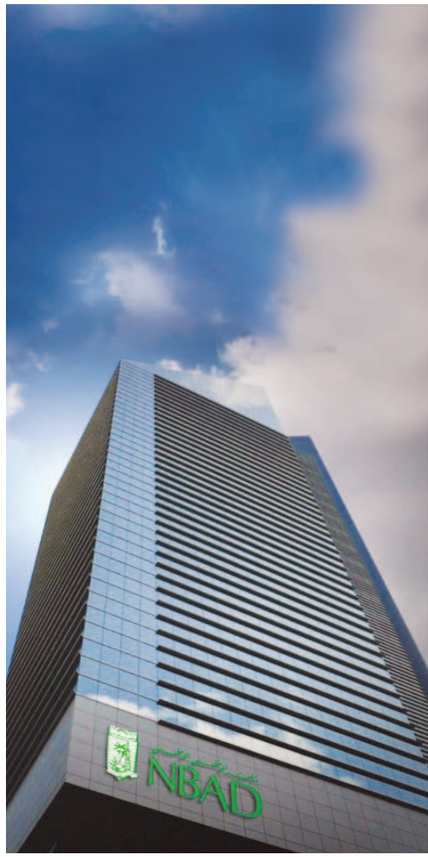
In Retail & Commercial, our retail asset portfolio achieved double-digit growth for the first time in three years. Customer acquisition is now more than 20% higher than previous years and we launched a successful new mortgage campaign in 4Q which is producing strong results. However, there are certainly many areas which need to improve. For example, in Commercial banking in the UAE, we are currently underweight relative to many of our competitors, and we expect this to be a major opportunity for us in the years to come.

The Global Wealth division has achieved strong growth in revenue and assets under management (AUM) and has won many awards including Best Private Bank, Best Wealth Management Company and Best Asset Manager of the Year.

I would like to take the opportunity to thank Michael Tomalin, my predecessor, for the tremendous contributions he made to NBAD over the past 14 years. Without Michael, NBAD simply would not be the bank it is today. He successfully managed the Bank through many challenges, including the 2008 financial crisis, and I would like to thank him for his leadership, and I am very glad that he is still with NBAD as a member of our Board.

I would also like to thank our management team and employees for their continuing efforts. We are proud of our 2013 performance and our team looks forward to more success in 2014 and beyond.

Alex Thursby
Group Chief Executive Officer



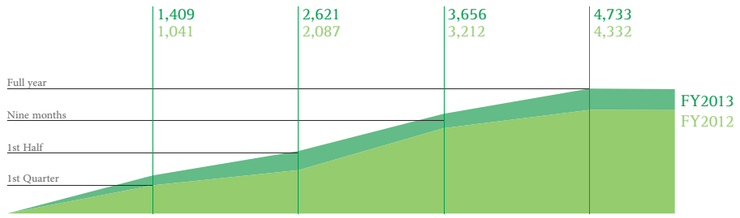
Financial overview

The bank earned AED 4,733 million in 2013, up 9.3% from AED 4,332 million in 2012. This represents diluted EPS of AED 1.04 for 2013 versus AED 0.95 for 2012.

The growth was due primarily to higher net interest income and fee income.

The annualised return on average equity for the year was 14.4%, down from 15.1% for 2012.

Net profits (AED mn)

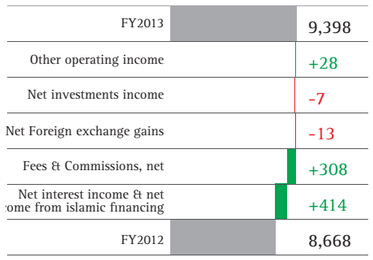


Operating income

Total operating income increased by 8.4% to AED 9,398 million from AED 8,668 million in 2012. Net interest income and net income from Islamic financing grew at a steady pace throughout 2013, up 6.8% to reach AED 6,510 million. Net interest margin on an average total assets basis declined to 2.08% for the full year 2013, lower than 2.19% for 2012, driven by increased competition resulting from abundant liquidity as well as re-pricing of risk as the economy recovers.

Net fees and commissions grew strongly by 20.0% to AED 1,852 million in 2013 compared to AED 1,544 million in 2012 led by healthy growth in lending fees, credit card fees and fee income from brokerage and asset management activities. Other operating income was over AED 300 million in both 2012 and 2013, driven primarily by exceptional gains from hedging strategies which are not expected to repeat in 2014. Overall, non-interest income grew by 12.3% in 2013 to AED 2,888 million.

Movement in Operating income (AED mn)

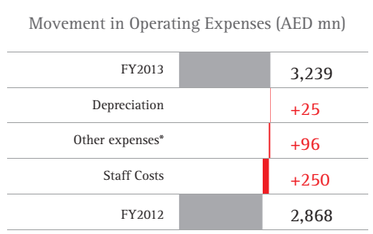


Expenses

Operating expenses for the year ended 2013 were AED 3,239 million, up 12.9% compared with the corresponding period, reflecting continued investment in our business and in line with expectations. The cost to income ratio was 34.5% in 2013, higher than the 33.1% recorded for the full year 2012.

The Bank further extended its network, which is already among the largest in the UAE, to 126 branches and cash offices, 588 ATMs and 8 commercial banking centres. The Bank also continued to invest in other distribution channels such as e-banking and 24x7 call centres, enhancing customer service capabilities. NBAD's global footprint now covers 17 countries. Our investments in our franchise, network and systems, products and people are in line with our vision to be recognised as the World's Best Arab Bank and our mission to be 'core to our chosen customers'

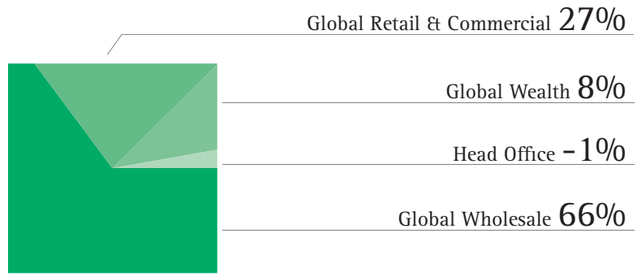
Movement in Operating Expenses (AED mn)



* other expenses include general and administration expenses, donations and charity

Operating Profits by Business Segments

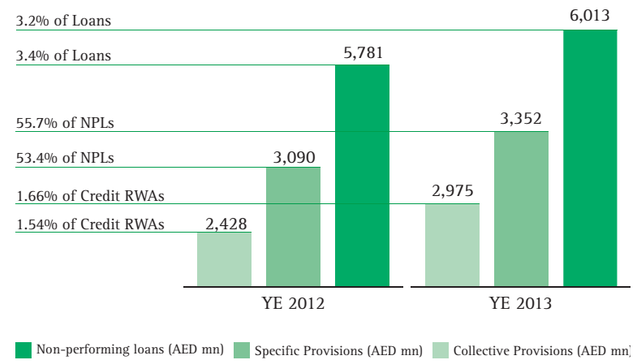
Operating profits grew 6.2% to AED 6,159 million in 2013 compared to AED 5,801 million in 2012. Operating profits by segment were AED 4,076 million (66%) in Global Wholesale Banking, AED 507 million (8%) in Global Wealth and AED 1,632 million (27%) in Global Retail and Commercial. Head office had a net contribution of negative AED 57 million (-1%).



Provisions & Impairment charges

Net impairment charges were AED 1,206 million in 2013, 9.8% lower than 2012. Decrease in specific provisions of AED 419 million was offset by an increase in collective provision charges by AED 255 million due to growth in credit risk-weighted assets and in line with Bank's prudent risk-management practices. The Bank continues to be fully compliant with the Central Bank of UAE's requirement of 1.5% of credit risk weighted assets for collective provisions, well ahead of the effective date of 2014.

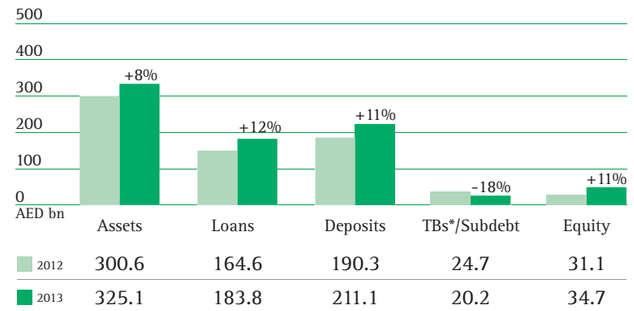
Non-performing loans increased to AED 6,013 million, representing 3.16% of the loan book. NPL ratio seems to have peaked at 3.55% recorded in 1st quarter of 2013. Total provisions represented 105.2% of non-performing loans.



Balance Sheet

Total Assets were AED 325.1 billion as of 31 December 2013, up 8.1% versus 31 December 2012. Loans and advances to customers were AED 183.8 billion as of 31 December 2013. Loan growth of 11.7% was driven by growth across domestic and international business. Customer deposits were AED 211.1 billion, up 10.9% as of 31 December 2013. During the year, the Bank made deliberate efforts to increase current and savings accounts (CASA) and saw encouraging results with a growth of 30% in 2013, hence increasing the CASA proportion from 24% to 28% of total customer deposits. Equity, consisting of shareholders' funds of AED 30.7 billion and Government of Abu Dhabi Tier-I capital notes of AED 4.0 billion, grew by 11.4% to AED 34.7 billion at the end of 2013.

Basel-II ratios remain strong and well above the minimum 12% and 8% (Tier-I) required by the UAE Central Bank, with a capital adequacy ratio of 18.2% and a Tier-I ratio of 16.5% as of 31 December 2013.



AED bn	Assets	Loans	Deposits	TBs*/Subdebt	Equity
2012	300.6	164.6	190.3	24.7	31.1
2013	325.1	183.8	211.1	20.2	34.7

* TBs – term borrowings

Business overview

In July 2013, Alex Thursby was appointed CEO of NBAD. Since joining the bank, he has introduced a simplified business model, a new 5-year strategic plan and announced a number of organisational changes.

The following is a review of 2013 for each of NBAD's businesses, including updates on strategic and organisational changes which have been made.

Global Wholesale Banking – 50% revenues, 66% operating profits

GWB is NBAD's largest business segment and contributed 50% to the revenues and 66% of the operating profits of the Group. It earned a net profit of AED 3.6 billion in 2013.

Global Wholesale Banking incorporates the following key business divisions:

Global Markets

Business Description

Global Markets (GM) offers clients a portal to accessing the international financial markets in various currencies, interest rate hedging, derivatives and pools of liquidity. GM provides financial solutions customised to clients' risk appetite, investment portfolio, and wealth preservation and growth needs. The division fosters a culture that regards the customer's interest as primary with a focus on value-add services. GM continuously strives to be a trusted financial advisor and is committed to delivering quality services and products at competitive prices.

Financial Performance

GM earned AED 1.3 billion in revenues and AED 1.1 billion of operating profits, contributing a little over one-fourth of GWB's revenues and operating profits in 2013.

Organisational/Strategic Changes

During the course of 2013, GM undertook substantial organisational changes by aligning product offerings, traders and sales desks to better serve the needs of our clients. Strategic changes included the establishment of a subsidiary for trading long-dated interest rate and cross currency swaps, developing a strategy for the delivery of a comprehensive e-commerce platform, including retail FX offerings and establishing the blue print for international expansion in the form of hubs – specifically Europe and Asia – to reflect the organisational structure and operating model of the Head Office.

Key wins/achievements in 2013

In 2013, our customer satisfaction survey demonstrated that over 80% of GM's clients were highly appreciative and supportive of the quality of service and product offerings by NBAD.

GM achieved many milestones, including the establishment of a subsidiary to trade long-dated swaps. Moreover, the division offered new GCC and emergency currency offerings. It is important to highlight its successful bond distribution in GCC and international markets. GM hosted a very successful Global Financial Markets Forum (GFMF). The GFMF has grown to become one of the highest profile events in the Middle East over the past five years.

Priorities/Strategic Plans for 2014

In 2014, GM plans expansion in its European and Asian operations. The division is developing a retail FX offering that will incorporate efficient pricing, straight-through processing, and faster remittance and transfer of funds to international destinations.



Global Banking



Business Description:

Global Banking (GB) is the single largest revenue and profit generating business in the NBAD Group. GB product teams work closely with client coverage partners to originate and develop a wide range of strategic and financing solutions for our clients. The businesses within GB consist of Merchant Banking, Debt Origination and Distribution, Lease Finance and Transaction Banking.

Financial Performance

GB's revenues in 2013 totaled AED 3.4 billion and operating profits were AED 3.0 billion, contributing nearly three-fourth of GWB's revenues and operating profits. Non-interest Income, represented by fees and commissions, grew strongly as a result of improved project finance deal flow. Impairments were considerably lower as the economic recovery has helped improve the overall asset quality. The business faced strong headwinds due to increased competition from international and local players, leading to margin compression.

Organisational/Strategic Changes

In 2013, as part of the bank wide organisational changes announced in July, GB was transformed into a product focused business within the broader GWB division. Previously, GB was responsible for both product and client coverage. The latter is now a separate unit. The GB strategy will be built around further strengthening our position in the home market, deepening the wholesale network across the West-East corridor and expansion into new franchise markets. Our aim is to follow our GCC-based clients into markets within our target geography and support our other clients' activities within this region. Our operating model will increasingly be 'originate to distribute', which will result in superior financial performance on a risk-adjusted basis. The emphasis, over the medium term, will be to shift the revenue base towards higher contribution from flow and value-added, fee generating products rather than conventional lending.

In line with the wholesale bank strategy, GB will deepen its product and service offerings and expand its international footprint in Europe, Asia and, at a later stage, sub-Saharan Africa. On the product side, we will grow our Merchant Banking, Debt Capital Markets, Project & Specialised financing and Lease Finance capabilities in Europe and Asia Pacific, leveraging the strong platform built for these businesses in Abu Dhabi. Our Transaction Banking platform will help strengthen our relationships with our chosen clients and provide them with value-added products and services. We are establishing a Structured Finance capability in the UAE, Asia Pacific and Europe which should add significantly to our bottom line in the coming years.

Key wins/achievements in 2013

Merchant Banking had another successful year, acting as co-Advisor on the merger of Sorouh Real Estate Company and Aldar Properties, forming Abu Dhabi's largest real estate company (the second large cap M & A transaction in the UAE in the last seven years), and as sole financial advisor on a $1.7 billion polysilicone plant in Sarawak, Malaysia. Other notable 2013 mandates included the successful Abu Dhabi IPO fund raising for the Moroccan subsidiary of Abu Dhabi National Energy Company (TAQA).

Furthermore, EMEA Finance awarded NBAD as the "Best Local Investment Bank in the UAE" for the third consecutive year. Our top-ranked Debt Capital Markets (DCM) team continued its success in 2013 through the penetration of new markets (Oman, Malaysia) and currencies (MYR, AUD) as well as expansion of customer base/reach into Asia. NBAD was named the Best Debt Capital Markets House in the Middle East and the UAE by Euromoney magazine in its 2013 Awards for Excellence. We are the first bank in the region to win this award. Furthermore, we were awarded "Best Project Finance / Infrastructure Bank award at the Banker Middle East Industry Awards 2013.

Abu Dhabi National Leasing (ADNL) is the wholly owned asset-based finance subsidiary of NBAD and provides all types of lease and lease finance facilities to large UAE, GCC and international corporate entities operating in the UAE. In 2013, ADNL continued to record impressive portfolio and revenue growth (24% and 22%, respectively) despite challenging market conditions. Major financing deals were executed with Aviation, Shipping and Infrastructure clients, including Etihad Airways, Emirates Airlines, United Arab Shipping and Abu Dhabi Ports Company. During the year, ADNL signed an MoU with Airbus for cooperation in aircraft financing and leasing.

The Global Cash Management and Trade Finance businesses continued to grow across our extensive network. From Abu Dhabi we connect our customers' trade flows to countries in the Middle East, Africa, Europe, Americas, and Asia Pacific via our offices in these regions. Our focus to support trade finance transactions in the West–East corridor has set the scene for significant growth, in revenues and investment in people and systems.

Priorities/Strategic plans for 2014

In 2014, we will continue to develop our Transaction Banking business with investment in infrastructure and personnel to support our chosen clients, with primary focus on their activities in the UAE and the other GCC and Arabic-speaking countries.

Additionally, we will build our Debt Origination & Distribution business so that we remain a Top 3 local player in the GCC market and use this platform to develop our client business in the wider MENA, South East Asian and sub-Sahara African markets, particularly in the Sukuk primary market and Structured and Project & Specialised Finance.

We will leverage the existing Merchant Banking team to support our clients› corporate and project finance activities across MENA and expand our lease finance business to support our clients› leasing needs in the UAE and the other GCC countries.

Global Retail and Commercial
32% revenue, 27% operating profits

Business Description

Global Retail and Commercial (GRC) is a newly formed division that extends the scope of the previously named Domestic Banking Division, to cover all GCC countries including Jordan, as well as NBAD's Islamic financing subsidiary, Abu Dhabi National Islamic Finance (ADNIF).

Financial Performance

GRC earned AED 3.0 billion in revenues and AED 1.6 billion of operating profits, contributing a third of the Group's revenues and little over one-fourth of the Group's operating profits in 2013, respectively. Net profit after impairment charges and overseas taxes was AED 1.3 billion for 2013.

Organisational/Strategic Changes

2013 was a year of substantial change for NBAD's GRC business, both in terms of strategy and structure. The business has been restructured to align with the new strategic direction of the bank.

Our Consumer and Elite Gold Banking (CEGB) division now has an aspiration to be the primary bank to our chosen customers, and we are working to provide a seamless experience for customers across all channels, including branches, call centers, internet and mobile.

Commercial Banking has been restructured to serve all clients in business space ranging from SMEs to Mid-Market entities in UAE and Oman.

New Banking and Business Innovation will focus on building new banking business opportunities in the UAE and nurturing these until they are established as running businesses.

ADNIF's role remains unchanged, offering innovative Sharia compliant products and services. All enablement functions in ADNIF have been centralised and absorbed within the enablement functions of GRC led by the new structure of the NBAD group.

Key wins/Achievements in 2013

Among the highlights for the year in terms of key wins and achievements for GRC, the division has been recognised for improved service and won the following two awards in 2013:

- "Best Branch Performance", by Ethos UAE Annual Retail Banking benchmarking Index, and
- "Best Customer Service Initiative", by The International Institute of Customer Service, for the introduction of Branch Service Ambassadors

Priorities/Strategic plans for 2014

In 2014, we will be focusing on our Retail Branding and proposition, targeting growth within the Affluent client base and increasing our presence in the Mortgage space. We will also be enhancing our sales force and focusing on building out our e-Solutions capabilities.





Global Wealth
8% revenue, 8% operating profits

Business Description

Global Wealth (GW) focuses on the wealth of private & institutional investors through our Private Banking, Brokerage, Asset Management & Custody businesses. Our clients are:

- Ultra High Net Worth Individuals (>USD25m in investable assets)
- High Net Worth Individuals (>USD 1m in investable assets or sophisticated investors)
- Institutional investors across the GCC (such as corporates, pension funds)
- Intermediaries (such as banks, brokers) & Issuers

Financial Performance

GW earned AED 734 million in revenues and AED 507 million of operating profits, contributing 8% of the Group's revenues and operating profits in 2013. After deducting overseas taxes of AED 46 million, net profit earned by the business was AED 461 million. The business saw strong double-digit asset growth and increased revenues on the back of buoyancy in the capital markets.

Organisational/Strategic Changes

In 2013, as part of the bank wide organisational changes announced in July, GW has enhanced its client centric structure to serve our chosen customers better and more efficiently. We have brought together our Private Banking units into one Global Private Banking team and further enhanced our Asset Management, Brokerage (NBAD Securities) & Custody offerings to meet the needs of our clients from private to institutional investors. Asset Management, Custody & Brokerage businesses are core to the Private Banking offering. They are also key product providers for our institutional clients and will continue to develop new products, mandates and services to support our local and international clients.

Key wins/achievements in 2013

The strongest contributors to GW's performance in 2013 remains our Private Banking business. Assets under Management (AUMs) grew by 21% in the year, largely driven by investment sales across the UAE & Switzerland and high value real estate loans in the UK.

As part of the drive to enhance our range of investment options for our clients, the Investment Group has developed an open architecture platform so that we can offer both 3rd party funds and NBAD funds to our clients across our global network. We have also developed a number of tailored investment products to suit specific client segments.

Our brokerage business (NBAD Securities) continues to gain market share in a buoyant and competitive market with a focus on the high quality of research, product offerings and service provided to our clients.

In 2013, our Asset Management Group (AMG) grew its AUMs by 51%. This was driven by positive client performance across our fixed income and equity funds.

Our Custody service continues to show strong growth as the market demand grows, with assets under custody growing by 64%. In 2013 we extended our coverage across NASDAQ Dubai and are now the only locally licensed custodian covering all 3 UAE markets.

The qualitative result of these efforts was being awarded a number of key industry awards in 2013, including:

- Best Asset Management House – by the International Takaful Award – February 2013
- Best Exchange Traded Fund – by the MENA Fund Manager Awards – February 2013
- Best Wealth Management Company – by the Arab Investment Summit – September 2013
- Best Private Bank in the UAE – by the Banker & Professional Wealth Management Magazine – October 2013
- Asset Manager of the Year – by Global Investor – October 2013
- Best Sukuk Fund 2013, Islamic Business & Finance Award - December 2013

Priorities/Strategic plans for 2014

Our priorities for 2014 remain to continue focus on enhancing our client service, by expanding the range and breadth of investment products and solutions we offer to our private and institutional clients, as well as developing and hiring the best private bankers, investment advisors, brokers and fund managers to ensure best in class delivery of our products and services to our clients.

Emiratisation at NBAD

NBAD is focused on helping the UAE by being a leader in its Emiratisation efforts. In 2013, there were a number of initiatives taken by the Bank to continue to be a leader in this area, including the following:

- Launched the Dr. Jauan Al Dhaheri Scholarship in October 2014 in partnership with INSEAD Global Executive MBA Program, which will enable one UAE national to participate in INSEAD's program each year
- Had 57 AFAQ UAE National Trainee graduates with full Masters in Finance from Zayed University who joined the bank
- Introduced International secondments and assignments for high potential UAE nationals
- Sponsored over 100 UAE National interns
- Signed the agreement of ABSHER initiative with Presidential Affairs to create jobs for Emaratis
- Signed the MOU with Tawteen council for "AlMasar sponsorship program" to sponsor Emarati students during their studies at the Universities
- Introduced a new Al Sadara Graduate program for enablement career roles with full Masters in management of International Business from Zayed University
- Participated in three major career fairs (Abu Dhabi, Dubai and Sharjah) plus numerous local career events in HCT and local Universities
- The first successful participation in an international Career fairs in United States – Washington and United Kingdom –London for UAE Nationals who are studying abroad, for potential candidates who are interested to join NBAD family
- Emiratisation is important to the future of the UAE, and NBAD takes pride in its ongoing focus on Emiratisation initiatives. Emiratisation will continue to be a priority for the Bank going forward.





Corporate Sustainability at NBAD

NBAD is an integral part of society in the UAE and the countries where we operate. We play an important role for our customers, the economy and society at large, and we consider it our responsibility to create long-term value for all our stakeholders. In 2013 we continued to support the Abu Dhabi Sustainability Group both on the Advisory Board and the Facilitation and Coordination Committee. We were awarded the Dubai Chamber's CSR Label for the second year and contributed to the Dubai Sustainability Network as a member of the leadership team.

We continue to partner with Emirates Foundation in the creation and launch of a youth focused national financial literacy initiative "Esref Sah!". Seven of our staff were trained as financial champions. We plan to build from this base of seven to build a team of internal coaches to support the development of a financially fit workforce, and expand our external contribution to raising levels of financial literacy across different segments of the community.

NBAD again improved its ranking on the S&P/Hawkamah ESG Pan Arab Index to 2nd position and is the top ranked bank. Our annual sustainability reporting contributes to this success as a means of information required to support the annual rebalance. Our sustainability maturity, using the ADSG maturity assessment tool and modelled an 80 per cent increase from our baseline over 3 years exceeded the annual target. We achieved a maturity improvement of 25.6 per cent, a relative improvement of 26.73 per cent mainly due to the inclusion of sustainability factors within the procurement policy and processes.

Head Office & Enablement Functions 10% revenues, -1% operating profits

Although primarily a cost center, the Head Office has mainly two major sources of revenues – the Group Treasury which manages a large portion of the Bank's capital and the Group Finance which manages the Bank's equity and subordinated debt/capital.

In 2013, the segment earned AED 953 million in revenues contributing 10% to the Group's overall revenue. However, as it also accounts for a large portion of the Group's expenses and collective provisions, its contribution was a negative AED 57 million or 1% to the Group's operating profit and negative AED 601 million to the Group's net profit.

Information Technology

The Information Technology Department (ITD) at NBAD is considered a key enabler in allowing The Bank to achieve our strategic objectives and deliver on customer expectations. ITD works closely with the various Lines of Business (LOB) to examine and define short and long term business goals in order to identify, develop, customise and deliver technology-business solutions where and when required. During 2013, ITD continued to provide competitive advantage to the bank where the team successfully delivered projects covering different LOBs from Domestic Banking to Global Markets. Many other projects remain ongoing and recently got realigned with the Bank's new growth strategy with tighter focus on the Home Market and the West-East corridor. ITD also delivered significant cost savings during the year.

Our focus going into 2014 will revolve around the delivery of our new and enhanced business solutions such as eChannels (Internet and Mobile Banking, Mobile Wallet), iBanking, Retail FX, Cards Systems Replacement and Customer Onboarding. We will also continue to adopt best practices and target additional operation cost reductions in 2014.

Risk Management

The Risk Management Group manages risk using three lines of defence comprising business units, control units, and internal audit. Business units, as the first line of defence, identify and manage risks in their day-to-day activities by ensuring that activities are within the Group's risk appetite and are in compliance with all relevant internal policies and processes. Risk Group and Legal & Compliance division, as the second line of defence, establish risk controls by way of policies and processes while also providing oversight and independent challenge to the first line. And finally, Internal Audit, as the third line of defence, provides assurance to management and the Board of the effectiveness of risk management practices employed by the first two lines of defence.

In line with the recent changes in organisational strategy and consequent reorganisation in front line and enablement functions, Risk Group has been reorganised as:

- Head Office will concentrate on Policy, Strategy, Underwriting Standards and Risk Measurement Methodologies. In addition, credit approvals and limit requirements above certain threshold levels requiring Risk Committee (Management and Board) approvals as well as enterprise level risk reporting will also be handled by Head Office.
- Embedded Risk function within business units will be the executors of policy/ strategy and underwriting standards agreed at the Head Office level.

We continue to strengthen our risk management through an integrated and disciplined approach. Through our risk management framework, we manage enterprise wide risks with the objective of optimising risk adjusted returns while remaining within our risk appetite.

Legal and Compliance

During the third quarter in 2013, Legal and Compliance functions merged into a single division in order to provide for a single point of contact on all Legal and Compliance matters for senior management and staff whilst retaining separate Legal and Compliance teams under this to facilitate day to day work.

- During the year the Bank received the 2013 Hawkamah Bank Corporate Governance Award and Samer Abdelhaq, Group General Counsel & Group Head of Legal & Compliance was named Corporate Governance Officer of the Year at the ACC Achievements Awards
- NBAD has been successful in delivering its first key milestone of the Foreign Account Tax Compliance Act (FATCA)
- In the fourth quarter, NBAD improved in the S&P Hawkamah ESG Pan Arab Index reaching 2nd place and becoming the highest ranked financial institution





Human Resources

The Human Resources Group is responsible for enabling attraction, motivation, development and retention of human capital required to meet the Bank's strategic objectives. The Human Resources Group comprises the full spectrum of HR disciplines, including Talent Management, Career Management, Talent Resourcing, Employee Servicing, Reward Management, Organisational development, Business Relationship and Emiratisation areas.

In 2013, we implemented a number of changes and initiatives, including:

- Initiated a Group-wide change program, resulting in the creation of significant opportunities for existing employees and potential talent acquisition.
- Introduced new organisation structures for Wholesale Banking and international operations, which are more client-centric and organised around key industry sectors.
- Introduced new group certification programs for career professionals in areas including Credit Risk Management, Relationship Management, Global Markets and Direct Sales.
- Our training facility, NBAD Academy, launched several initiatives, including Commercial services for external participants to attend NBAD academy programs, leadership programs delivered internationally across 5 offices, and an e-learning strategy to deliver learning solutions internationally (over 600 hours of technical eLearning programs

In 2014, we are simplifying our organisation by introducing a broad band and competency based framework methodology, which will replace the existing 16 grades with 5 broad bands to ensure we have a flatter organisation.

Our customers are at the heart of everything we do.

We recognise that, at its very core, banking has and continues to be a people-to-people business.

As we move forward, we intend to continue investing in the capabilities that underpin our strong customer focus.

Our Customers

In 2013, NBAD committed itself to a one bank customer value proposition that encourages us to provide the highest quality of customer service across our network of diverse businesses and geographies in a seamless fashion.



This proposition is centred on the core value of putting our customers first. Our customers are at the heart of everything we do, and we want to be the best. This starts from the top; our Board, Executives and Leadership have been unequivocal in expressing their view that our customers come first.

At NBAD, we are driven by a desire to focus on serving our customers' needs, and a determination to enrich their lives by providing quality products and services that can help them achieve their ambitions. We recognise that if they succeed, so do we.

In order to achieve this, we have made improving customer satisfaction one of our top priorities. NBAD is currently undergoing a fundamental transformation from a product-driven to a customer-driven bank. As part of this, the bank has undergone a reorganisation to streamline its operations to three core businesses: Global Wholesale, Global Wealth, and Gulf Retail & Commercial.

We are also streamlining our customer service process, which will enable us to spend more time serving our customers, as well as reduce costs and improve our competitiveness. This reflects our deep-rooted belief that the best, and only, way to achieve sustainable profitability and create value for our shareholders is by maximising customer satisfaction.

There are two pillars that are integral to our ability to deliver the highest standards of customer service: people and technology.

We recognise that, at its very core, banking has and continues to be a people-to-people business. As such, we are determined to create a culture where our employees put the customer first and take into consideration what is best for them in everything they do. At NBAD, our employees are recognised and rewarded for this, motivating them to go beyond the call of duty in order to ensure that our customers are satisfied and get the best possible service.

The technological advances of the past few decades have changed the way people bank, and the services they expect from their banks. We recognise this and are making substantial investments towards enhancing our technological capability, which has allowed us to introduce industry-leading features and solutions for the benefit of our customers. In particular, we have made significant strides in developing our online offers and provide a seamless digital experience to our customers, which will substantially enhance their banking experience.

At NBAD, we believe in building deep and lasting relationships with our customers. We are determined to stand with our customers through the good times and the bad, and aim to be a strong stable bank that our customers can rely on in this fast changing world. We constantly strive to better understand their needs, and work hard to ensure the products and services we offer keep up with their demands.

We appreciate that, in order to continue improving our customer service, we need to better understand how our customers feel about the service and products they receive from us. As such, we continuously measure our performance and undertake regular benchmarking exercises, as well as customer satisfaction surveys, that allow us to monitor our progress and help address our clients' current demands as well as anticipate their future needs.

Focusing on our customers' needs is an essential component of our ability to create value for all of our stakeholders. Our strategy recognises this and, as we move forward, we intend to continue investing in the capabilities that underpin our strong customer focus.

We believe that doing so will allow us to create greater value for our customers and shareholders alike. While we have set ourselves a high bar for improving these capabilities, we are confident that we will continue to see significant progress across all of our customer focus initiatives.

Our commitment to being core to our customers is reflected in our efforts to enhance customer experience with the NBAD brand at every key touch point. The starting point of this experience is our vast network of branches. We have already launched a strategic plan to redesign every branch across the network to ensure that they offer our customers the best-in-class ambience and service. This, coupled with a consistent, world-class experience through our website, e-channels and merchandising collateral, are just some of the positive customer-centric steps that we are taking in our journey to be the World's Best Arab Bank.



Consolidated Financial Statement

Independent Auditors' Report

The Shareholder
National Bank of Abu Dhabi PJSC

Report on the Consolidated Financial Statements

We have audited the accompanying consolidated financial statements of National Bank of Abu Dhabi PJSC (the "Bank") and its subsidiaries (collectively referred to as the "Group"), which comprise the consolidated statement of financial position as at 31 December 2013, the consolidated statements of comprehensive income (comprising a consolidated statement of comprehensive income and a separate consolidated income statement), changes in equity and cash flows for the year then ended, and notes, comprising a summary of significant accounting policies and other explanatory information.

Management's responsibility for the consolidated financial statements

Management is responsible for the preparation and fair presentation of these consolidated financial statements in accordance with International Financial Reporting Standards, and for such internal control as management determines is necessary to enable the preparation of consolidated financial statements that are free from material misstatement, whether due to fraud or error.

Auditors' responsibility

Our responsibility is to express an opinion on these consolidated financial statements based on our audit. We conducted our audit in accordance with International Standards on Auditing. Those standards require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance about whether the consolidated financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the consolidated financial statements. The procedures selected depend on our judgment, including the assessment of the risks of material misstatement of the consolidated financial statements, whether due to fraud or error. In making those risk assessments, we consider internal control relevant to the Group's preparation and fair presentation of the consolidated financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Group's internal control. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of accounting estimates made by management, as well as evaluating the overall presentation of the consolidated financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Opinion

In our opinion, the consolidated financial statements present fairly, in all material respects, the consolidated financial position of the Group as at 31 December 2013, and its consolidated financial performance and its consolidated cash flows for the year then ended in accordance with International Financial Reporting Standards.

Report on Other Legal and Regulatory Requirements

As required by the UAE Federal Law No. 8 of 1984 (as amended), we further confirm that we have obtained all information and explanations necessary for our audit; the financial statements comply, in all material respects, with the applicable requirements of the UAE Federal Law no.8 of 1984 (as amended), Union Law no.10 of 1980 and the Articles of Association of the Bank; that proper financial records have been kept by the Bank; and the contents of the Chairman's report which relate to these consolidated financial statements are in agreement with the Bank's financial records. We are not aware of any violation of the above mentioned Laws and the Articles of Association having occurred during the year ended 31 December 2013, which may have had a material adverse effect on the business of the Bank or its financial position.

KPMG
Munther Dajani
Registration No. 268

28 January 2014

Consolidated statement of financial position
As at 31 December 2013

	Note	2013 AED'000	2012 AED'000
Assets			
Cash and balances with central banks	7	35,061,054	54,943,221
Investments at fair value through profit or loss	8	2,645,893	3,274,313
Due from banks and financial institutions	9	20,100,371	14,615,968
Reverse repurchase agreements	10	18,932,199	18,509,608
Derivative financial instruments	39	6,146,006	5,583,080
Loans and advances	11	183,811,494	164,599,378
Non-trading investments	12	50,846,059	32,286,857
Other assets	13	4,909,712	4,300,195
Investment properties	14	135,260	140,061
Property and equipment	15	2,473,608	2,346,488
Total assets		325,061,656	300,599,169
Liabilities			
Due to banks and financial institutions	16	35,760,382	35,477,275
Repurchase agreements	17	1,352,121	2,017,041
Euro commercial paper	18	6,752,015	2,831,198
Derivative financial instruments	39	7,454,016	6,652,508
Customers' deposits	19	211,097,222	190,303,573
Term borrowings	20	18,690,168	19,073,630
Other liabilities	21	7,764,868	7,448,492
		288,870,792	263,803,717
Subordinated notes	22	1,512,323	5,662,361
Total liabilities		290,383,115	269,466,078
Equity			
Share capital	23	4,280,470	3,874,558
Share premium	25	143,608	-
Statutory and special reserves	23	4,305,556	4,065,532
Other reserves	23	15,936,184	14,067,140
Government of Abu Dhabi tier 1 capital notes	24	4,000,000	4,000,000
Share option scheme	25	107,682	95,312
Convertible notes - equity component	22 ,20	108,265	21,420
Retained earnings		5,796,776	5,009,129
Total equity		34,678,541	31,133,091
Total liabilities and equity		325,061,656	300,599,169

Nasser Ahmed Khalifa Alsowaidi	Alex Thursby	Abdulla M S AbdulRaheem
Chairman	*Group Chief Executive*	*Deputy Group Chief Executive*

The notes 1 to 45 are an integral part of these consolidated financial statements.
The independent auditors' report is set out on page 40.

Consolidated income statement
For the year ended 31 December 2013

	Note	2013 AED'000	2012 AED'000
Interest income	26	8,085,522	7,979,592
Interest expense	27	(1,881,653)	(2,156,628)
Net interest income		6,203,869	5,822,964
Income from Islamic financing contracts	28	328,691	316,085
Depositors' share of profits	29	(22,903)	(42,957)
Net income from Islamic financing contracts		305,788	273,128
Net interest and Islamic financing income		6,509,657	6,096,092
Fee and commission income		2,355,228	1,905,488
Fee and commission expense		(503,058)	(361,488)
Net fee and commission income	30	1,852,170	1,544,000
Net foreign exchange gain	31	389,875	403,000
Net gain on investments	32	311,022	318,182
Other operating income	33	335,264	307,115
		1,036,161	1,028,297
Operating income		9,397,988	8,668,389
General, administration and other operating expenses	34	(3,238,633)	(2,867,657)
Profit before net impairment charge and taxation		6,159,355	5,800,732
Net impairment charge	35	(1,205,906)	(1,336,543)
Profit before taxation		4,953,449	4,464,189
Overseas income tax expense	36	(220,324)	(131,961)
Net profit for the year		4,733,125	4,332,228
Basic earnings per share (AED)	42	1.05	0.96
Diluted earnings per share (AED)	42	1.04	0.95

The notes 1 to 45 are an integral part of these consolidated financial statements.
The independent auditors' report is set out on page 40.

Consolidated statement of comprehensive income
For the year ended 31 December 2013

	Note	2013 AED'000	2012 AED'000
Net profit for the year		4,733,125	4,332,228
Other comprehensive income			
Items that may subsequently be reclassified to consolidated income statement			
Exchange difference on translation of foreign operations		12,318	(97,085)
Change in the fair value reserve	23	123,736	1,598,331
Items that will not subsequently be reclassified to consolidated income statement			
Directors' remuneration		(5,950)	(5,450)
Other comprehensive income for the year		130,104	1,495,796
Total comprehensive income for the year		4,863,229	5,828,024

The notes 1 to 45 are an integral part of these consolidated financial statements.
The independent auditors' report is set out on page 40.

Consolidated statement of changes in equity
For the year ended 31 December 2013

	Share capital AED'000	Share Premium AED'000	Statutory reserve AED'000	Special reserve AED'000	General reserve AED'000	Government of Abu Dhabi Tier 1 capital notes AED'000	Share option scheme AED'000	Fair value reserve AED'000	Foreign currency translation reserve AED'000	Convertible notes - equity component AED'000	Retained earnings AED'000	Total AED'000
Balance at 1 January 2012	2,870,043	-	1,435,021	2,128,253	12,370,070	4,000,000	76,497	(899,014)	(4,646)	27,639	4,385,622	26,389,485
Total comprehensive income for the year	-	-	-	-	-	-	-	1,598,331	(97,085)	-	4,326,778	5,828,024
Transactions with owners of the Group												
Bonus shares issued *(note 23)*	1,004,515	-	-	-	(1,004,515)	-	-	-	-	-	-	-
Dividends paid for 2011 *(note 23)*	-	-	-	-	-	-	-	-	-	-	(861,013)	(861,013)
Transfer to general reserve *(note 23)*	-	-	-	-	2,100,000	-	-	-	-	-	(2,100,000)	-
Options granted to staff *(note 25)*	-	-	-	-	-	-	18,815	-	-	-	-	18,815
Buy back of subordinated convertible notes *(note 22)*	-	-	-	-	3,999	-	-	-	-	(6,219)	-	(2,220)
Payment on Tier 1 capital notes *(note 24)*	-	-	-	-	-	-	-	-	-	-	(240,000)	(240,000)
Transfer to statutory reserve *(note 23)*	-	-	502,258	-	-	-	-	-	-	-	(502,258)	-
Balance at 31 December 2012	**3,874,558**	**-**	**1,937,279**	**2,128,253**	**13,469,554**	**4,000,000**	**95,312**	**699,317**	**(101,731)**	**21,420**	**5,009,129**	**31,133,091**
Total comprehensive income for the year	-	-	-	-	-	-	-	123,736	12,318	-	4,727,175	4,863,229
Transactions with owners of the Group												
Issue of Shares	39,584	340,417	-	-	-	-	-	-	-	-	-	380,001
Treasury Shares	(25,086)	(196,809)	-	-	2,984	-	-	-	-	-	-	(218,911)
Bonus shares issued *(note 23)*	391,414	-	-	-	(391,414)	-	-	-	-	-	-	-
Dividends paid for 2012 *(note 23)*	-	-	-	-	-	-	-	-	-	-	(1,359,504)	(1,359,504)
Transfer to general reserve *(note 23)*	-	-	-	-	2,100,000	-	-	-	-	-	(2,100,000)	-
Options granted to staff *(note 25)*	-	-	-	-	-	-	12,370	-	-	-	-	12,370
Issue/expiry of conversion option on convertible notes	-	-	-	-	21,420	-	-	-	-	86,845	-	108,265
Payment on Tier 1 capital notes *(note 24)*	-	-	-	-	-	-	-	-	-	-	(240,000)	(240,000)
Transfer to statutory/special reserve *(note 23)*	-	-	215,499	24,525	-	-	-	-	-	-	(240,024)	-
Balance at 31 December 2013	**4,280,470**	**143,608**	**2,152,778**	**2,152,778**	**15,202,544**	**4,000,000**	**107,682**	**823,053**	**(89,413)**	**108,265**	**5,796,776**	**34,678,541**

The notes 1 to 45 are an integral part of these consolidated financial statements.
The independent auditors' report is set out on page 40.

Consolidated statement of cash flows
For the year ended 31 December 2013

	Note	2013 AED'000	2012 AED'000
Cash flows from operating activities			
Profit before taxation		4,953,449	4,464,189
Adjustments for:			
Depreciation	34	206,265	181,316
Accreted interest		39,331	(11,622)
Gain on sale of non-trading investments	32	(283,895)	(262,579)
Profit on buy back of subordinated notes		(268,955)	(225,586)
Write-offs and impairment charges	35	1,882,165	2,143,636
Foreign currency translation adjustment		(343,329)	(98,961)
Share option scheme		12,370	18,815
Write back of provisions for loans and advances	35	(349,366)	(579,717)
		5,848,035	5,629,491
Change in investments at fair value through profit or loss		628,089	(1,749,988)
Change in due from central banks, banks and financial institutions		(4,747,496)	(4,281,980)
Change in reverse repurchase agreements		(422,591)	(2,084,588)
Change in loans and advances		(20,726,835)	(6,547,359)
Change in other assets		(576,594)	(354,552)
Change in due to banks and financial institutions		283,107	(4,318,326)
Change in repurchase agreements		(664,920)	(1,496,684)
Change in customers' deposits		20,793,649	38,486,686
Change in derivative financial instruments		(323,879)	1,890,602
Change in other liabilities		300,258	1,165,262
		390,823	26,338,564
Overseas income tax paid, net of recoveries		(221,525)	(99,028)
Net cash from operating activities		169,298	26,239,536
Cash flows from investing activities			
Purchase of non-trading investments		(35,472,981)	(18,498,810)
Proceeds from sale/maturity of non-trading investments		17,285,514	14,659,428
Purchase of investment properties		-	(76,944)
Purchase of premises and equipment, net of disposals		(328,584)	(312,043)
Net cash used in investing activities		(18,516,051)	(4,228,369)
Cash flows from financing activities			
Proceeds from issue of shares under share option scheme		161,090	-
Net movement of Euro commercial paper	18	3,920,817	2,831,198
Issue of term borrowings		3,377,858	7,454,119
Repayment of term borrowings		(2,843,842)	(3,531,474)
Buy back of subordinated notes		(3,814,926)	(2,620,345)
Issue of subordinated notes		-	598,154
Dividends paid	23	(1,359,504)	(861,013)
Payment on Tier I capital notes	24	(240,000)	(240,000)
Net cash (used in)/from financing activities		(798,507)	3,630,639
Net (decrease)/increase in cash and cash equivalents		(19,145,260)	25,641,806
Cash and cash equivalents at 1 January		55,631,383	29,989,577
Cash and cash equivalents at 31 December	37	36,486,123	55,631,383

The notes 1 to 45 are an integral part of these consolidated financial statements.
The independent auditors' report is set out on page 40.

Notes to the consolidated financial statements

1 Legal status and principal activities

National Bank of Abu Dhabi PJSC (the "Bank") was established in Abu Dhabi in 1968 with limited liability and is registered as a Public Joint Stock Company in accordance with the United Arab Emirates Federal Law No. 8 of 1984 (as amended) relating to Commercial Companies.

Its registered office address is P. O. Box 4, Abu Dhabi, United Arab Emirates. The consolidated financial statements as at and for the year ended 31 December 2013 comprise the Bank and its subsidiaries (together referred to as the "Group"). The Group is primarily engaged in corporate, retail, private and investment banking activities, management services, Islamic banking activities; and carries out its operations through its local and overseas branches, subsidiaries and representative offices located in United Arab Emirates, Bahrain, Egypt, France, Oman, Kuwait, Brazil, Cayman, Sudan, Libya, the United Kingdom, Switzerland, Hong Kong, Jordan, Lebanon, Malaysia, China and the United States of America.

The Group's Islamic banking activities are conducted in accordance with Islamic Sharia'a laws issued by the Sharia'a Supervisory Board.

The Bank is listed on the Abu Dhabi Securities Exchange (Ticker: NBAD).

The parent company of the Bank is the Abu Dhabi Investment Council, an entity owned by the Government of the Emirate of Abu Dhabi.

These consolidated financial statements were authorised for issue by the Board of Directors on 28 January 2014.

2 Basis of preparation

(a) Statement of compliance

These consolidated financial statements have been prepared in accordance with the International Financial Reporting Standards (IFRSs) and the requirements of applicable laws in the UAE.

b) Basis of measurement

These consolidated financial statements are prepared under the historical cost basis except for the following:

- derivative financial instruments are measured at fair value;
- investments at fair value through profit or loss are measured at fair value;
- non-trading investments classified as available-for-sale are measured at fair value;
- recognised assets and liabilities designated as hedged items in qualifying hedge relationships are adjusted for changes in fair value attributable to the risk being hedged; and
- non-financial assets acquired in settlement of loans and advances are measured at the lower of their fair value less costs to sell and the carrying amount of the loan and advances.

(c) Functional and presentation currency

These consolidated financial statements are presented in United Arab Emirates Dirhams ("AED"), which is the Bank's functional currency. Items included in the financial statements of each of the Bank's overseas subsidiaries and branches are measured using the currency of the primary economic environment in which they operate. Except as indicated, information presented in AED has been rounded to the nearest thousand.

(d) Use of estimates and judgements

The preparation of consolidated financial statements requires management to make judgements, estimates and assumptions that affect the application of accounting policies and reported amounts of assets and liabilities, income and expense. Actual results may differ from these estimates.

Estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimate is revised and in any future periods affected.

Information about significant areas of estimation uncertainty and critical judgements in applying accounting policies that have the most significant effect on the amount recognised in these consolidated financial statements are described in note 5.

3 Significant accounting policies

The accounting policies set out below have been applied consistently to all periods presented in these consolidated financial statements and have been applied consistently by Group entities except for the new standards and interpretations that became applicable and were adopted during the year.

New standards and interpretations adopted
A number of new standards, amendments to standards and interpretations have become effective for the period and have been applied in preparing these consolidated financial statements. These amendments are addressed in notes 3(a), 3(b) (iv) and 3(b) (vi)

(a) Basis of consolidation

IFRS 10 establishes a single control model that applies to all entities including special purpose entities and replaces the parts of previously existing IAS 27 Consolidated and Separate Financial Statements that dealt with consolidated financial statements and SIC-12 Consolidation – Special Purpose Entities. IFRS 10 changes the definition of control such that an investor controls an investee when it is exposed to, or has rights, to variable returns from its involvement with the investee and has the ability to affect those returns through its power over the investee. To meet the definition of control in IFRS 10, all three criteria must be met, including:

(a) the investor has power over an investee;
(b) the investor has exposure to, or rights, to variable returns from its involvement with the investee; and
(c) the investor has the ability to use its power over the investee to affect the amount of the investor's returns.

As a result of the adoption of IFRS 10, the Group has changed its accounting policy with respect to determining whether it has control over and consequently whether it consolidates its investees. Based on management's analysis, IFRS 10 had no significant impact on the consolidation of investments held by the Group.

(i) Subsidiaries
Subsidiaries are entities controlled by the Group. The financial statements of subsidiaries are included in these consolidated financial statements from the date that control commences until the date that control ceases.

These consolidated financial statements of the Group comprise the Bank and its subsidiaries as listed below:

Subsidiaries	Country of incorporation
Abu Dhabi International Bank N.V.	Curacao
NBAD Securities LLC	United Arab Emirates
Abu Dhabi National Leasing LLC	United Arab Emirates
Abu Dhabi National Properties PrJC	United Arab Emirates
NBAD Trust Company (Jersey) Limited	Channel Islands
NBAD Private Bank (Suisse) SA	Switzerland
Abu Dhabi National Islamic Finance Pvt.JSC	United Arab Emirates
Ample China Holdings Limited	Hong Kong
Abu Dhabi Brokerage Egypt	Egypt
National Bank of Abu Dhabi Malaysia Berhad	Malaysia
NBAD Investment Management (DIFC) Limited	United Arab Emirates
NBAD Employee Share Options Limited[1]	United Arab Emirates
SAS 10 Magellan[1]	France
National Bank of Abu Dhabi Representações Ltda[1]	Brazil
NBAD Financial Markets (Cayman) Limited[1]	Cayman Islands

[1] *added during the year*

(ii) Structured entities
A structured entity is established by the Group to perform a specific task. Structured entities are designed so that their activities are not governed by way of voting rights. In assessing whether the Group has power over such investees in which it has an interest, the Group considers factors such as the purpose and design of the investee, its practical ability to direct the relevant activities of the investee; the nature of its relationship with the investee; and the size of its exposure to the variability of returns of the investee.

The Group acts as fund manager to a number of investment funds. Determining whether the Group controls such an investment fund usually focuses on the assessment of the aggregate economic interests of the Group in the fund.

The Group's interest in investment funds which it manages is set out as below:

Type of Structured Entity	Nature and purpose	Interest held by the Group
Investment Funds	Generate fees from managing assets on behalf of third-party investors	Investments in units issued by the fund amounting to AED 81,529 thousand (31 December 2012: AED 53,658 thousand)

(iii) IFRS 11 Joint Arrangements and IAS 28 Investments in Associates and Joint Ventures

IFRS 11 replaces IAS 31 Interests in Joint Ventures and SIC-13 Jointly-Controlled Entities – Non-Monetary Contributions by Venturers. IFRS 11 removes the option to account for jointly controlled entities (JCEs) using proportionate consolidation. Instead, JCEs that meet the definition of a joint venture under IFRS 11 must be accounted for using the equity method. Based on management's analysis, IFRS 11 had no significant impact on the accounting of the Group's consolidated financial statements.

(iv) IFRS 12 Disclosure of Interests in Other Entities

IFRS 12 sets out the requirements for disclosures relating to an entity's interests in subsidiaries, joint arrangements, associates and structured entities. The disclosure for the same is set out in note 3(a)(i, ii and iii).

(v) Transactions eliminated on consolidation

The carrying amount of the Bank's investment in each subsidiary and the equity of each subsidiary is eliminated on consolidation. All significant intra-group balances, and unrealised income and expenses arising from intra-group transactions are eliminated on consolidation.

(b) Financial assets and liabilities

(i) Recognition

The Group initially recognises loans and advances, customers' deposits, term borrowings and subordinated notes on the date that they are originated. All other financial assets and liabilities are initially recognised on the consolidated statement of financial position when, the Group becomes a party to the contractual provisions of the instrument. These are initially measured at fair value plus, for an item not at fair value through profit or loss, transaction costs that are directly attributable to its acquisition or issue.

All *regular way* purchases and sales of financial assets are recognised on the settlement date, i.e. the date the asset is delivered to or received from the counterparty. *Regular way* purchases or sales of financial assets are those that require delivery of assets within the time frame generally established by regulation or convention in the market place.

(ii) Classification

(a) Designation at fair value through profit or loss

The Group has designated financial assets and liabilities at fair value through profit or loss when either:

- the assets or liabilities are managed, evaluated and reported internally on a fair value basis; or
- the designation eliminates or significantly reduces an accounting mismatch which would otherwise arise.

(b) Held for trading

Trading assets are those assets that the Group acquires for the purpose of selling in the near term, or holds as part of a portfolio that is managed together for short-term profit taking.

Trading assets are not reclassified subsequent to their initial recognition.

(c) Designation as available-for-sale and held-to-maturity

The Group has non-derivative financial assets designated as available-for-sale when these are not classified as loans and receivables, held-to-maturity investments or financial assets at fair value through profit or loss.

Held-to-maturity investments are non-derivative assets with fixed or determinable payments and fixed maturity that the Group has the positive intent and ability to hold to maturity, which are not designated as at fair value through profit or loss or as available-for-sale and do not meet the definition of loans and advances.

(d) Loans and receivables

Loans and receivables are non-derivative financial assets with fixed or determinable payments that are not quoted in an active market and that the Group does not intend to sell immediately or in the near term.

(e) Financial liabilities

The Group classifies its financial liabilities, other than financial guarantees and loan commitments, as measured at amortised cost or fair value through profit or loss.

(iii) Derecognition

The Group derecognises a financial asset when the contractual rights to the cash flows from the financial asset expire, or when it transfers the rights to receive the contractual cash flows on the financial asset in a transaction in which substantially all the risks and rewards of ownership of the financial asset are transferred.

The Group derecognises a financial liability when its contractual obligations are discharged or cancelled or expire.

The Group enters into transactions whereby it transfers assets recognised on its consolidated statement of financial position, but retains either all or substantially all of the risks and rewards of the transferred assets or a portion of them. In such transactions, the transferred assets are not derecognised from the consolidated statement of financial position. Transfers of assets with retention of all or substantially all risks and rewards include repurchase transactions.

The Group also derecognises certain assets when it writes off balances pertaining to the assets deemed to be uncollectible.

(iv) Offsetting

As per IAS 32, financial assets and liabilities are offset and the net amount presented in the consolidated statement of financial position when, and only when, the Group has a legal right to set off the amounts and intend either to settle on a net basis, or to realise the asset and settle the liability simultaneously.

Income and expenses are presented on a net basis only when permitted under IFRS, or for gains and losses arising from a group of similar transactions.

(v) Amortised cost measurement

The amortised cost of a financial asset or liability is the amount at which the financial asset or liability is measured at initial recognition, minus principal repayments, plus or minus the cumulative amortisation using the effective interest method of any difference between the initial amount recognised and the maturity amount, minus any reduction for impairment.

(vi) Fair value measurement

The Group has adopted IFRS 13 prospectively from the beginning of the period. The change had no significant impact on the measurements of the Group's assets and liabilities.

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date in the principal, or in its absence, the most advantageous market to which the Group has access at that date. The fair value of a liability reflects its non-performance risk.

When applicable, the Group measures the fair value of an instrument using the quoted price in an active market for that instrument. A market is regarded as active if transactions for the asset or liability take place with sufficient frequency and volume to provide pricing information on an ongoing basis.

When there is no quoted price in an active market, the Group uses valuation techniques that maximise the use of relevant observable inputs and minimise the use of unobservable inputs. The chosen valuation technique incorporates all the factors that market participants would take into account in pricing a transaction.

The best evidence of the fair value of a financial instrument at initial recognition is normally the transaction price – i.e. the fair value of the consideration given or received. If the Group determines that the fair value at initial recognition differs from the transaction price and the fair value is evidenced neither by a quoted price in an active market for an identical asset or liability nor based on a valuation technique that uses only data from observable markets, the financial instrument is initially measured at fair value, adjusted to defer the difference between the fair value at initial recognition and the transaction price. Subsequently, that difference is recognised in the consolidated statement of income on an appropriate basis over the life of the instrument but no later than when the valuation is supported wholly by observable market data or the transaction is closed out.

If an asset or a liability measured at fair value has a bid price and an ask price, the Group measures assets and long positions at a bid price and liabilities and short positions at an ask price.

Portfolios of financial assets and financial liabilities that are exposed to market risk and credit risk that are managed by the Group on the basis of the net exposure to either market or credit risk, are measured on the basis of a price that would be received to sell a net long position or paid to transfer a net short position for a particular risk exposure.

The Group recognises transfers between levels of the fair value hierarchy as at the end of the reporting period during which the change has occurred.

(vii) Identification and measurement of impairment

An assessment is made at each reporting date and periodically during the year to determine whether there is any objective evidence that financial assets not carried at fair value through profit or loss, are impaired. Financial assets are impaired when objective evidence indicates that a loss event has occurred after the initial recognition of the asset and that the loss event has an impact on the future cash flows of the asset that can be estimated reliably.

Objective evidence that financial assets are impaired can include significant financial difficulty of the borrower or issuer, default or delinquency by a borrower, restructuring of a loan or an advance by the Group on terms that the Group would not otherwise consider, indications that a borrower or issuer will enter bankruptcy, the disappearance of an active market for a security, or other observable data relating to a group of assets such as adverse changes in the payment status of borrowers or issuers in the group, or economic conditions that correlate with defaults in the group. In addition, for an investment in an equity security, a significant or prolonged decline in its fair value below its cost is objective evidence of impairment.

The Group considers evidence of impairment at both specific and collective levels. All individually significant assets are assessed for specific impairment. All individually significant assets found not to be specifically impaired are then collectively assessed for any impairment that has been incurred but not yet identified. Assets that are not individually significant are collectively assessed for impairment by grouping together financial assets with similar risk characteristics.

In assessing collective impairment the Group uses the higher of 1.5% of risk weighted asset computed as per Central Bank of UAE guidelines and a statistical modelling which incorporates historical trends of the probability of default, timing of recoveries and the amount of loss incurred, adjusted for management's judgement as to whether current economic and credit conditions are such that the actual losses are likely to be greater or less than suggested by historical modelling. Default rates, loss rates and the expected timing of future recoveries are regularly benchmarked against actual outcomes to ensure that they remain appropriate.

Impairment losses on financial assets carried at amortised cost are measured as the difference between the carrying amount of the financial assets and the present value of estimated cash flows discounted at the original effective interest rate. Impairment losses are recognised in the consolidated income statement and reflected in an allowance account against such financial assets. When a subsequent event causes the amount of impairment loss to decrease, the decrease in impairment loss is reversed through the consolidated income statement.

Impairment losses on available-for-sale investment securities are recognised by transferring the difference between the amortised acquisition costs and current fair values out of other comprehensive income to the consolidated income statement. When a subsequent event causes the amount of impairment loss on available-for-sale debt security to decrease, the impairment loss is reversed through the consolidated income statement. However, any subsequent recovery in the fair value of an impaired available-for-sale equity investment is recognised in other comprehensive income.

Impairment losses on an unquoted equity instruments that are carried at cost because their fair value cannot be reliably measured, are measured as the difference between the carrying amount of the financial assets and the present values of estimated future cash flows discounted at the current market rate of return for similar financial assets. Such impairment losses shall not be reversed.

(c) Cash and cash equivalents

For the purpose of consolidated statement of cash flows, cash and cash equivalents comprise cash, balances with central banks and due from banks and financial institutions with original maturities of less than three months, which are subject to insignificant risk of changes in fair value, and are used by the Group in the management of its short-term commitments.

Cash and cash equivalents are carried at amortised cost in the consolidated statement of financial position.

(d) Investments at fair value through profit or loss

These are financial assets classified as held for trading or designated as such upon initial recognition. These are initially recognised and subsequently measured at fair value with transaction costs taken directly to the consolidated income statement. All related realised and unrealised gains or losses are included in net gain on investments.

(e) Due from banks and financial institutions

These are stated at amortised cost, less any allowance for impairment.

(f) Loans and advances

Loans and advances are non-derivative financial assets with fixed or determinable payments that are not quoted in an active market and that the Group does not intend to sell immediately or in the near term.

These are initially measured at fair value (being the transaction price at inception) plus incremental direct transaction costs and subsequently measured at amortised cost using the effective interest method, adjusted for effective fair value hedges, net of interest suspended and provisions for impairment.

When the Group is the lessor in a lease agreement that transfers substantially all of the risks and rewards incidental to ownership of the asset to the lessee, the arrangement is classified as a finance lease and a receivable equal to the net investment in the lease is recognised and presented within loans and advances. In determining whether an arrangement is a lease, the Group ascertains the substance of the arrangement and assesses whether the fulfilment of the arrangement is dependent on the use of a specific asset or assets and whether the arrangement conveys a right to use the assets.

(g) Islamic financing and investing contracts

(i) Definitions

Ijara
Ijara consists of Ijara muntahia bitamleek.

Ijara muntahia bitamleek is an agreement whereby the Group (the lessor) conveys to the customer (the lessee), in return for a specific rent, the right to use a specific asset for a specific period of time, against payment of fixed periodical and variable rental. Under this agreement, the Group purchases or constructs the asset and rents it to the customer. The contract specifies the leasing party and the amount and timing of rental payments and responsibilities of both parties during the term of the lease. The customer provides the Group with an undertaking to settle the rental amount as per the agreed schedule.

The Group retains the ownership of the assets throughout the entire lease term. At the end of the lease term, the Group sells the leased asset to the customer at a nominal value based on a sale undertaking by the Group.

Murabaha
An agreement whereby the Group sells to a customer a commodity, which the Group has purchased and acquired, based on promise received from the customer to buy the item purchased according to specific terms and conditions. The selling price comprises the cost of the commodity and an agreed profit margin.

Mudaraba
A contract between the Group and a customer, whereby one party provides the funds (Rab Al Mal) and the other party (the Mudarib) invests the funds in a project or a particular activity and any generated profits are distributed between the parties according to the profit shares that were pre-agreed upon in the contract. The Mudarib is responsible for all losses caused by his misconduct, negligence or violation of the terms and conditions of the Mudaraba; otherwise, losses are borne by Rab Al Mal.

Wakala
An agreement whereby the Group provides a certain sum of money to an agent (Wakkil) who invests it in Shari'a compliant transactions according to specific conditions in return for a certain fee (a lump sum of money or a percentage of the amount invested).

(ii) Revenue recognition

Ijara
Income from Ijara is recognised on a declining-value basis, until such time a reasonable doubt exists with regard to its collectability.

Murabaha
Income from Murabaha is recognised on a declining-value basis, until such time a reasonable doubt exists with regard to its collectability.

Mudaraba
Income or losses on Mudaraba financing are recognised on an accrual basis if they can be reliably estimated. Otherwise, income is recognised on distribution by the Mudarib, whereas the losses are charged to the consolidated income statement on their declaration by the Mudarib.

Wakala
Estimated income from Wakala is recognised on an accrual basis over the period, adjusted by actual income when received. Losses are accounted for on the date of declaration by the agent.

(h) Non-trading investments

Included in non-trading investments are available-for-sale assets which are initially recognised at fair value plus incremental transaction costs directly attributable to the acquisition.

After initial recognition, these investments are remeasured at fair value. For investments which are not part of an effective hedge relationship, unrealised gains or losses are recognised in other comprehensive income until the investment is derecognised or until the investment is determined to be impaired, at which time the cumulative gain or loss previously recognised in other comprehensive income, is included in the consolidated income statement for the year. For investments which are part of an effective fair value hedge relationship, any unrealised gain or loss arising from a change in fair value is recognised directly in the consolidated income statement to the extent of the changes in fair value being hedged.

For the purpose of recognising foreign exchange gains and losses, an available-for-sale financial asset is treated as if it were carried at amortised cost in the foreign currency. Accordingly, for such a financial asset, exchange differences are recognised in the consolidated income statement.

For unquoted equity investments where fair value cannot be reliably measured, these are carried at cost less provision for impairment in value. Upon de-recognition, the gain or loss on sale is recognised in the consolidated income statement for the year.

Included in non-trading investments are held-to-maturity assets which are non derivative assets with fixed or determinable payments and fixed maturity and that the Group has the positive intent and ability to hold them till maturity. These are carried at amortised cost less impairment.

(i) Reverse repurchase agreements

Assets purchased with a simultaneous commitment to resell at a specified future date (reverse repos) are not recognised. The amount paid to the counterparty under these agreements is shown as reverse repurchase agreements in the consolidated statement of financial position. The difference between purchase and resale price is treated as interest income and accrued over the life of the reverse repurchase agreement and charged to the consolidated income statement using the effective interest method.

(j) Property and equipment

(i) Recognition and measurement
All items of property and equipment are measured at cost less accumulated depreciation and impairment losses, if any. Capital projects in progress are initially recorded at cost and regularly tested for impairment and upon completion are transferred to the appropriate category of property and equipment and thereafter depreciated.

Cost includes expenditures that are directly attributable to the acquisition of the asset. Purchased software that is integral to the functionality of the related equipment is capitalised as part of that equipment.

Gains and losses on disposal of an item of property and equipment are determined by comparing the proceeds from disposal with the carrying amount of property and equipment and are recognised net within other operating income in the consolidated income statement.

Subsequent expenditures are only capitalised when it is probable that the future economic benefits of such expenditures will flow to the Group. On-going expenses are charged to consolidated income statement as incurred.

(ii) Depreciation
Depreciation is recognised in the consolidated income statement on a straight-line basis over the estimated useful lives of all property and equipment. Freehold land and capital work in progress are not depreciated.

The estimated useful lives of assets for the current and comparative period are as follows:

Buildings	20 to 50 years
Office furniture and equipment	1 to 5 years
Alterations to premises	4 years
Safes	10 to 20 years
Computer systems and equipment	3 to 7 years
Vehicles	3 years

Depreciation methods, useful lives and residual values are reassessed at every reporting date.

(iii) Capital work in progress
Capital work in progress assets are assets in the course of construction for production, supply or administrative purposes, are carried at cost, less any recognised impairment loss. Cost includes all direct cost attributable to design and construction of the property capitalised in accordance with Group's accounting policy. When the assets are ready for the intended use, the capital work in progress is transferred to the appropriate property and equipment category and is depreciated in accordance with the Group's policies.

(iv) Impairment
The carrying amounts are reviewed at each reporting date for indication of impairment. If any such indication exists then the asset's recoverable amount is estimated. The recoverable amount of an asset or cash generating unit is the greater of its value in use and its fair value less costs to sell. In assessing value in use, the estimated future cash flows are discounted to their present value using a discount rate that reflects current market assessments of the time value of money and the risks specific to the asset. An impairment loss is recognised in the consolidated income statement to the extent that carrying values do not exceed the recoverable amounts.

(k) Investment properties

(i) Recognition and measurement
Investment properties are properties held either to earn rental income or for capital appreciation or for both, but not for sale in the ordinary course of business, use in the production or supply of goods or services or for administrative purposes. Investment properties are measured at cost as per the cost model under IAS 40- Investment property. Cost includes expenditure that is directly attributable to the acquisition of the asset.

When the use of a property changes such that it is reclassified as property and equipment, its fair value at the date of reclassification becomes its cost for subsequent accounting.

Investment properties are derecognised when either they have been disposed of or when the investment property is permanently withdrawn from use and no future economic benefit is expected from its disposal.

Any income or expenses on the investment properties are recognised in the consolidated income statement in other operating income or other operating expense respectively.

(ii) Depreciation
Depreciation is recognised in the consolidated income statement on a straight-line basis over the estimated useful lives of all investment properties. The estimated useful lives of investment properties for the current period are as follows:

Buildings and villas	20 to 50 years

Depreciation methods, useful lives and residual values are reassessed at every reporting date.

(iii) Impairment
The carrying amounts are reviewed at each reporting date for indication of impairment. If any such indication exists then the asset's recoverable amount is estimated. The recoverable amount of an asset or cash generating unit is the greater of its value in use and its fair value less costs to sell. In assessing value in use, the estimated future cash flows are discounted to their present value using a discount rate that reflects current market assessments of the time value of money and the risks specific to the asset. An impairment loss is recognised in the consolidated income statement to the extent that carrying values do not exceed the recoverable amounts.

(l) Collateral pending sale

Non financial assets acquired in settlement of loans and advances are recorded as assets held for sale and reported in "Other assets". The asset acquired is recorded at the lower of its fair value less costs to sell and the carrying amount of

the loan (net of impairment allowance) at the date of exchange. No depreciation is provided in respect of assets held for sale. Any subsequent write-down of the acquired asset to fair value less costs to sell is recorded as an impairment loss and included in the consolidated income statement. Any subsequent increase in the fair value less costs to sell, to the extent this does not exceed the cumulative impairment loss, is recognised in the consolidated income statement. The Group's collateral disposal policy is in line with the respective regulatory requirement of the regions in which the Group operates.

(m) Due to banks and financial institutions, customers' deposits and euro commercial paper

Due to banks and financial institutions, customer deposits and euro commercial paper are financial liabilities and are initially recognised at their fair value minus the transaction costs and subsequently measured at their amortised cost using the effective interest method.

(n) Repurchase agreements

Assets sold with a simultaneous commitment to repurchase at a specified future date (repos) are not derecognised. The liability to the counterparty for amounts received under these agreements is shown as repurchase agreements in the consolidated statement of financial position. The difference between sale and repurchase price is treated as interest expense and accrued over the life of the repurchase agreement and charged to the consolidated income statement using the effective interest method.

(o) Term borrowings and subordinated notes

Term borrowings and subordinated notes include convertible notes that can be converted into share capital at the option of the holder, where the number of shares issued do not vary with changes in their fair value, are accounted for as compound financial instruments. The equity component of the convertible notes is calculated as the excess of issue proceeds over the present value of the future interest and principal payments, discounted at the market rate of interest applicable to similar liabilities that do not have a conversion option.

Term borrowings and subordinated notes without conversion option are financial liabilities and are initially recognised at their fair value minus the transaction costs and subsequently measured at their amortised cost using the effective interest method and adjusted to the extent of fair value changes for the risks being hedged.

(p) Share option scheme

On the grant date fair value of options granted to staff is estimated and the cost is recognised as staff cost, with a corresponding increase in equity, over the period required for the staff to become unconditionally entitled to the options. The amount recognised as an expense is adjusted to reflect the number of share options for which the related service conditions are expected to be met; as such the amount ultimately recognised as an expense is based on the number of share options that do meet the related service and non-market performance conditions at the vesting date.

(q) Interest

Interest income and expense are recognised in the consolidated income statement using the effective interest method. The effective interest rate is the rate that exactly discounts the estimated future cash flows through the expected life of the financial asset or liability to the carrying amount of the financial asset or liability.

The calculation of the effective interest rate includes all fees paid or received that are an integral part of the effective interest rate. Transaction costs include incremental costs that are directly attributable to the acquisition or issue of a financial asset or liability.

Interest income and expense presented in the consolidated income statement include:

- interest on financial assets and liabilities at amortised cost on an effective interest basis.
- interest on available-for-sale investment securities on an effective interest basis.
- interest on held for trading securities and derivative financial instruments on an effective interest basis.

(r) Depositors' share of profit

Depositors' share of profit is amount accrued as expense on the funds accepted from banks and customers in the form of wakala deposits and recognised as expenses in statement of comprehensive income. The amounts are calculated in accordance with agreed terms and conditions of the wakala deposits and Shari'a principles.

(s) Fee and commission

The Group earns fee and commission income from a diverse range of services provided to its customers. The basis of accounting treatment of fees and commission depends on the purposes for which the fees are collected and accordingly the revenue is recognised in consolidated income statement. Fee and commission income is accounted for as follows:

- income earned from the provision of services is recognised as revenue as the services are provided;
- income earned on the execution of a significant act is recognised as revenue when the act is completed;
- income which forms an integral part of the effective interest rate of a financial instrument is recognised as an adjustment to the effective interest rate and recorded in "Interest income".

Fee and commission expense relates mainly to transaction and service fees which are expensed as the services are received.

(t) Net gain on investments

Net gain on investments comprises realised and unrealised gains and losses on investments at fair value through profit or loss, realised gains and losses on non-trading investments and dividend income. Dividend income is recognised when the right to receive payment is established.

(u) Foreign currency

(i) Foreign currency transactions
Transactions in foreign currencies are translated into the respective functional currencies of the Group entities at spot exchange rates at the dates of the transactions.

Monetary assets and liabilities denominated in foreign currencies at the reporting date are retranslated to the functional currency at the spot exchange rates at the reporting date. Non-monetary assets and liabilities that are measured in terms of historical cost in a foreign currency are translated using the exchange rate at the date of the transaction. The foreign currency gain or loss on monetary items is the difference between amortised cost in the functional currency at the beginning of the period, adjusted for effective interest and payments during the period, and the amortised cost in foreign currency translated at the exchange rate at the end of the period. Foreign currency differences arising on retranslation are recognised in consolidated income statement.

(ii) Foreign operations
The activities of subsidiaries and branches based outside the UAE are not deemed an integral part of the head office operations, as they are financially and operationally independent of the head office. The assets and liabilities of the subsidiaries and overseas branches are translated into UAE Dirhams at rates of exchange at the reporting date. Income and expense items are translated at average rates, as appropriate. Exchange differences (including those on transactions which hedge such investments) arising from retranslating the opening net assets, are taken directly to foreign currency translation adjustment account in other comprehensive income.

(v) Zakat

Zakat represents islamic business zakat payable by the Group to comply with the principles of Shari'a and is approved by the Shari'a Supervisory Board. The Group's appointed Zakat Committee is mandated to recommend zakat distribution.

(w) Overseas income tax expense

Income tax expense is provided for in accordance with fiscal regulations of the respective countries in which the Group operates and is recognised in the consolidated income statement. Income tax expense is the expected tax payable on the taxable income for the year, using tax rates enacted or substantively enacted at the reporting date and any adjustment to tax payable in respect of previous years.

Deferred tax is provided using the liability method on all temporary differences between the carrying amounts of assets and liabilities for financial reporting purposes and the amounts used for taxation purposes. Deferred tax is not recognised for the following temporary differences: the initial recognition of goodwill, the initial recognition of assets or liabilities in a transaction that is not a business combination and that affects neither accounting nor taxable profit or loss, and differences relating to investments in subsidiaries to the extent that they probably will not reverse in the foreseeable future. Deferred tax is measured at the tax rates that are expected to apply to the period when the asset is realised or the liability is settled, based on laws that have been enacted at the reporting date.

A deferred tax asset is recognised only to the extent that it is probable that future taxable profits will be available against which the asset can be utilised. The carrying amount of deferred tax assets is reviewed at each reporting date and reduced to the extent that it is no longer probable that sufficient taxable profit will be available to allow all or part of the deferred tax asset to be utilised.

(x) Derivative financial instruments and hedging

Derivatives are initially recognised, and subsequently measured at fair value with transaction costs taken directly to the consolidated income statement. The fair value of a derivative is the equivalent of the unrealised gain or loss from marking to market the derivative or using valuation techniques, mainly discounted cash flow models.

The method of recognising the resulting fair value gains or losses depends on whether the derivative is held for trading, or is designated as a hedging instrument and, if so, the nature of the risk being hedged. All gains and losses from changes in fair value of derivatives held for trading are recognised in the consolidated income statement. When derivatives are designated as hedges, the Group classifies them as either: (i) fair value hedges which hedge the exposure to changes in the fair value of a recognised asset or liability; (ii) cash flow hedges which hedge exposure to variability in cash flows that is either attributable to a particular risk associated with a recognised asset or liability or a highly probable forecast transaction; (iii) hedge of net investment which are accounted similarly to a cash flow hedge. Hedge accounting is applied to derivatives designated as hedging instruments in a fair value or cash flow, provided the criteria are met.

Embedded derivatives
Derivatives may be embedded in another contractual arrangement (a host contract). The Group accounts for an embedded derivative separately from the host contract when the host contract is not itself carried at fair value through profit or loss, the terms of the embedded derivative would meet the definition of a derivative if they were contained in a separate contract, and the economic characteristic and risks of the embedded derivative are not closely related to the economic characteristics and risk of the host contract. Separated embedded derivatives are accounted for depending on their classification, and are presented separately from host contract in the consolidated statement of financial position.

Hedge accounting
It is the Group's policy to document, at the inception of a hedge, the relationship between hedging instruments and hedged items, as well as risk management objective and strategy. The policy also requires documentation of the assessment, at inception and on an on-going basis, of the effectiveness of the hedge.

The Group makes an assessment, both at the inception of the hedge relationship as well as on an on-going basis, as to whether the hedging instrument(s) is (are) expected to be highly effective in offsetting the changes in the fair value or cash flows of the respective hedged item(s) during the period for which the hedge is designated, and whether the actual results of each hedge are within a range of 80-125 percent. The Group makes an assessment for a cash flow hedge of a forecast transaction, as to whether the forecast transaction is highly probable to occur and presents an exposure to variations in cash flows that could ultimately affect profit or loss.

Fair value hedge
In relation to fair value hedges, any gain or loss from re-measuring the hedging instrument to fair value, as well as related changes in fair value of the item being hedged, are recognised immediately in the consolidated income statement together with the changes in the fair value of the hedged item that are attributable to the hedged risk. Hedge accounting is discontinued when the hedging instrument expires or is sold, terminated or exercised, or no longer qualifies for hedge accounting. Any adjustment up to that period to the hedged item for which effective interest rate method was used is amortised to the consolidated income statement as a part of the recalculated effective interest rate of the then hedged item over its remaining life.

Cash flow hedge
In relation to effective cash flow hedges, the gain or loss on the hedging instrument is recognised initially in other comprehensive income and transferred to the consolidated income statement in the period in which the hedged transaction impacts the consolidated income statement. Gains or losses, if any, relating to the ineffective portion, are recognised immediately in the consolidated income statement. If the hedged transaction is no longer expected to occur, the net cumulative gain or loss recognised in other comprehensive income is transferred to the consolidated income statement.

Net investments hedges
When a derivative instrument or a non-derivative financial liability is designated as the hedging instrument in a hedge of a net investment in a foreign operation, the effective portion of the changes in the fair value of the hedging instrument is recognised in other comprehensive income in the translation reserve. Any ineffective portion of the changes in the fair value of the derivative is recognised immediately in the consolidated income statement. The amount recognised under other comprehensive income is reclassified to income statement on disposal of the foreign operation.

Other derivatives
All gains and losses from changes in the fair values of derivatives that do not qualify for hedge accounting or are not designated as such are recognised immediately in the consolidated income statement as a component of net gain on investments or net foreign exchange gain.

(y) Provisions

A provision is recognised if, as a result of a past event, the Group has a present legal or constructive obligation that can be estimated reliably, and it is probable that an outflow of economic benefits will be required to settle the obligation. Where the effect of time value of money is material, provisions are determined by discounting the expected future cash flows, at a pre-tax rate, that reflects current market assessments of the time value of money and, where appropriate, the risks specific to the liability.

(z) Staff terminal benefits

UAE operations: UAE nationals employed by the Group are registered in the scheme managed by Abu Dhabi Retirement Pensions & Benefits Fund in accordance with Law number (2) of 2000. Staff terminal benefits for expatriate employees are accounted for on the basis of their accumulated services at the reporting date and in accordance with the Group's internal regulations, which comply with the UAE federal labour law.

Foreign operations: the Group provides for staff terminal benefits for its overseas based employees in accordance with the applicable regulations in those jurisdictions.

(aa) Directors' remuneration

Pursuant to Article 118 of the Commercial Companies Law No. 8 of 1984 and in accordance with the Bank's Articles of Association, Directors' shall be entitled for remuneration which shall not exceed 10% of the net profits after deducting depreciation, reserves and distribution of dividends not less than 5% of capital to shareholders.

(ab) Fiduciary activities

Assets held in trust or in a fiduciary capacity are not treated as assets of the Group and, accordingly, are not included in these consolidated financial statements.

(ac) Financial guarantees

Financial guarantees are contracts that require the Group to make specified payments to reimburse the holder for a loss it incurs because a specified party fails to meet its obligation when due in accordance with the contractual terms.

Certain financial guarantee contracts in the nature of credit default guarantees are not held for proprietary trading purposes and are treated as insurance contracts and accounted for under IFRS 4.

For other financial guarantee contracts, these are initially recognised at their fair value (which is the premium received on issuance). The received premium is amortised over the life of the financial guarantee. The guarantee liability is subsequently carried at the higher of this amortised amount and the present value of any expected payment (when a payment under the guarantee has become probable). The premium received on these financial guarantees is included within other liabilities.

(ad) Earnings per share

The Group presents basic and diluted earnings per share (EPS) data for its ordinary shares. Basic EPS is calculated by dividing the profit or loss attributable to ordinary shareholders of the Bank by the weighted average number of ordinary shares outstanding during the year. Diluted EPS is determined by adjusting the profit or loss attributable to ordinary shareholders and the weighted average number of ordinary shares outstanding for the effects of all dilutive potential ordinary shares, which comprise convertible notes and share options granted to staff.

(ae) Segment reporting

An operating segment is a component of the Group that engages in business activities from which it may earn revenues and incur expenses, including revenues and expenses that relate to transactions with any of the Group's other components. All operating segments' operating results are reviewed regularly by the Group's Chief Executive, being the chief operating decision maker, to make decisions about resources to be allocated to the segment and to assess its performance for which discrete financial information is available.

Segment results that are reported to the Group Chief Executive include items directly attributable to a segment as well as those that can be allocated on a reasonable basis.

(af) Lease payments

Payments made under operating leases are recognised in the consolidated income statement on a straight-line basis over the term of the lease. Lease incentives received are recognised as an integral part of the total lease expense, over the term of the lease.

(ag) New standards and interpretations not yet adopted

A number of new standards, amendments to standards and interpretations are not yet effective for the year ended 31 December 2013, and have not been applied in preparing these consolidated financial statements:

IAS - 32 *(Amendments to IAS 32 Offsetting financial assets and financial liabilities):* clarifies the offsetting criteria by explaining when an entity has a legal and enforceable right to set-off and when gross settlement is equivalent to net settlement. The amendments are effective on or after 1 January 2014. The Group is still evaluating the potential effect of this amendment to IAS 32 Offsetting financial assets and financial liabilities.

IFRS -9 *Financial Instruments:* IFRS 9 (2009) introduces new requirements for the classification and measurement of financial assets. IFRS 9 (2010) introduces additions relating to financial liabilities. IFRS 9 (2013) introduces new requirements for hedge accounting. The IASB currently has an active project to make limited amendments to the classification and measurement requirements of IFRS 9 and add new requirements to address the impairment of financial assets.

The IFRS 9 (2009) requirements represent a significant change from the existing requirements in IAS 39 in respect of financial assets. The standard contains two primary measurement categories for financial assets: amortised cost and fair value. A financial asset would be measured at amortised cost if it is held within a business model whose objective is to hold assets in order to collect contractual cash flows, and the asset's contractual terms give rise on specified dates to cash flows that are solely payments of principal and interest on the principal outstanding. All other financial assets would be measured at fair value. The standard eliminates the existing IAS 39 categories of held-to-maturity, available-for-sale and loans and receivables. For an investment in an equity instrument that is not held for trading, the standard permits an irrevocable election, on initial recognition, on an individual share-by-share basis, to present all fair value changes from the investment in other comprehensive income "OCI". No amount recognised in OCI would ever be reclassified to profit or loss at a later date. However, dividends on such investments would be recognised in profit or loss, rather than OCI, unless they clearly represent a partial recovery of the cost of the investment. Investments in equity instruments in respect of which an entity does not elect to present fair value changes in OCI would be measured at fair value with changes in fair value recognised in profit or loss.

The standard requires derivatives embedded in contracts with a host that is a financial asset in the scope of the standard not to be separated; instead, the hybrid financial instrument is assessed in its entirety for whether it should be measured at amortised cost or fair value.

IFRS 9 (2010) introduces a new requirement in respect of financial liabilities designated under the fair value option to generally present fair value changes that are attributable to the liability's credit risk in OCI rather than in profit or loss. Apart from this change, IFRS 9 (2010) largely carries forward without substantive amendment the guidance on classification and measurement of financial liabilities from IAS 39.

IFRS 9 (2013) introduces new requirements for hedge accounting that align hedge accounting more closely with risk management. The requirements also establish a more principles-based approach to hedge accounting and address inconsistencies and weaknesses in the hedge accounting model in IAS 39.

The mandatory effective date of IFRS 9 is not specified but will be determined when the outstanding phases are finalised. However, application of IFRS 9 is permitted.

The Group has started the process of evaluating the potential effect of this standard but is awaiting finalisation of the limited amendments before the evaluation can be completed. Given the nature of the Group's operations, this standard is expected to have a pervasive impact on the Group's financial statements.

4 Financial risk management

Introduction and overview

The Group has exposure to the following risks from financial instruments:

- Credit risk
- Liquidity risk
- Market risk
- Operational risk

This note presents information about the Group's exposure to each of the above risks, the Group's objectives, policies and processes for measuring and managing risk, and the Group's management of capital.

Risk management framework

The Board of Directors (the "Board") has overall responsibility for the establishment and oversight of the Group's risk management framework and they are assisted by two board committees (Risk Management Committee and Audit Committee), and two management committees (Group Risk Committee ("GRC") and Group Assets and Liabilities Committee ("G-ALCO")).

The Group manages risk using three lines of defence comprising of business units, control units and Internal Audit. Business units, as the first line of defence, identify and manage risk in their day-to-day activities by ensuring that activities are within the Group's risk appetite and are in compliance with all relevant internal policies and processes. Risk Group (comprising head office risk and risk functions embedded in business divisions) and Legal & Compliance division, as the second line of defence, establishes risk controls comprising of policies and processes while also providing oversight and independent challenge to the first line of defence. Internal audit, as the third line of defence, provides assurance to management and the Board of the effectiveness of risk management practices employed by the first two lines of defence.

(a) Credit risk

Credit risk is the risk that a customer or counterparty to a financial asset fails to meet its contractual obligations and cause the Group to incur a financial loss. It arises principally from the Group's loans and advances, due from banks and financial institutions, reverse repurchase agreements and non-trading debt investments, derivative financial instruments and certain other assets.

For risk management purposes, credit risk arising on trading investments is managed independently, and reported as a component of market risk exposure.

Management of credit risk

The Group uses an internal risk rating system to assess the credit quality of corporate borrowers and counterparties. Each corporate borrower is assigned a rating, including classified accounts. The risk rating system has 11 grades, further segregated into 24 notches. Grades 1-8 are performing and Grades 9 -11 are non – performing. Non-performing grades are classified based on the below criteria:

Grade	Classification	Criteria	
		Corporate loans	Retail loans
9	Sub-standard loans	Arrears greater than 90 days and shows some loss due to adverse factors that hinder repayment	Arrears greater than 90 days
10	Doubtful loans	Based on available information, full recovery seems doubtful, leading to a loss on portion of these loans	Arrears greater than 120 days
11	Loss loans	Probability of no recovery; after all available courses of action are exhausted	Arrears greater than 180 days

The Performing loan portfolio of the Group based on the internal credit ratings is as follows:

Rating grade	Performing loans and advances	
	2013 AED'000	2012 AED'000
1 – 4	118,072,923	86,941,625
5 – 6	23,540,201	40,947,560
7	26,411,070	22,405,411
8	2,276,844	1,808,938
Retail programme lending (unrated)	13,824,433	12,232,806
	184,125,471	164,336,340

In addition, the Group manages credit risk by obtaining collateral where appropriate and limiting the duration of exposure. In certain cases, the Group may also close out transactions or assign them to other counterparties to mitigate credit risk. Credit risk in respect of derivative financial instruments is limited to those with positive fair values.

Credit risk arising from other financial instruments is managed by assigning limits, diversification of investment activities, limiting concentration of exposure to industry sectors, geographical locations and counterparties.

Impairment:

The Group measures its exposure to credit risk by reference to the gross carrying amount of financial assets less amounts offset, interest suspended and impairment losses, if any. The carrying amount of financial assets represents the maximum credit exposure.

	Due from banks and financial institutions		Loans and advances		Non-trading investments	
	2013 AED'000	2012 AED'000	2013 AED'000	2012 AED'000	2013 AED'000	2012 AED'000
Individually impaired						
Substandard	–	–	1,869,337	2,734,930	–	–
Doubtful	718	718	1,834,684	1,860,988	20,055	20,055
Loss	–	–	3,209,921	1,891,896	–	–
Gross amount	718	718	6,913,942	6,487,814	20,055	20,055
Interest suspended	–	–	(900,893)	(707,053)	–	–
Specific allowance for impairment	(718)	(718)	(3,352,083)	(3,089,649)	(17,043)	(16,712)
Carrying amount	–	–	2,660,966	2,691,112	3,012	3,343
Past due but not impaired						
Past due comprises:						
Less than 30 days	–	–	483,780	413,555	–	–
31 – 60 days	–	–	79,627	85,501	–	–
61 – 90 days	–	–	76,433	133,548	–	–
More than 90 days	–	–	1,647,167	1,968,538	–	–
Carrying amount	–	–	2,287,007	2,601,142	–	–
Neither past due nor impaired	20,100,371	14,615,968	181,838,464	161,735,198	50,843,047	32,283,514
Collective allowance for impairment	–	–	(2,974,943)	(2,428,074)	–	–
Carrying amount	20,100,371	14,615,968	183,811,494	164,599,378	50,846,059	32,286,857

Non trading investment includes investment in equity instruments amounting to AED 161 million *(2012: AED 121 million)* which does not carry credit risk.

The category of neither past due nor impaired includes renegotiated loans amounting to AED 1,921,968 thousand *(2012: AED 2,405,817 thousand).*

Impaired loans and advances and non-trading investments
Impaired loans and advances and non-trading investments are financial assets for which the Group determines that it is probable that it will be unable to collect all principal and interest due according to the contractual terms of the agreements.

Past due but not impaired
Past due but not impaired are accounts where either contractual principal or interest are past due and when the accounts show weakness in the borrower's financial position and creditworthiness, and requires more than normal attention. Such weakness is specifically monitored to ensure that the quality of the asset does not further deteriorate. On this class of asset the Group believes that specific impairment is not appropriate at the current condition.

Loans with renegotiated terms
Loans with renegotiated terms are loans that have been restructured due to deterioration in the borrower's financial position and where the Group has made material concessions that it would not otherwise consider. Once a loan is restructured, it remains in this category for a minimum period of twelve months, in order to establish satisfactory track record of performance under the restructuring agreement. The Bank determines the twelve-month period to commence from the date of signing of the agreement for restructuring. On this class of asset the Group believes that specific impairment may not be required. In the last twelve months, the Group has renegotiated the following exposures:

	2013 AED'000	2012 AED'000
Renegotiated loans	1,925,914	2,478,270

Movement of renegotiated loans during the year

	2013 AED'000	2012 AED'000
Balance at the beginning of the year	2,478,270	3,159,123
Upgraded to neither past due nor impaired during the year	(2,173,099)	(1,748,416)
Downgraded to individually impaired or past due but not impaired during the year	(92,100)	(679,896)
Additions during the year	1,712,843	1,747,459
Balance at the end of the year	1,925,914	2,478,270

Allowances for impairment
The Group establishes an allowance for impairment losses on assets carried at amortised cost that represents its estimate of incurred losses in its loan portfolio. The main components of this allowance are a specific loss component that relates to individually significant exposures, and a collective loss allowance. In assessing the collective loss allowance, the Group uses the higher of 1.5% of credit risk weighted assets computed as per the central bank guidelines or incurred but not identified model, established for groups of homogeneous assets with similar risk characteristics that are indicative of the debtor's ability to pay amounts due according to the contractual terms on the basis of a credit risk evaluation or grading process that considers asset type, industry, geographical location, collateral type, past due status and other relevant factors. Future cash flows in a group of financial assets that are collectively evaluated for impairment are estimated on the basis of historical loss experience for assets with credit risk characteristics similar to those in the group.

Individually assessed loans are required to be classified as impaired as soon as there is objective evidence that an impairment loss has been incurred. Objective evidence of impairment includes observable data such as when contractual payment of principal or interest is overdue or there is known difficulties in the cash flows of counterparties, credit rating downgrades or original terms of the contractual repayment are unable to be met.

Write-off policy
The Group writes off a loan or investment balance (and any related allowances for impairment losses) when it determines that the loans or investments are uncollectible. This is determined after all possible efforts of collecting the amounts have been exhausted.

Collateral
The Group holds various types of collateral against loans and advances and reverse repurchase agreement in the form of mortgage interests over property, other securities, cash deposits and guarantees. The Group accepts sovereign guarantees and guarantees from well reputed local or international banks, well established local or multinational large corporate and high net-worth private individuals. When calculating provisions, discount factors as defined by the Central Bank of the UAE are applied to market value of the collateral. Collateral generally is not held against due from banks and financial institutions, and no such collateral was held at 31 December 2013 or 2012.

An estimate of the collateral coverage against non-performing loans and advances (including Islamic financing) is shown below:

	2013 AED'000	2012 AED'000
Collateral value cover		
0 – 50%	3,447,621	4,611,357
50 – 100%	1,469,366	1,103,605
Above 100%	1,996,955	772,852
Total Gross non-performing loans	6,913,942	6,487,814

During the year 2013 and 2012, the Group repossessed an insignificant amount of collateral that was held as security against loans and advances.

Concentrations of risk
The Group monitors concentrations of credit risk by industry sector, counterparty and geographic location. An analysis of concentrations of credit risk at the reporting date is shown below:

	Loans and advances		Others		Undrawn loan Commitments	
	2013 AED'000	2012 AED'000	2013 AED'000	2012 AED'000	2013 AED'000	2012 AED'000
Concentration by industry sector:						
Agriculture	149,633	76,581	–	-	195,098	248,175
Energy	23,152,760	25,251,924	7,198,499	5,133,799	4,892,973	3,799,408
Manufacturing	12,471,627	10,196,061	269,462	4,978	2,655,948	1,688,615
Construction	8,944,560	4,729,162	448,295	800,764	2,803,363	4,049,196
Real estate	32,532,656	35,235,206	104,724	92,877	3,898,450	4,199,785
Trading	4,906,106	3,222,021	6,874	-	891,004	1,256,178
Transport	9,171,985	8,564,179	919,524	468,003	2,508,926	2,170,361
Banks	29,469,792	20,177,846	35,069,958	27,049,734	360,499	253,880
Other financial institutions	12,938,183	11,053,674	10,130,827	9,559,541	845,374	1,207,558
Services	5,828,764	4,310,073	721,666	544,652	387,855	164,161
Government	22,891,901	21,153,974	17,571,365	10,432,450	4,311,461	5,797,271
Personal loans for consumption	18,047,717	14,757,422	–	-	281,053	324,161
Personal loans others	10,509,675	12,046,362	–	-	91,452	213,806
Others	24,054	49,659	–	692	513,021	432,475
	191,039,413	170,824,154	72,441,194	54,087,490	24,636,477	25,805,030
Less: allowance for impairment	(6,327,026)	(5,517,723)	(17,043)	(16,712)	–	-
Less: interest suspended	(900,893)	(707,053)	–	-	–	-
Carrying amount	183,811,494	164,599,378	72,424,151	54,070,778	24,636,477	25,805,030

Others comprises of investments at fair value through profit or loss, reverse repurchase agreements and non trading investments.

	Investments at fair value through profit or loss		Non-trading investments	
	2013 AED'000	2012 AED'000	2013 AED'000	2012 AED'000
Concentration by counterparty:				
Government	366,442	221,633	17,057,675	10,210,817
Supranational	6,502	-	457,766	-
Public sector	793,932	674,651	11,439,448	7,664,196
Banks and financial institutions	1,234,275	2,219,403	21,624,535	13,723,730
Corporate sector	244,742	158,626	283,678	704,826
	2,645,893	3,274,313	50,863,102	32,303,569
Less: allowance for impairment	-	-	(17,043)	(16,712)
Total carrying amount	2,645,893	3,274,313	50,846,059	32,286,857

The concentration by counter party for loans and advances is disclosed in note 11.

Concentration by location:

	Due from banks and financial institutions AED'000	Loans and advances AED'000	Reverse repurchase agreements AED'000	Non-trading investments AED'000
As at 31 Dec 2013				
UAE	5,723,665	112,641,972	1,151,361	19,061,724
Europe	8,691,565	39,435,136	5,063,937	12,568,051
Arab countries	3,258,516	13,855,295	12,123,856	14,646,129
Americas	1,396,271	5,226,415	224,038	1,061,763
Asia	1,005,495	12,534,784	369,007	2,481,997
Others	24,859	117,892	-	1,026,395
	20,100,371	183,811,494	18,932,199	50,846,059
As at 31 Dec 2012				
UAE	6,636,847	110,633,189	206,959	15,695,915
Europe	5,319,751	28,521,478	9,122,547	7,048,966
Arab countries	1,754,317	13,304,404	8,956,064	7,788,895
Americas	540,121	3,898,383	224,038	1,096,298
Asia	359,253	8,213,888	-	317,013
Others	5,679	28,036	-	339,770
	14,615,968	164,599,378	18,509,608	32,286,857

Concentration by location for loans and advances, reverse repurchase agreements and due from banks and financial institutions is measured based on the residential status of the borrower. Concentration by location for non-trading investments is measured based on the location of the issuer of the security.

Classification of trading securities and non-trading investments as per their external ratings:

	Non-trading investments		Investments at fair value through profit or loss	
	2013 AED'000	2012 AED'000	2013 AED'000	2012 AED'000
AAA	5,338,052	4,021,602	6,502	-
AA to A	36,743,655	20,216,902	1,075,535	2,030,206
BBB to B	5,349,027	5,168,011	312,123	425,042
Unrated	3,415,325	2,880,342	1,251,733	819,065
	50,846,059	32,286,857	2,645,893	3,274,313

Unrated investments primarily consist of investments in Government related entities and investments in equities and funds. Investments at fair value through profit or loss are neither past due nor impaired.

Settlement risk
The Group's activities may give rise to risk at the time of settlement of transactions and trades. Settlement risk is the risk of loss due to the failure of a counterparty to honour its obligations to deliver cash, securities or other assets as contractually agreed. Any delay in settlement is rare and monitored.

Derivative related credit risk
Credit risk in respect of derivative financial instruments arises from the potential for a counterparty to default on its contractual obligations and is limited to the positive market value of instruments that are favourable to the Group. The positive market value is also referred to as the "replacement cost" since it is an estimate of what it would cost to replace transactions at prevailing market rates if a counterparty defaults. The majority of the Group's derivative contracts are entered into with other banks and financial institutions.

(b) Liquidity risk

Liquidity risk arises from cash flows generated by assets and liabilities, including derivatives and other off-balance sheet commitments, not being matched in currency, size, and term, thereby creating financing needs which potentially cannot be met without incurring substantially higher costs or at any cost at all.

Liquidity risk is defined as the risk that the Group is unable to meet its financial obligations as and when they fall due or that it can only do so at an excessive cost.

Management of liquidity risk
The Group has defined the liquidity risk appetite at a level so as to ensure that the Group has a controlled liquidity risk position with adequate cash or cash-equivalents to be able to meet its financial obligations, in all foreseeable circumstances and without incurring substantial additional costs, for a rolling period of three months.

The liquidity risk appetite is also defined at a level to ensure continued compliance with current and proposed liquidity regulation from both domestic and international regulators, and aligned to support the Group's external credit rating objectives.

Liquidity limits are defined at the Group level and are cascaded down throughout the organisation to ensure that the Group complies with the defined Group Liquidity Risk appetite. International limits are cascaded to ensure compliance with any additional local regulatory requirements on liquidity management.

At Group level 10 Liquidity metrics have been defined which need to be consistently adhered to. These include Central Bank of the UAE Regulatory requirements as well as Basel III liquidity ratios.

All liquidity policies and procedures are subject to review and approval by G-ALCO.

Exposure to liquidity risk
The contractual asset and liability maturity mismatch report without considering the Group's retention history is detailed as following.

The maturity profile of the assets and liabilities at 31 December 2013 was as follows:

	Total AED'000	Up to 3 months AED'000	3 months to 1 year AED'000	1 to 3 years AED'000	3 to 5 years AED'000	Over 5 years AED'000	Unspecified maturity AED'000
Assets							
Cash and balances with central banks	35,061,054	28,871,446	6,189,370	238	-	-	-
Investments at fair value through profit or loss	2,645,893	-	229,260	502,429	275,040	1,639,164	-
Due from banks and financial institutions	20,100,371	15,101,012	4,999,359	-	-	-	-
Reverse repurchase agreements	18,932,199	16,506,617	2,255,801	169,781	-	-	-
Loans and advances	183,811,494	48,870,198	25,831,591	20,204,500	30,472,213	58,432,992	-
Non-trading investments	50,846,059	4,602,465	11,166,081	3,503,638	5,497,222	26,076,653	-
Derivative financial instruments	6,146,006	1,049,944	542,963	1,046,083	1,096,145	2,410,871	-
Other assets	4,909,712	3,682,285	1,227,427	-	-	-	-
Investment properties	135,260	-	-	-	-	-	135,260
Property and equipment	2,473,608	-	-	-	-	-	2,473,608
	325,061,656	118,683,967	52,441,852	25,426,669	37,340,620	88,559,680	2,608,868
Liabilities and equity							
Due to banks and financial institutions	35,760,382	34,111,978	1,648,404	-	-	-	-
Repurchase agreements	1,352,121	1,352,121	-	-	-	-	-
Euro commercial paper	6,752,015	6,119,170	632,845	-	-	-	-
Customers' deposits	211,097,222	192,710,645	15,621,857	1,834,111	760,976	169,633	-
Term borrowings	18,690,168	-	3,480,688	4,834,299	5,857,284	4,517,897	-
Derivative financial instruments	7,454,016	1,158,300	663,615	734,859	1,010,554	3,886,688	-
Other liabilities	7,764,868	5,823,652	1,941,216	-	-	-	-
Subordinated notes	1,512,323	-	-	1,034,935	-	477,388	-
Equity	34,678,541	-	-	-	-	-	34,678,541
	325,061,656	241,275,866	23,988,625	8,438,204	7,628,814	9,051,606	34,678,541
Undrawn commitments to extend credit	24,636,477	3,240,431	3,655,904	2,835,771	3,440,087	11,464,284	-
Financial guarantees	4,785,514	9,091	440,760	3,822,857	512,806	-	-

The maturity profile of the assets and liabilities at 31 December 2012 was as follows:

	Total AED'000	Up to 3 months AED'000	3 months to 1 year AED'000	1 to 3 years AED'000	3 to 5 years AED'000	Over 5 years AED'000	Unspecified maturity AED'000
Assets							
Cash and balances with central banks	54,943,221	49,900,318	5,026,118	238	-	16,547	-
Investments at fair value through profit or loss	3,274,313	6,611	983,891	548,440	525,502	1,209,869	-
Due from banks and financial institutions	14,615,968	9,770,840	4,845,128	-	-	-	-
Reverse repurchase agreements	18,509,608	11,673,739	5,285,511	1,550,358	-	-	-
Loans and advances	164,599,378	30,948,613	29,832,358	31,055,494	17,879,307	54,883,606	-
Non-trading investments	32,286,857	1,361,781	3,743,716	3,995,095	3,757,355	19,428,910	-
Derivative financial instruments	5,583,080	287,846	427,078	710,147	1,831,563	2,326,446	-
Other assets	4,300,195	3,225,146	1,075,049	-	-	-	-
Investment properties	140,061	-	-	-	-	-	140,061
Property and equipment	2,346,488	-	-	-	-	-	2,346,488
	300,599,169	107,174,894	51,218,849	37,859,772	23,993,727	77,865,378	2,486,549
Liabilities and equity							
Due to banks and financial institutions	35,477,275	34,686,371	790,904	-	-	-	-
Repurchase agreements	2,017,041	2,017,041	-	-	-	-	-
Euro commercial paper	2,831,198	1,603,366	1,227,832	-	-	-	-
Customers' deposits	190,303,573	170,076,965	16,067,704	3,438,175	551,977	168,752	-
Term borrowings	19,073,630	367,301	2,476,569	8,131,202	3,258,217	4,840,341	-
Derivative financial instruments	6,652,508	840,122	441,689	480,609	1,253,997	3,636,091	-
Other liabilities	7,448,492	5,586,369	1,862,123	-	-	-	-
Subordinated notes	5,662,361	-	-	-	4,306,445	1,355,916	-
Equity	31,133,091	-	-	-	-	-	31,133,091
	300,599,169	215,177,535	22,866,821	12,049,986	9,370,636	10,001,100	31,133,091
Undrawn commitments to extend credit	25,805,030	1,556,430	1,646,946	5,867,311	2,492,106	14,242,237	-
Financial guarantees	10,902,938	3,261,170	1,473,615	1,315,339	4,852,814	-	-

The table below summarises the maturity profile of the Group's financial liabilities based on contractual undiscounted repayment obligations.

Liabilities	Total AED'000	Gross nominal cash flows AED'000	Up to 3 months AED'000	3 months to 1 year AED'000	1 to 3 years AED'000	3 to 5 years AED'000	Over 5 years AED'000
As at 31 December 2013							
Due to banks and financial institutions	35,760,382	35,779,503	34,123,522	1,655,981	-	-	-
Repurchase agreements	1,352,121	1,352,444	1,352,444	-	-	-	-
Euro commercial paper	6,752,015	6,754,917	6,121,416	633,501	-	-	-
Customers' deposits	211,097,222	212,098,111	192,998,573	16,024,056	1,916,699	921,921	236,862
Term borrowings	18,690,168	20,189,520	259,103	3,802,574	4,063,423	6,471,213	5,593,207
Subordinated notes	1,512,323	2,001,734	2,761	34,763	1,111,505	52,997	799,708
	275,164,230	278,176,229	234,857,819	22,150,875	7,091,627	7,446,131	6,629,777
Undrawn commitments to extend credit	24,636,477	24,636,477	22,903,334	1,232,374	265,811	-	234,958
Financial guarantees	4,785,514	4,785,514	4,785,514	-	-	-	-
As at 31 December 2012							
Due to banks and financial institutions	35,477,275	35,517,958	34,709,532	808,426	-	-	-
Repurchase agreements	2,017,041	2,022,714	2,022,714	-	-	-	-
Euro commercial paper	2,831,198	2,835,077	1,603,950	1,231,127	-	-	-
Customers' deposits	190,303,573	191,166,544	170,658,655	15,931,235	3,776,453	580,286	219,915
Term borrowings	19,073,630	21,711,720	606,537	2,851,374	8,832,628	3,660,162	5,761,019
Subordinated notes	5,662,361	6,752,862	6,198	177,834	473,823	4,388,884	1,706,123
	255,365,078	260,006,875	209,607,586	20,999,996	13,082,904	8,629,332	7,687,057
Undrawn commitments to extend credit	25,805,030	25,805,030	23,351,434	1,353,628	863,328	-	236,640
Financial guarantees	10,902,938	10,902,938	10,902,938	-	-	-	-

(c) Market risk

Market risk is the risk that the Group's income and/or value of a financial instrument will fluctuate because of changes in market factors such as interest rates, credit spreads, foreign exchange rates and market prices of equity and commodity.

Management of market risk

The Group separates its exposure to market risk between trading and non-trading portfolios. Trading portfolios are mainly held by the Global Markets Division, together with financial assets and financial liabilities that are managed on a fair value basis.

Overall authority for market risk is vested in the Group Risk Committee (GRC), which sets limits for each type of risk in aggregate and for specific portfolios. Risk Group is responsible for the development of detailed risk management policies (subject to review and approval by the GRC).

Exposure to market risks – trading portfolios

The principal analytical tool used to measure and control market risk exposure within the Group's trading portfolios which comprise of investments at fair value through profit or loss and trading derivatives is Value at Risk ("VaR"). The VaR of a trading portfolio is the estimated loss that will arise on the portfolio over a specified period of time (holding period) from an adverse market movement with a specified probability (confidence level). The VaR model uses historical simulation based on a 99% confidence level and assumes a 1-day holding period. Using market data from the previous two years, and observed relationships between different markets and prices, the model generates a wide range of plausible future scenarios for market price movements.

The Group uses VaR limits for foreign exchange, interest rate and credit spread. The overall structure of VaR limits is subject to review and approval by the GRC. VaR limits are allocated to trading portfolios.

VaR is further supplemented with other position and sensitivity limit structures, including limits to address potential concentration risks within each trading portfolio. Moreover the trading activity at Group and desk level is subject to Management Action Triggers ("MAT") that are limits on maximum losses that trigger actions from management.

During the year, the GRC has initiated VaR to measure and control market risk exposure. Due to impracticability, the Group has not assessed the risk exposure for the comparative period and as a result not presented them in these consolidated financial statements.

The VaR at 31 December 2013 was as follows:

	Average AED'000	Minimum AED'000	Maximum AED'000
VaR – Trading Book	2,954,979	1,848,266	4,691,800

Equity and Commodities risks are not currently captured in the VaR model. These are under regular monitoring by the Risk Group.

Exposure to market risk – banking portfolios

Exposure to Market Risk in the banking portfolios which comprise of non-trading investments, reverse repurchase agreements and certain derivative instruments which are designated as hedging instruments arises primarily from the investment portfolios, interest rate gaps in the banking book, and the Group's overall FX positions.

The principal analytical tool used to measure and control the investment risk exposure within the Group is Value at Risk ("VaR"). The VaR model is the same as the one used for the trading portfolios. The Group uses VaR limits for controlling the overall investment risk, including foreign exchange, interest rate and credit spread. The overall structure of VaR limits is subject to review and approval by the GRC. VaR limits are allocated to different Investment portfolios.

The investment risk VaR at 31 December 2013 was as follows:

	Average AED'000	Minimum AED'000	Maximum AED'000
VaR – Banking book	21,572,263	18,214,245	26,666,505

Interest rate risk

Interest rate risk arises from interest bearing financial instruments and reflects the possibility that changes in interest rates will adversely affect the value of the financial instruments and the related income. The Group manages this risk principally through monitoring interest rate gaps and by matching the re-pricing profile of assets and liabilities.

Overall interest rate risk positions are managed by using derivative instruments to manage overall position arising from the Group's interest bearing financial instruments. The use of derivatives to manage interest rate risk is described in note 39.

The substantial portion of the Group's assets and liabilities are re-priced within one year. Accordingly there is a limited exposure to interest rate risk.

The effective interest rate of a monetary financial instrument is the rate that, when used in a present value calculation, results in the carrying amount of the instrument. The rate is an original effective interest rate for a fixed rate instrument carried at amortised cost and a current market rate for a floating instrument or an instrument carried at fair value.

Interest rate risk is also assessed by measuring the impact of reasonable possible change in interest rate movements. The Group assumes a fluctuation in interest rates of 50 basis points *(2012: 50 basis points)* and estimates the following impact on the net profit for the year and equity at that date:

	Net profit for the year AED'000	Equity AED'000	Net profit for the year AED'000	Equity AED'000
Fluctuation in yield	184,125	89,071	15,492	199,842

The interest rate sensitivities set out above are illustrative only and employ simplified scenarios. They are based on AED 258,499 million *(2012: AED 221,447 million)* interest bearing assets and AED 212,949 million *(2012: AED 196,874 million)* interest bearing liabilities with interest re-pricing less than one year, for assessing the impact on net profit. The impact on equity includes the impact on net profit and the interest rate sensitivity on the available for sale portfolio. The sensitivity does not incorporate actions that could be taken by management to mitigate the effect of interest rate movements.

The Group's interest rate gap and sensitivity position based on contractual re-pricing arrangements at 31 December 2013 was as follows:

	Up to 3 months AED'000	3 months to 1 year AED'000	1 to 3 years AED'000	3 to 5 years AED'000	Over 5 years AED'000	Non interest bearing AED'000	Total AED'000
Assets							
Cash and balances with central banks	16,482,684	6,189,370	238	-	-	12,388,762	35,061,054
Investments at fair value through profit or loss	62,702	317,790	414,085	267,687	691,313	892,316	2,645,893
Due from banks and financial institutions	17,629,495	819,059	-	-	-	1,651,817	20,100,371
Reverse repurchase agreements	16,506,617	2,255,801	169,781	-	-	-	18,932,199
Loans and advances	162,209,209	16,997,622	919,257	2,355,855	1,016,878	312,673	183,811,494
Non-trading investments	9,818,138	9,210,369	1,920,173	4,671,573	25,054,459	171,347	50,846,059
Derivative financial instruments	-	-	-	-	-	6,146,006	6,146,006
Other assets	-	-	-	-	-	4,909,712	4,909,712
Investment properties	-	-	-	-	-	135,260	135,260
Property and equipment	-	-	-	-	-	2,473,608	2,473,608
	222,708,845	35,790,011	3,423,534	7,295,115	26,762,650	29,081,501	325,061,656
Liabilities and equity							
Due to banks and financial institutions	31,800,769	1,648,404	-	-	-	2,311,209	35,760,382
Repurchase agreements	1,352,121	-	-	-	-	-	1,352,121
Euro commercial paper	6,119,170	632,845	-	-	-	-	6,752,015
Customers' deposits	150,201,063	15,209,719	2,246,251	760,975	168,343	42,510,871	211,097,222
Term borrowings	1,469,200	3,480,688	3,365,099	5,857,284	4,517,897	-	18,690,168
Derivative financial instruments	-	-	-	-	-	7,454,016	7,454,016
Other liabilities	-	-	-	-	-	7,764,868	7,764,868
Subordinated notes	-	1,034,935	-	-	477,388	-	1,512,323
Equity	-	-	-	-	-	34,678,541	34,678,541
	190,942,323	22,006,591	5,611,350	6,618,259	5,163,628	94,719,505	325,061,656
On statement of financial position gap	31,766,522	13,783,420	(2,187,816)	676,856	21,599,022	(65,638,004)	
Off statement of financial position gap	3,971,888	1,026,808	11,403,116	1,156,501	(17,558,313)	-	
Total interest rate sensitivity gap	35,738,410	14,810,228	9,215,300	1,833,357	4,040,709	(65,638,004)	
Cumulative interest rate sensitivity	35,738,410	50,548,638	59,763,938	61,597,295	65,638,004	-	

The Group's interest rate gap and sensitivity position based on contractual re-pricing arrangements at 31 December 2012 was as follows:

	Up to 3 months AED'000	3 months to 1 year AED'000	1 to 3 years AED'000	3 to 5 years AED'000	Over 5 years AED'000	Non interest bearing AED'000	Total AED'000
Assets							
Cash and balances with central banks	14,533,785	5,026,118	238	-	-	35,383,080	54,943,221
Investments at fair value through profit or loss	1,022,404	106,806	528,388	419,923	509,486	687,306	3,274,313
Due from banks and financial institutions	12,973,804	1,536,303	-	-	-	105,861	14,615,968
Reverse repurchase agreements	11,673,738	5,285,512	1,550,358	-	-	-	18,509,608
Loans and advances	144,322,711	16,924,490	877,170	1,450,541	960,628	63,838	164,599,378
Non-trading investments	4,845,013	3,196,622	3,865,920	2,724,550	17,528,362	126,390	32,286,857
Derivative financial instruments	-	-	-	-	-	5,583,080	5,583,080
Other assets	-	-	-	-	-	4,300,195	4,300,195
Investment properties	-	-	-	-	-	140,061	140,061
Property and equipment	-	-	-	-	-	2,346,488	2,346,488
	189,371,455	32,075,851	6,822,074	4,595,014	18,998,476	48,736,299	300,599,169
Liabilities and equity							
Due to banks and financial institutions	31,027,105	790,903	-	-	-	3,659,267	35,477,275
Repurchase agreements	2,017,041	-	-	-	-	-	2,017,041
Euro commercial paper	1,603,366	1,227,832	-	-	-	-	2,831,198
Customers' deposits	139,396,190	15,025,329	3,385,135	551,978	168,752	31,776,189	190,303,573
Term borrowings	3,856,651	89,119	7,029,302	3,258,217	4,840,341	-	19,073,630
Derivative financial instruments	-	-	-	-	-	6,652,508	6,652,508
Other liabilities	-	-	-	-	-	7,448,492	7,448,492
Subordinated notes	1,840,641	-	-	-	3,821,720	-	5,662,361
Equity	-	-	-	-	-	31,133,091	31,133,091
	179,740,994	17,413,640	22,013,699	26,702,114	31,933,248	80,669,547	300,599,169
On statement of financial position gap	9,630,461	14,942,668	(3,592,363)	784,819	10,167,663	(31,933,248)	
Off statement of financial position gap	(16,493,724)	9,334,235	8,192,422	3,903,596	(4,936,529)	-	
Total interest rate sensitivity gap	(6,863,263)	24,276,903	4,600,059	4,688,415	5,231,134	(31,933,248)	
Cumulative interest rate sensitivity	(6,863,263)	17,413,640	22,013,699	26,702,114	31,933,248	-	

Foreign exchange risk

Foreign exchange risk is the risk that the value of a financial instrument will fluctuate due to changes in foreign exchange rates and arises from financial instruments denominated in a foreign currency. The Group's functional currency is the UAE Dirham. The Board of Directors has set limits on positions by currency. Positions are closely monitored and hedging strategies are used to ensure positions are maintained within established limits. At 31 December, the Group had the following significant net exposures denominated in foreign currencies:

	Net spot position (short)/long AED'000	Forward position (short)/long AED'000	Total 2013 (short)/long AED'000	Total 2012 (short)/long AED'000
Currency				
US Dollar	284,600	(3,201,859)	(2,917,259)	(1,766,939)
UK Sterling Pound	7,013,320	(6,831,741)	181,579	713
Euro	4,620,759	(4,580,357)	40,402	(94,764)
Kuwaiti Dinar	(222,404)	602,916	380,512	12,658
Omani Riyal	(522,174)	1,037,405	515,231	(53,058)
Saudi Riyal	(463,878)	1,692,452	1,228,574	459,309
Japanese Yen	40,371	(50,411)	(10,040)	9,818
Swiss Franc	151,071	(160,776)	(9,705)	(52,358)
Qatari Riyal	3,911,478	(2,115,668)	1,795,810	233,410
Bahraini Dinar	89,150	390,485	479,635	182,274

The exchange rate of AED against US Dollar is pegged and the Group's exposure to currency risk is limited to that extent. Exposure to other foreign currencies is insignificant.

Equity price risk

Equity price risk arises from the change in fair values of equity investments. The Group manages this risk through diversification of investments in terms of geographical distribution and industry concentration.

(d) Operational risk

Operational risk is the risk of direct or indirect loss arising from a wide variety of causes associated with the Group's processes, personnel, technology and infrastructure, and from external factors other than credit, market and liquidity risks such as those arising from legal and regulatory requirements and generally accepted standards of corporate behaviour. Operational risks arise from all of the Group's operations.

The Board has oversight responsibilities for operational risk management in the Group. These responsibilities are exercised through GRC with an established framework of policies and procedures to identify, assess, monitor, control, manage and report risks. The GRC employs clear internal policies and procedures to reduce the likelihood of any operational losses. Where appropriate, risk is mitigated by way of insurance. The framework also provides the interrelation with other risk categories.

The primary responsibility to ensure Compliance with policies and procedures resides with the respective business lines and is supported by periodic reviews undertaken by Group Internal Audit. The results of these reviews are discussed with the management of the business unit to which they relate, with summaries submitted to the Audit Committee and senior management of the Group.

(e) Capital management

The Group's lead regulator, the Central Bank of the UAE, sets and monitors regulatory capital requirements. The overseas branches and subsidiaries are directly supervised by their local regulators.

The Group's objectives when managing capital are:

- safeguard the Group's ability to continue as a going concern and increase the returns for the shareholders; and
- comply with regulatory capital requirements set by the Central Bank of the UAE and the respective regulators where the overseas units operate.

During 2013, the Group's strategy, which was unchanged from 2012, was to:

- maintain a cap for payment of cash dividend ratio of 40% to increase capital through retention;
- maintain capital adequacy ratios above the minimum specified by the Central Bank of the UAE and Basel accord guidelines;
- maintain the highest credit rating in the Middle East; and
- efficiently allocate capital to various businesses.

The Group's treasury division key responsibility is to manage the Group's capital position, including its deployment into high quality liquid assets (HQLA), which includes bonds issued by Sovereign's, Government Related Entities, Supra-nationals and Financial Institutions.

In implementing current capital requirements, the Group calculates its capital ratios in accordance with Basel II guidelines established by the Central Bank of the UAE.

The Group's regulatory capital adequacy ratio, set by the Central Bank of the UAE at a minimum level of 12% *(2012: 12%)*, of which Tier I is to be 8% *(2012: 8%)* is analysed into two tiers as follows:

	Basel II 2013 AED'000	Basel II 2012 AED'000
Tier 1 capital		
Ordinary share capital	4,424,078	3,874,558
Retained earnings	5,796,776	5,009,129
Statutory and special reserve	4,305,556	4,065,532
General reserve and share option scheme	15,310,226	13,564,866
Foreign currency translation reserve	(89,413)	(101,731)
Convertible notes - equity component	108,265	21,420
Government of Abu Dhabi Tier 1 capital notes	4,000,000	4,000,000
Total	33,855,488	30,433,774
Tier 2 capital		
Fair value reserve	370,374	314,693
Qualifying subordinated liabilities	891,361	4,594,507
Allowance for collective impairment	2,236,326	1,967,931
Total	3,498,061	6,877,131
Deductions from capital	(44,487)	(44,764)
Total regulatory capital base	37,309,062	37,266,141
Risk weighted assets:		
Credit risk	181,696,396	159,616,341
Market risk	12,637,579	7,563,514
Operational risk	10,539,804	9,887,826
Risk weighted assets	204,873,779	177,067,681
Capital adequacy ratio	18.21%	21.05%

The Bank and its overseas branches and subsidiaries have complied with all externally imposed capital requirements for all periods presented.

5 Use of estimates and judgements

In the process of applying the Group's accounting policies, management has made the following estimates and judgements, which have the most significant effect on the amounts recognised in the consolidated financial statements.

Key sources of estimation uncertainty

(i) Impairment charge on loans and advances and investments

Impairment losses are evaluated as described in accounting policy 3(b) (vii).

The Group evaluates impairment on loans and advances and investments on an ongoing basis and a comprehensive review on a quarterly basis to assess whether an impairment charge should be recognised in the consolidated income statement. In particular, considerable judgement by management is required in the estimation of the amount and timing of future cash flows when determining the level of impairment charge required. In estimating these cash flows, management makes judgements about counterparty's financial situation and other means of settlement and the net realisable value of any underlying collateral. Such estimates are based on assumptions about several factors involving varying degrees of judgement and uncertainty, and actual results may differ resulting in future changes to such impairment charges.

(ii) Collective impairment charge

In addition to specific impairment charge against individually impaired assets, the Group also maintains a collective impairment allowance against portfolios of loans and advances with similar economic characteristics which have not been specifically identified as impaired. In assessing the need for collective impairment charge, management considers concentrations, credit quality, portfolio size and economic factors. In order to estimate the required allowance, assumptions are made to define the way inherent losses are modelled and to determine the required input parameters, based on historical and current economic conditions.

(iii) Impairment charge on property and equipment and investment properties

Impairment losses are evaluated as described in accounting policy 3(j) (iv) and 3(k)(iii).

In determining the net realisable value, the Group uses the selling prices determined by external independent valuer's companies, having appropriate recognised professional qualifications and recent experience in the location and category of property being valued. The selling prices are based on market values, being the estimated amount for which a property could be exchanged on the date of the valuation between a willing buyer and a willing seller in an arm's length transaction.

(iv) Contingent liability arising from litigations

Due to the nature of its operations, the Group may be involved in litigations arising in the ordinary course of business. Provision for contingent liabilities arising from litigations is based on the probability of outflow of economic resources and reliability of estimating such outflow. Such matters are subject to many uncertainties and the outcome of individual matters is not predictable with assurance.

(v) Share option scheme

The fair value of the share option scheme is determined using the Black-Scholes model. The model inputs comprise share price, exercise price, share price volatility, contractual life of the option, dividend yield and risk-free interest rate.

Critical accounting judgements in applying the Group's accounting policies include:

(a) Financial asset and liability classification

The Group's accounting policies provide scope for financial assets and liabilities to be designated on inception into different accounting categories in certain circumstances:

In classifying financial assets as "fair value through profit or loss", "held-to-maturity" or "available-for-sale", the Group has determined it meets the description as set out in accounting policy 3(b) (ii).

(b) Qualifying hedge relationships

In designating financial instruments as qualifying hedge relationships, the Group has determined that it expects the hedge to be highly effective over the life of the hedging relationship.

(c) Valuation of financial instruments

The Group's accounting policy on fair value measurements is discussed in accounting policy 3(b) (vi) and note 6.

(d) Structured entities

For all funds managed by the Group, the investors are able to vote by simple majority to remove the Group as fund manager, and the Group's aggregate economic interest in each fund is not material. As a result, the Group has concluded that it acts as agent for the investors in these funds, and therefore has not consolidated these funds.

(e) Operating segments

During the period, the Group has reorganised its operations and accordingly the reporting structure of the operating segments has changed. In preparation of the segment information disclosure, the management has made certain assumptions to arrive at the segment reporting. These assumptions would be reassessed by the management on a periodic basis.

6 Financial assets and liabilities

(a) Valuation models

All financial assets and liabilities are measured at amortised cost except for derivatives, investment at fair value through profit or loss and available-for-sale investments which are measured at fair value by reference to published price quotations in an active market or from prices quoted by counterparties or through use of valuation techniques such as discounted cash flow method.

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date in the principal, or in its absence, the most advantageous market to which the Group has access at that date. The fair value of a liability reflects its non-performance risk. Consequently, differences can arise between book values and the fair value estimates. Underlying the definition of fair value is the presumption that the Group is a going concern without any intention or requirement to materially curtail the scale of its operation or to undertake a transaction on adverse terms.

The Group measures fair values using the following fair value hierarchy that reflects the significance of the inputs used in making the measurements:

Level 1: Quoted market price (unadjusted) in active market for an identical instrument.

Level 2: Valuation techniques based on observable inputs, either directly (i.e., as prices) or indirectly (i.e., derived from prices). This category includes instruments valued using: quoted market prices in active markets for similar instruments; or other valuation techniques where all significant inputs are directly or indirectly observable from market data.

Level 3: Valuation techniques using unobservable inputs. This category includes all instruments where the valuation technique includes input not based on observable data and the unobservable input have a significant impact on the instrument's valuation.

Fair value of financial assets and liabilities that are traded in active market are based on quoted market price or dealer price quotations. For all other financial instrument the Group determines fair value using valuation techniques, such valuation techniques include net present value and discounted cash flow models, comparison to similar instruments for which market observable prices exist, Black-Scholes and other valuation models. Assumptions and inputs used in valuation techniques include risk-free and benchmark interest rates, credit spreads and other inputs used in estimating discount rates, bond and equity prices, foreign currency exchange rates, equity and equity index prices, volatilities and correlations.

The objective of valuation techniques is to arrive at a fair value determination that reflects the price of the financial instrument at the reporting date that would have been determined by market participants acting at arm's length.

The Group uses widely recognised valuation models for determining the fair value of common and simpler financial instruments, such as interest rate and currency swaps that use only observable market data and require little management judgement and estimation. Observable prices or model inputs are usually available in the market for listed debt and equity securities, exchange-traded derivatives and simple over-the-counter derivatives such as interest rate swaps. Availability of observable market prices and model inputs reduces the need for management judgement and estimation and also reduces the uncertainty associated with determining fair values. Availability of observable market prices and inputs varies depending on the products and markets and is prone to changes based on specific events and general conditions in the financial markets.

For more complex instruments, the Group uses third party valuation models, which are developed from recognised valuation models. These valuation models require a higher degree of management judgement and estimation in the determination of fair value. Management judgement and estimation are usually required for selection of the appropriate valuation model to be used, determination of expected future cash flows on the financial instrument being valued and selection of appropriate discount rates and volatilities.

Model inputs and values are calibrated against historical data and published forecasts and, where possible, against current or recent observed transactions in different instruments and against broker quotes. This calibration process is inherently subjective and it yields ranges of possible inputs and estimates of fair value, and management judgement is required to select the most appropriate point in the range.

As part of its trading activities, the Group enters into over the counter contracts – primarily options indexed to credit spreads, equity prices, foreign exchange rates, interest rates and commodities – with customers and other banks.

(b) Valuation framework

The Group has an established control framework with respect to the measurement of fair values. This framework includes a Valuation committee, that reports to the Group Risk Committee and the Middle Office Product Control function, which is independent of front office management and reports to the Group Finance. Specific controls include:

- Independence in valuation process between risk taking units and control units;
- Proposes system for valuations;
- verification of observable pricing;
- review and approval process for new models and changes to models;
- analysis and investigation of significant daily valuation movements; and
- review of significant unobservable inputs, valuation adjustments and significant changes to the fair value measurement of Level 3 instruments.

The fair values of due from banks and financial institutions, reverse repurchase agreement, due to banks and financial institutions, repurchase agreements and customers' deposits which are predominantly short term in tenure and issued at market rates, are considered to reasonably approximate their book value.

The Group estimates that the fair value of its loans and advances portfolio is not materially different from its book value since majority of loans and advances carry floating market rates of interest and are frequently re-priced. For loans considered impaired, expected cash flows, including anticipated realisation of collateral, were discounted using an appropriate rate and considering the time to collect, the net result of which is not materially different from the carrying value.

(c) Fair value of financial instruments

The table below sets out the Group's classification of each class of financial assets and liabilities and their carrying amounts as at 31 December 2013:

	Designated at fair value through profit or loss AED'000	Held for trading AED'000	Available for sale AED'000	Held to maturity AED'000	Loans and advances AED'000	Other amortised cost AED'000	Carrying amount AED'000
Cash and balances with central banks	-	-	-	-	-	35,061,054	35,061,054
Investments at fair value through profit or loss	18,892	2,627,001	-	-	-	-	2,645,893
Due from banks and financial institutions	-	-	-	-	-	20,100,371	20,100,371
Reverse repurchase agreements	-	-	-	-	-	18,932,199	18,932,199
Loans and advances	-	-	-	-	183,811,494	-	183,811,494
Non-trading investments	-	-	47,539,835	3,306,224	-	-	50,846,059
Derivative financial instruments	395,054	5,750,952	-	-	-	-	6,146,006
Other assets	-	-	-	-	-	4,766,676	4,766,676
	413,946	8,377,953	47,539,835	3,306,224	183,811,494	78,860,300	322,309,752
Due to banks and financial institutions	-	-	-	-	-	35,760,382	35,760,382
Repurchase agreements	-	-	-	-	-	1,352,121	1,352,121
Euro commercial paper	-	-	-	-	-	6,752,015	6,752,015
Customers' deposits	-	-	-	-	-	211,097,222	211,097,222
Term borrowings	-	-	-	-	-	18,690,168	18,690,168
Derivative financial instruments	2,990,863	4,463,153	-	-	-	-	7,454,016
Other liabilities	-	826,076	-	-	-	6,155,662	6,981,738
Subordinated notes	-	-	-	-	-	1,512,323	1,512,323
	2,990,863	5,289,229	-	-	-	281,319,893	289,599,985

Assets and liabilities that are not measured at fair value, their carrying values are close approximates of their fair values. These assets and liabilities primarily belong to Level 2 in the fair value hierarchy.

The table below sets out the Group's classification of each class of financial assets and liabilities and their carrying amounts as at 31 December 2012:

	Designated at fair value through profit or loss AED'000	Held for trading AED'000	Available for sale AED'000	Held to maturity AED'000	Loans and advances AED'000	Other amortised cost AED'000	Carrying amount AED'000
Cash and balances with central banks	-	-	-	-	-	54,943,221	54,943,221
Investments at fair value through profit or loss	20,051	3,254,262	-	-	-	-	3,274,313
Due from banks and financial institutions	-	-	-	-	-	14,615,968	14,615,968
Reverse repurchase agreements	-	-	-	-	-	18,509,608	18,509,608
Loans and advances	-	-	-	-	164,599,378	-	164,599,378
Non-trading investments	-	-	28,159,555	4,127,302	-	-	32,286,857
Derivative financial instruments	730,511	4,852,569	-	-	-	-	5,583,080
Other assets	-	-	-	-	-	4,156,287	4,156,287
	750,562	8,106,831	28,159,555	4,127,302	164,599,378	92,225,084	297,968,712
Due to banks and financial institutions	-	-	-	-	-	35,477,275	35,477,275
Repurchase agreements	-	-	-	-	-	2,017,041	2,017,041
Euro commercial paper	-	-	-	-	-	2,831,198	2,831,198
Customers' deposits	-	-	-	-	-	190,303,573	190,303,573
Term borrowings	-	-	-	-	-	19,073,630	19,073,630
Derivative financial instruments	1,716,728	4,935,780	-	-	-	-	6,652,508
Other liabilities	-	483,685	-	-	-	6,157,149	6,640,834
Subordinated notes	-	-	-	-	-	5,662,361	5,662,361
	1,716,728	5,419,465	-	-	-	261,522,227	268,658,420

Assets and liabilities that are not measured at fair value, their carrying values are close approximates of their fair values. These assets and liabilities primarily belong to Level 2 in the fair value hierarchy.

(d) Financial instrument measured at fair value – fair value hierarchy

The table below analyses financial instruments measured at fair value at the end of the reporting period, by the level in the fair value hierarchy into which the fair value measurement is categorised:

	Level 1 AED'000	Level 2 AED'000	Level 3 AED'000	Total AED'000
As at 31 December 2013				
Financial assets held for trading	2,503,051	123,950	-	2,627,001
Designated at fair value through profit and loss	-	18,892	-	18,892
Available-for-sale financial assets	41,788,765	5,737,477	13,593	47,539,835
Derivative financial instruments (Assets)	8,518	6,137,488	-	6,146,006
Derivative financial instruments (Liabilities)	(3,616)	(7,450,400)	-	(7,454,016)
	44,296,718	4,567,407	13,593	48,877,718
As at 31 December 2012				
Financial assets held for trading	3,121,220	133,042	-	3,254,262
Designated at fair value through profit and loss	-	20,051	-	20,051
Available-for-sale financial assets	24,806,638	3,332,890	20,027	28,159,555
Derivative financial instruments (Assets)	1,540	5,581,540	-	5,583,080
Derivative financial instruments (Liabilities)	(812)	(6,651,696)	-	(6,652,508)
	27,928,586	2,415,827	20,027	30,364,440

Certain available-for-sale investment securities have been disclosed under Level 3 of the fair value hierarchy as management has recorded these at cost in the absence of observable market data. Management has deemed cost to be a close approximation of their fair value.

The following table shows a reconciliation from the beginning balances to the ending balances for fair value measurements in Level 3:

	2013 AED'000	2012 AED'000
Available-for-sale financial assets		
Balance as at 1 January	20,027	24,386
Purchases	-	943
Settlements and other adjustments	(6,434)	(5,302)
Balance as at 31 December	13,593	20,027

7 Cash and balances with central banks

	2013 AED'000	2012 AED'000
Cash on hand	1,362,040	1,238,260
Balances with the Central Bank of the UAE		
cash reserve deposits	9,642,776	7,816,271
certificates of deposits	5,000,000	7,000,000
Balances with other central banks		
cash reserve deposits	862,644	943,678
other deposits and balances	18,193,594	37,945,012
	35,061,054	54,943,221

Cash reserve deposits are not available for the day to day operations of the Group.

8 Investments at fair value through profit or loss

	2013 AED'000	2012 AED'000
Managed portfolios	760,766	611,413
Debt and equity instruments	1,885,127	2,662,900
	2,645,893	3,274,313

Debt and equity instruments include investments designated at fair value through profit or loss amounting to AED 18,892 thousand *(2012: AED 20,051 thousand)*.

9 Due from banks and financial institutions

	2013 AED'000	2012 AED'000
Current, call and notice deposits	2,615,082	1,663,975
Margin deposits	3,578,048	2,582,780
Fixed deposits	13,826,021	8,971,357
Wakala placements	81,220	1,397,856
	20,100,371	14,615,968

10 Reverse repurchase agreements

The Group enters into reverse repurchase agreements in the normal course of business in which the third party transfers financial assets to the Group for short term financing. The carrying amount of financial assets at the reporting date amounted to AED 18,932 million *(2012: AED 18,510 million)*.

No allowances for impairment have been recognised against reverse repurchase agreements during the year *(2012: nil)*.

At 31 December 2013, the fair value of financial assets accepted as collateral that the Group is permitted to sell or re-pledge in the absence of default was AED 19,494 million *(2012: AED 19,480 million)*.

At 31 December 2013, the fair value of financial assets accepted as collateral that have been sold or re-pledged was AED 832 million *(2012: AED 838 million)*. The Group is obliged to return equivalent securities.

These transactions are conducted under terms that are usual and customary to standard lending, and securities borrowing and lending activities.

11 Loans and advances

	2013 AED'000	2012 AED'000
Gross loans and advances	191,039,413	170,824,154
Less: allowance for impairment	(6,327,026)	(5,517,723)
Less: interest suspended	(900,893)	(707,053)
Net loans and advances	183,811,494	164,599,378

An analysis of gross loans and advances by counterparty at the reporting date is shown below:

	2013 AED'000	2012 AED'000
Government sector	22,891,901	21,153,974
Public sector	45,152,321	42,101,902
Banking sector	29,469,792	20,177,846
Corporate/private sector	64,968,008	60,586,648
Personal/retail sector	28,557,391	26,803,784
Gross loans and advances	191,039,413	170,824,154

The movement in the allowance for impairment during the year is shown below:

	2013 AED'000	2012 AED'000
At 1 January	5,517,723	4,800,706
Charge for the year		
Collective provision	547,305	291,874
Specific provision	1,289,775	1,709,070
Recoveries	(320,847)	(218,723)
Write-backs during the year	(349,366)	(579,717)
Amounts written off	(357,564)	(485,487)
At 31 December	6,327,026	5,517,723

Islamic financing

Included in the above loans and advances are the following Islamic financing contracts:

	2013 AED'000	2012 AED'000
Ijara	5,647,451	6,207,987
Murabaha	1,404,778	583,102
Mudaraba	9,156	3,805
Others	5,178	3,576
Total Islamic financing contracts	7,066,563	6,798,470
Less: allowance for impairment	(48,390)	(39,580)
Less: suspended profit	(825)	(819)
	7,017,348	6,758,071

The movement in the allowance for impairment during the year is shown below:

	2013 AED'000	2012 AED'000
Balance as at 1 January	39,580	63,648
Charge for the year		
Collective provision	(2,058)	4,038
Specific provision	14,077	10,322
Write-backs during the year	(3,129)	(4,790)
Amounts written off and other adjustments	(80)	(33,638)
Balance as at 31 December	48,390	39,580

The gross Ijara and the related present value of minimum Ijara payments are as follows:

	2013 AED'000	2012 AED'000
Gross Ijara		
Less than one year	2,273,907	2,048,093
Between one and five years	3,812,312	3,965,907
More than five years	2,205,013	2,615,230
	8,291,232	8,629,230
Less: deferred income	(2,643,781)	(2,421,243)
Net Ijara	5,647,451	6,207,987

	2013 AED'000	2012 AED'000
Net present value of minimum lease payments		
Less than one year	753,813	821,454
Between one and five years	3,077,951	3,168,119
More than five years	1,815,687	2,218,414
	5,647,451	6,207,987

Investment in finance lease

Included in the above loans and advances are the following investment in finance leases:

	2013 AED'000	2012 AED'000
Gross investment in finance leases	6,165,771	5,068,713
Unearned finance income	(663,652)	(617,734)
Net investment in finance leases	5,502,119	4,450,979

	2013 AED'000	2012 AED'000
Net investment in finance leases	5,502,119	4,450,979
Less: allowance for impairment	(70,724)	(75,737)
Less: interest suspended	(23,778)	(9,132)
Investment in finance leases	5,407,617	4,366,110

	2013 Gross investment in lease AED'000	2012 Gross investment in lease AED'000	2013 Present value of minimum lease payments AED'000	2012 Present value of minimum lease payments AED'000
Within one year	36,907	19,862	36,108	17,331
One to five years	938,301	1,007,885	882,331	930,182
More than five years	5,190,563	4,040,966	4,583,680	3,503,466
	6,165,771	5,068,713	5,502,119	4,450,979
Unearned finance income	(663,652)	(617,734)	-	-
Net investment in finance leases	5,502,119	4,450,979	5,502,119	4,450,979

The movement in allowance for impairment against finance lease receivables during the year is shown below:

	2013 AED'000	2012 AED'000
At 1 January	75,737	37,443
Charge for the year		
Specific provision	21,635	39,180
Collective provision	(26,648)	(886)
At 31 December	70,724	75,737

12 Non-trading investments

Available-for-sale investments

	2013 AED'000	2012 AED'000
Unquoted investments	30,967	32,368
Less: allowance for impairment	(17,043)	(16,712)
	13,924	15,656
Quoted investments	47,525,911	28,143,899
Total available-for-sale investments	47,539,835	28,159,555

Unquoted investments include unquoted equity securities amounting to AED 13,592 thousand *(2012: AED 14,908 thousand)* which are carried at cost as their fair value cannot be reliably estimated. The Group does not intend to dispose of these investments in the near term.

Debt instruments under repurchase agreements included in quoted available-for-sale investments at 31 December 2013 amounted to AED 1,545 million *(2012: AED 902 million)*.

Held-to-maturity investments

	2013 AED'000	2012 AED'000
Debt securities	3,306,224	4,127,302
Total non-trading investments	50,846,059	32,286,857

13 Other assets

	2013 AED'000	2012 AED'000
Interest receivable	2,260,724	1,946,603
Acceptances	1,175,506	1,463,434
Sundry debtors and other receivables	1,455,047	868,983
Deferred tax asset	18,435	21,175
	4,909,712	4,300,195

The Group does not perceive any significant credit risk on interest receivable and acceptances.

14 Investment properties

	Land and buildings AED'000
Cost	
At 1 January 2012	-
Acquisitions and transfers	143,987
At 31 December 2012	143,987
Acquisitions and transfers	-
At 31 December 2013	143,987
Accumulated depreciation	
At 1 January 2012	-
Charge for the year	3,926
At 31 December 2012	3,926
Charge for the year	4,801
At 31 December 2013	8,727
Carrying amounts	
At 31 December 2012	140,061
At 31 December 2013	135,260

The Group estimates that the fair value of the investment properties is AED 259 million as at the reporting date.

The fair values of the Group's investment properties are categorised under level 3 of the fair value hierarchy. The fair value of the investment property was determined by an external, independent property valuer having appropriate recognised professional qualifications and recent experience in the location and category of the property being valued. The valuation was done using discounted cash flow methodology. The valuation model considers the present value of net cash flows to be generated from the property taking into account the rental growth rate, selling price, void periods, occupancy rates and other such costs. The expected cash flows are discounted using an appropriate discount rate.

15 Property and equipment

	Land, building and alterations AED'000	Computer systems and equipment AED'000	Furniture, equipment, safes and vehicles AED'000	Capital work -in- progress AED'000	Total AED'000
Cost					
At 1 January 2012	2,261,091	489,084	281,972	287,984	3,320,131
Acquisitions	50,052	46,593	40,553	182,153	319,351
Transfer	14,232	98,774	2,099	(115,105)	-
Disposals/write off/FX	(19,324)	(16,462)	(19,507)	-	(55,293)
At 31 December 2012	**2,306,051**	**617,989**	**305,117**	**355,032**	**3,584,189**
Acquisitions	82,022	48,391	32,392	166,732	329,537
Transfer	251,045	114,133	4,180	(370,386)	(1,028)
Disposals/write off/FX	(13,723)	(3,874)	(14,741)	-	(32,338)
At 31 December 2013	**2,625,395**	**776,639**	**326,948**	**151,378**	**3,880,360**
Accumulated depreciation and impairment losses					
At 1 January 2012	647,259	274,513	182,599	-	1,104,371
Charge for the year	50,538	87,763	39,089	-	177,390
Disposals/FX	(9,795)	(15,204)	(19,061)	-	(44,060)
At 31 December 2012	**688,002**	**347,072**	**202,627**	**-**	**1,237,701**
Charge for the year	55,087	104,705	41,672	-	201,464
Disposals/FX	(16,742)	(1,890)	(13,781)	-	(32,413)
At 31 December 2013	**726,347**	**449,887**	**230,518**	**-**	**1,406,752**
Carrying amounts					
At 31 December 2012	1,618,049	270,917	102,490	355,032	2,346,488
At 31 December 2013	**1,899,048**	**326,752**	**96,430**	**151,378**	**2,473,608**

16 Due to banks and financial institutions

	2013 AED'000	2012 AED'000
Banks and financial institutions		
Current, call and notice deposits	1,319,319	1,888,783
Margin	699,620	121,821
Fixed deposits	21,291,836	20,196,240
Wakala deposit	2,120,000	4,650,000
	25,430,775	26,856,844
Central banks		
Current and call deposits	1,254,455	2,324,938
Fixed and certificate of deposits	9,075,152	6,295,493
	10,329,607	8,620,431
	35,760,382	35,477,275

Due to banks and financial institutions are denominated in various currencies and carry a rate of interest in the range of 0% to 3.16% *(2012: 0% to 3.75%)*.

17 Repurchase agreements

The Group enters into repurchase agreements in the normal course of business by which it transfers recognised financial assets directly to third parties.

The fair value of financial assets collateralised at the reporting date amounted to AED 1,545 million *(2012: AED 902 million)* and their associated financial liabilities amounted to AED 1,352 million *(2012: AED 2,017 million)*.

18 Euro commercial paper

The Bank established a USD 2,000,000 thousand Euro commercial Paper Programme (the "ECP Programme") for the issuance of Euro commercial paper under an agreement dated 13 September 2006 with Citibank, N.A.

The notes outstanding as at the reporting date amounted to AED 6,752,015 thousand *(2012: AED 2,831,198 thousand)*. They are denominated in various currencies, bear interest in the range of 0.07% to 0.56% *(2012: 0.005% to 1.87%)* and have maturity periods of less than 12 months.

The Group has not had any defaults of principal, interests, or other breaches with respect to its Euro commercial paper during 2013.

19 Customers' deposits

	2013 AED'000	2012 AED'000
By account:		
Current accounts	47,737,536	35,907,812
Savings accounts	10,337,386	8,818,334
Margin accounts	2,025,215	1,890,349
Notice and time deposits	133,385,706	132,933,772
Certificates of deposit	17,611,379	10,753,306
	211,097,222	190,303,573

	2013 AED'000	2012 AED'000
By counterparty:		
Government sector	45,937,851	67,189,742
Public sector	39,509,384	36,543,141
Corporate/private sector	65,797,925	47,917,270
Personal/retail sector	59,852,062	38,653,420
	211,097,222	190,303,573

	2013 AED'000	2012 AED'000
By location:		
UAE	144,824,093	134,760,589
Europe	20,275,167	19,978,034
Arab countries	28,534,630	23,591,133
Americas	7,082,352	5,025,976
Asia	10,061,023	6,621,787
Others	319,957	326,054
	211,097,222	190,303,573

Islamic customers' deposits

Included in the above customers' deposits are the following Islamic customer deposits:

	2013 AED'000	2012 AED'000
Wakala deposits	2,086,069	3,020,855
Mudaraba deposits	268,706	180,655
	2,354,775	3,201,510

20 Term borrowings

	2013 AED'000	2012 AED'000
Club loan and other facilities	1,469,200	3,856,650
Other term notes	17,220,968	15,216,980
	18,690,168	19,073,630

Convertible notes
During the year, the Bank has issued a USD 500 million convertible note. The notes mature in March 2018 and carry a fixed coupon that is paid semi-annually in arrears. The value of the conversion option at inception was AED 108,265 thousand and as such has been classified as a part of equity under convertible note – equity component reserve.

The following term notes are outstanding at 31 December:

Currency	Interest	Maturity	2013 AED'000	2012 AED'000
HKD	1.65 per cent (fixed)	Oct 2013	-	89,119
USD	4.50 per cent (fixed)	Sep 2014	3,171,498	3,238,546
HKD	3.80 per cent (fixed)	Sep 2014	191,646	195,697
HKD	3.90 per cent (fixed)	Oct 2014	117,543	119,967
USD	4.25 per cent (fixed)	Mar 2015	2,826,292	2,879,242
MYR	4.75 per cent (fixed)	Jun 2015	538,807	595,851
USD	3.25 per cent (fixed)	Mar 2017	2,786,429	2,828,117
HKD	3.40 per cent (fixed)	Sep 2017	151,754	156,286
USD	3.71 per cent (fixed)	Sep 2017	113,361	116,365
HKD	4.32 per cent (fixed)	Sep 2017	151,417	157,450
AUD	5.00 per cent (fixed)	Mar 2018	964,439	-
USD	1.00 per cent (fixed)	Mar 2018	1,689,885	-
USD	3.00 per cent (fixed)	Aug 2019	2,630,247	2,750,561
HKD	4.45 per cent (fixed)	Sep 2019	158,707	169,434
MYR	4.90 per cent (fixed)	Dec 2020	522,025	569,676
HKD	3.95 per cent (fixed)	Apr 2022	149,569	163,381
JPY	2.60 per cent (fixed)	Jul 2026	398,847	431,052
HKD	3.94 per cent (fixed)	Jul 2027	168,777	194,400
MXN	0.50 per cent (fixed)	Mar 2028	28,511	-
USD	4.37 per cent (fixed)	Aug 2032	233,498	281,668
USD	4.10 per cent (fixed)	Sep 2032	90,952	109,598
USD	4.80 per cent (fixed)	Sep 2036	63,049	77,456
USD	5.01 per cent (fixed)	May 2042	73,715	93,114
			17,220,968	15,216,980

The Bank has hedged the interest rate and foreign currency exposure on term borrowings. The Group has not had any defaults of principal, interests, or other breaches with respect to its term borrowings during 2013 and 2012.

21 Other liabilities

	2013 AED'000	2012 AED'000
Interest payable	1,898,591	1,513,640
Acceptances	841,139	1,382,739
Provision for staff terminal benefits	448,018	445,738
Accounts payable, sundry creditors and other liabilities	4,484,740	4,009,821
Overseas income tax	92,380	96,554
	7,764,868	7,448,492

The movement in the provision for staff terminal benefits was as follows:

	2013 AED'000	2012 AED'000
Balance at 1 January	445,738	421,146
Provided during the year	76,905	77,401
Paid during the year	(74,625)	(52,809)
Balance at 31 December	448,018	445,738

The Group has provided for overseas income tax in accordance with management's estimate of the total amount payable based on tax rates enacted or substantially enacted as at the reporting date. Where appropriate the Group has made payments of tax on account in respect of these estimated liabilities.

The overseas income tax charge for the year is calculated based upon the adjusted net profit for the year. The movement in the provision was as follows:

	2013 AED'000	2012 AED'000
At 1 January	96,554	63,620
Charge for the year	217,351	123,023
Overseas income tax paid, net of recoveries	(221,525)	(90,089)
At 31 December	92,380	96,554

22 Subordinated notes

	2013 AED'000	2012 AED'000
Subordinated notes – Ministry of Finance Tier 2 notes	-	3,273,621
Other subordinated notes	1,512,323	2,388,740
	1,512,323	5,662,361

Ministry of Finance Tier 2 notes
During the year, the Bank has fully repaid Ministry of Finance Tier 2 notes having a nominal value of AED 3 billion *(31 December 2012: AED 2.6 billion)*.

	2013 AED'000	2012 AED'000
Liability component		
15 March 2006 issue	1,034,936	1,032,824
28 February 2008 issue	-	807,817
10 December 2012 issue	477,387	548,099
	1,512,323	2,388,740
Equity component		
15 March 2006 issue	72,926	72,926
28 February 2008 issue	52,984	52,984
Less: conversion of 15 March 2006 issue	(40,502)	(40,502)
Less: buy back of 28 February 2008 issue	(31,564)	(31,564)
Transfer to general reserve	(53,844)	(32,424)
	-	21,420

15 March 2006 issue:

The Bank issued AED 2.5 billion subordinated convertible notes due on 15 March 2016 in accordance with the approval of the Extraordinary General Meeting held on 22 November 2005. The notes bear an interest rate equal to 3 month EBOR plus 0.25% paid quarterly.

Further during the year, the Bank purchased back AED Nil *(2012: AED 10,000 thousand)* of this issue from the market for AED Nil *(2012: AED 9,000 thousand)*. As a result, the total outstanding liability components were decreased by AED Nil *(2012: AED 9,708 thousand)*. Further, a gain on the extinguishment in the amount of AED Nil *(2012: AED 933 thousand)* was recognised in the consolidated income statement.

The above mentioned notes are presented in the consolidated statement of financial position as follows:

	2013 AED'000	2012 AED'000
Proceeds from issue of convertible notes	2,500,000	2,500,000
Less: amount classified as equity	(72,926)	(72,926)
Carrying amount of liability component on initial recognition	2,427,074	2,427,074
Add: cumulative accreted interest	25,735	23,623
Less: converted liability component	(1,347,973)	(1,347,973)
Carrying amount of liability bought back	(69,900)	(69,900)
Carrying amount of liability component	1,034,936	1,032,824

The effective interest rate as at 31 December 2013 was 3 month EBOR plus 0.301% *(2012: 3 month EBOR plus 0.301%)*.

28 February 2008 issue:

On 28 February 2008, the Bank issued AED 2 billion subordinated convertible notes due on 28 February 2018 in accordance with the approval of the Extraordinary General Meeting held on 5 September 2007. The notes bear an interest rate equal to 3 month EBOR less 0.25% paid quarterly.

These convertible notes are presented in the consolidated statement of financial position as follows:

	2013 AED'000	2012 AED'000
Proceeds from issue of convertible notes	2,000,000	2,000,000
Less: amount classified as equity	(52,984)	(52,984)
Carrying amount of liability component on initial recognition	1,947,016	1,947,016
Add: cumulative accreted interest	52,984	20,697
Carrying amount of liability bought back	(2,000,000)	(1,159,896)
Carrying amount of liability component	-	807,817

Interest on these notes is calculated on an effective yield basis by applying the effective interest rate for equivalent non-convertible notes to the liability component of the convertible notes. The effective interest rate as at 31 December 2013 was Nil *(2012: 3 month EBOR plus 0.116%)*

The Bank has exercised its call option and fully redeemed these notes on 28 February 2013 "the first call date"; as a result, the corresponding liability pertaining to the issue has been extinguished. The conversion option held by the note holders expired ten days prior to the first call date. Accordingly, the equity component of AED 21,420 thousand related to this issue was transferred to the general reserve. The Bank had no gain or loss as a result of this repayment.

10 December 2012 issue:

On 10 December 2012, the Bank issued MYR 500 million subordinated notes due on 9 December 2027. The notes bear an interest rate equal to 4.75% and will be paid on a semi-annual basis. The Bank has hedged the currency and interest rate exposure on these notes. The effective interest rate as at 31 December 2013 was 4.79% *(2012: 4.79%)*.

The Group has not had any defaults of principal, interests, or other breaches with respect to its subordinated notes during 2013 and 2012.

23 Capital and reserves

Share capital

The authorised share capital of the Bank comprise 4,306 million ordinary shares of AED 1 each *(2012: 3,875 million shares of AED 1 each)*. The issued and fully paid share capital at 31 December 2013 is comprised of 4,306 million ordinary shares of AED 1 each *(2012: 3,875 million ordinary shares of AED 1 each)*.

Reconciliation of Share capital

	2013 AED'000	2012 AED'000
As at 1 January	3,874,558	2,870,043
Shares issued under Share option scheme	39,584	-
	3,914,142	2,870,043
Bonus shares issued during the period	391,414	1,004,515
	4,305,556	3,874,558
Treasury shares held *(note 25)*	(25,086)	-
As at 31 December	4,280,470	3,874,558

Statutory reserve
The UAE Commercial Companies Law No. (8) of 1984 (as amended) and Article 56 of the Bank's Articles of Association require that a minimum of 10% of the annual net profit to be transferred to a statutory reserve until it equals 50% of the paid-up share capital. The statutory reserve is not available for distribution to the shareholders.

Special reserve
Transfers to the special reserve are made in accordance with Union Law No. (10) of 1980 and Article 56 of the Bank's Articles of Association under which not less than 10% of the annual net profit is to be transferred to this reserve until it equals 50% of the paid-up share capital. The special reserve is not available for distribution to the shareholders.

Dividends
The following dividends were paid by the Group during the year ended 31 December:

	2013 AED'000	2012 AED'000
Cash dividend AED 0.35 per ordinary share *(2012: 0.3)*	1,359,504	861,013
10% bonus shares *(2012: 35% bonus shares)* issued	391,414	1,004,515

Proposed dividends:
On 28 January 2014, a cash dividend of AED 0.40 per ordinary share and bonus shares of 10% *(2012: proposed cash dividend of AED 0.35 per ordinary share and 10% bonus shares)* was proposed by the Board of Directors in respect of 2013 which is subject to the approval of the shareholders at the Annual General Meeting.

Other reserves
Other reserves include the following:

(i) General reserve
The general reserve is available for distribution to the shareholders at the recommendation of the Board of Directors. On 12 March 2013 the AGM approved the transfer of AED 2.1 billion *(31 December 2012: AED 2.1 billion)* to general reserve.

(ii) Fair value reserve
The fair value reserve includes the cumulative net change in the fair value of non-trading investments, until the investment is derecognised or impaired, and cash flow hedge reserve.

	2013 AED'000	2012 AED'000
Revaluation reserve – available-for-sale investments		
At 1 January	699,317	(916,238)
Net unrealised gains during the year	371,735	1,878,134
Net realised gains recognised in the consolidated income statement during the year	(283,895)	(262,579)
At 31 December	787,157	699,317
Hedging reserve – cash flow hedge		
At 1 January	-	17,224
Changes in fair value	35,896	(17,224)
At 31 December	35,896	-
Total at 31 December	823,053	699,317

The hedging reserve comprises the effective portion of the cumulative net change in the fair value of cash flow hedging instruments related to hedged transactions.

(iii) Foreign currency translation reserve
Foreign currency translation reserve represents the exchange differences arising from translation of the net investment in foreign operations.

24 Government of Abu Dhabi Tier 1 capital notes

Under the Government of Abu Dhabi 2009 Bank capitalisation programme, the Bank issued regulatory Tier 1 capital notes (the "Notes") in the amount of AED 4 billion. The Notes are perpetual, subordinated, unsecured and carry a fixed coupon during the initial period and are paid semi annually in arrears. After the initial period, the Notes attract a coupon rate of 6 month EBOR plus a fixed margin. The Bank may elect not to pay a coupon at its own discretion. The note holder does not have a right to claim the coupon and an election by the Bank not to service coupon is not considered an event of default.

The issuance was approved in the shareholders Extraordinary General Meeting held on 11 March 2009. During the year, a coupon payment election was made by the Bank in the amount of AED 240 million *(2012: AED 240 million)*.

25 Share option scheme

The Bank had introduced in 2008 a share based payment scheme (the "Scheme") for selected employees which would vest over three years and can be exercised within the next three years after the vesting period. The key vesting condition is that the option holder is in continued employment with the Bank until the end of vesting period. The options lapse six years after their date of grant irrespective of whether they are exercised or not.

The Group has established a subsidiary to issue shares when the vested option is exercised by the employee. During the year the Bank has issued and transferred 39,584 thousand shares to the subsidiary, which is equivalent to the number of shares that would be required if option holders exercise their options. These shares are treated as treasury shares until exercised by the option holders.

As at the reporting date 17,482 thousand options were exercised by the option holders resulting in an increase in the total share capital by AED 17,482 thousand and share premium by AED 143,608 thousand.

The numbers of share options are as follows:

	2013 Number of options in thousands	2012 Number of options in thousands
Outstanding at 1 January	38,883	39,524
Forfeited during the year	(332)	(641)
Exercised during the year	(17,482)	-
Bonus share adjustment	2,881	-
Outstanding at 31 December	23,950	38,883

As a result of the issue of bonus shares, the exercise price per share was revised from AED 9.60 to AED 8.73 *(2012: AED 12.95 to AED 9.60)*. All the options outstanding as at 31 December 2013 have an exercise price per share of AED 8.73 *(2012: AED 9.60)*.

Reconciliation of treasury shares held under the Scheme

	2013 AED'000	2012 AED'000
As at 1 January	-	-
Shares issued under the Scheme	39,584	-
	39,584	-
Options exercised by staff during the period	(17,482)	-
	22,102	-
Bonus shares issued during the period	2,984	-
As at 31 December	25,086	-

26 Interest income

	2013 AED'000	2012 AED'000
Interest from		
Central banks	144,287	93,612
Banks and financial institutions	366,510	454,356
Reverse repurchase agreements	102,059	128,004
Investments at fair value through profit or loss	57,676	34,714
Non-trading investments	1,412,752	1,171,509
Loans and advances	6,002,238	6,097,397
	8,085,522	7,979,592

27 Interest expense

	2013 AED'000	2012 AED'000
Interest to		
Banks and financial institutions	129,603	169,268
Repurchase agreements	6,478	15,263
Euro commercial paper	18,680	11,118
Customers' deposits	782,736	893,809
Certificates of deposit	221,488	211,090
Term borrowings	694,224	571,941
Subordinated notes	28,444	284,139
	1,881,653	2,156,628

28 Income from Islamic financing contracts

	2013 AED'000	2012 AED'000
Ijara	271,348	284,258
Murabaha	56,826	31,827
Mudaraba	517	-
	328,691	316,085

29 Depositors' share of profits

	2013 AED'000	2012 AED'000
Wakala deposits	21,706	41,486
Mudaraba deposits	1,197	1,471
	22,903	42,957

30 Net fee and commission income

	2013 AED'000	2012 AED'000
Fee and commission income		
Letters of credit	172,142	201,478
Letters of guarantee	248,490	236,838
Fee Income - collection related services	42,515	27,738
Brokerage income, net	66,714	23,512
Asset management and investment services	116,280	89,602
Fee income on investments and derivatives	116,720	46,557
Risk participation fees	62,106	101,496
Retail and corporate lending fees	657,013	501,338
Cards and e-services fee income	670,077	471,095
Accounts related fee income	89,597	93,070
Commission on transfers	33,291	33,633
Others	80,283	79,131
Total fee and commission income	2,355,228	1,905,488
Fee and commission expense		
Brokerage commission	32,780	18,505
Handling charges	4,799	5,544
Credit card charges	417,633	293,536
Commission - Retail and corporate lending	33,748	32,164
Commission - Financing	3,498	412
Other commission	10,600	11,327
Total fee and commission expense	503,058	361,488
Net fee and commission income	1,852,170	1,544,000

Asset management and investment service fees include fees earned by the Group on trust and fiduciary activities where the Group holds or invests assets on behalf of its customers.

31 Net foreign exchange gain

	2013 AED'000	2012 AED'000
Trading and retranslation gain on foreign exchange and related derivatives	136,747	126,348
Dealings with customers	253,128	276,652
	389,875	403,000

32 Net gain on investments

	2013 AED'000	2012 AED'000
Net realised and unrealised gains on investments at fair value through profit or loss and derivatives	22,168	52,360
Net gain from sale of non-trading investments	283,895	262,579
Dividend income	4,959	3,243
	311,022	318,182

Interest income on debt instruments classified as investments at fair value through profit or loss as well as debt instruments classified as non-trading investments is presented within interest income.

Notes to the consolidated financial statements

33 Other operating income

	2013 AED'000	2012 AED'000
Gain on buy back of issued subordinated notes	268,955	225,586
Others	66,309	81,529
	335,264	307,115

34 General, administration and other operating expenses

	2013 AED'000	2012 AED'000
Staff costs	2,187,719	1,937,666
Other general and administration expenses	801,451	711,798
Depreciation	206,265	181,316
Donations and charity	43,198	36,877
	3,238,633	2,867,657

35 Net impairment charge

	2013 AED'000	2012 AED'000
Collective provision for loans and advances	547,305	291,874
Specific provision for loans and advances	1,289,775	1,709,070
Write back of provisions for loans and advances	(349,366)	(579,717)
Recovery of loan loss provisions	(320,847)	(218,723)
Write-off of impaired financial assets	30,743	142,692
Recovery of loans previously written off	(5,641)	(8,392)
Other recoveries	(405)	(261)
Impairment of non financial assets	14,342	-
	1,205,906	1,336,543

36 Overseas income tax expense

In addition to adjustments relating to deferred taxation, the charge for the year is calculated based upon the adjusted net profit for the year at rates of tax applicable in respective overseas locations.

The charge to the consolidated income statement for the year was as follows:

	2013 AED'000	2012 AED'000
Charge for the year	217,351	123,023
Adjustments relating to deferred taxation	2,973	8,938
	220,324	131,961

37 Cash and cash equivalents

Cash and cash equivalents included in the consolidated statement of cash flows comprise the following amounts maturing within three months of the date of the acquisition/placement:

	2013 AED'000	2012 AED'000
Cash and balances with central banks	29,912,204	48,282,689
Due from banks and financial institutions	6,573,919	7,348,694
Cash and cash equivalents	36,486,123	55,631,383

38 Commitments and contingencies

	2013 AED'000	2012 AED'000
Letters of credit	31,470,088	35,048,515
Letters of guarantee	50,947,669	46,772,002
Undrawn commitments to extend credit	24,636,477	25,805,030
Financial guarantees	4,785,514	10,902,938
	111,839,748	118,528,485

Credit risk characteristics of these unfunded facilities closely resemble the funded facilities as described in note 4.

Capital and operating lease commitments at the reporting date is shown below:

	2013 AED'000	2012 AED'000
Commitments for future capital expenditure	48,836	179,639
Commitments for future operating lease payments for premises	151,918	134,255
	200,754	313,894
Total commitments and contingencies	112,040,502	118,842,379

Letters of credit and guarantee commit the Group to make payments on behalf of customers contingent upon the production of documents or the failure of the customer to perform under the terms of the contract.

Commitments to extend credit represent contractual commitments to extend loans and revolving credits. Commitments generally have fixed expiration dates or other termination clauses and may require a payment of a fee. Since commitments may expire without being drawn upon, the total contracted amounts do not necessarily represent future cash requirements.

Commitments for operating lease payments are payable as follows:

	2013 AED'000	2012 AED'000
Less than one year	53,355	44,389
Between one and five years	77,570	87,415
More than five years	20,993	2,451
Total commitments	151,918	134,255

Financial guarantee contracts includes credit default agreements entered with banks and financial institutions amounting to AED 4,665 million *(2012: AED 8,650 million)* which are primarily denominated in US Dollars.

Concentration by industry:

Financial guarantee contracts mainly pertain to the banking sector.

Concentration by location:

	Undrawn loan Commitments		Financial guarantees	
	2013 AED'000	2012 AED'000	2013 AED'000	2012 AED'000
UAE	18,189,528	20,353,276	-	938,680
Europe	804,083	1,104,397	202,015	2,259,519
Arab countries	1,449,932	1,226,805	43,541	331,531
Americas	3,079,356	2,395,496	240,266	533,600
Asia	1,113,578	725,056	2,830,492	5,370,408
Others	-	-	1,469,200	1,469,200
	24,636,477	25,805,030	4,785,514	10,902,938

39 Derivative financial instruments

In the ordinary course of business the Group enters into various types of transactions that involve derivative financial instruments. Derivative financial instruments include forwards, futures, swaps and options. These transactions are primarily entered with Banks and financial institutions.

Forwards and futures contracts are commitments to either purchase or sell foreign currencies, commodities or financial instruments at a specified future date for a specified price.

Swaps are the agreements between the Group and other parties to exchange future cash flows based upon agreed notional amounts. Swaps most commonly used by the Group are interest rate swaps and cross currency swaps.

Options are contractual agreements that convey the right, but not the obligation, to either buy or sell a specific amount of a commodity or financial instrument at a fixed price either at fixed future date or at any time within a specified period.

Derivatives are measured at fair value by reference to published price quotations in an active market or counterparty prices or valuation techniques such as discounted cash flows.

The table following shows the positive and negative fair values of derivative financial instruments, which are equivalent to their fair values, together with the notional amounts analysed by the term to maturity. The notional amount is the amount of a derivative's underlying, reference rate or index and is the basis upon which changes in the value of derivatives are measured. The notional amounts indicate the volume of transactions outstanding at year end and are neither indicative of the market risk nor credit risk.

31 December 2013	Positive market value AED'000	Negative market value AED'000	Notional amount AED'000	Notional amounts by term to maturity: Less than three months AED'000	From three months to one year AED'000	From one year to three years AED'000	From three years to five years AED'000	Over five years AED'000
Held for trading:								
Interest rate derivatives								
Swaps	4,140,108	2,811,469	413,332,300	62,481,971	99,606,886	133,815,365	60,036,301	57,391,777
Forwards & Futures	17,866	15,189	180,128,175	5,656,420	112,361,784	62,109,971	-	-
Options & Swaptions	145,307	134,545	81,607,486	15,059,300	41,590,791	4,996,405	3,314,952	16,646,038
Foreign exchange derivatives	1,362,812	1,413,680	189,421,730	119,753,860	60,172,442	8,073,591	1,421,837	-
Forwards	45,770	45,770	5,186,561	1,327,350	3,717,360	141,851	-	-
Options	39,089	42,500	2,267,565	765,432	849,002	492,331	160,800	-
Other derivatives contracts	5,750,952	4,463,153	871,943,817	205,044,333	318,298,265	209,629,514	64,933,890	74,037,815
Held as fair value hedges:								
Interest rate derivatives								
Swaps	372,571	2,822,204	48,818,379	1,752,810	6,142,491	4,578,404	10,405,136	25,939,538
	372,571	2,822,204	48,818,379	1,752,810	6,142,491	4,578,404	10,405,136	25,939,538
Held as cash flow hedges								
Interest rate derivatives								
Forwards	22,483	168,659	10,378,603	5,908,694	4,469,909	-	-	-
	22,483	168,659	10,378,603	5,908,694	4,469,909	-	-	-
Total	6,146,006	7,454,016	931,140,799	212,705,837	328,910,665	214,207,918	75,339,026	99,977,353

31 December 2012

	Notional amount AED'000	Negative market value AED'000	Positive market value AED'000	Notional amounts by term to maturity – Less than three months AED'000	From three months to one year AED'000	From one year to three years AED'000	From three years to five years AED'000	Over five years AED'000
Held for trading:								
Interest rate derivatives								
Swaps	256,205,751	3,600,687	4,121,031	29,668,315	62,342,809	63,533,798	60,304,214	40,356,615
Forwards & Futures	75,261,193	4,788	6,048	36,730	41,747,594	33,476,869	-	-
Options & Swaptions	15,165,430	163,716	167,202	1,292,896	7,025,118	700,792	3,881,970	2,264,654
Foreign exchange derivatives	139,468,852	1,039,955	430,460	101,716,820	36,101,795	1,631,872	18,365	-
Forwards	9,844,360	125,811	128,406	1,650,741	7,891,760	301,859	-	-
Options	3,272,135	822	114	1,749,377	1,357,473	18,365	146,920	-
Other derivatives contracts	499,217,721	4,935,779	4,853,261	136,114,879	156,466,549	99,663,555	64,351,469	42,621,269
Held as fair value hedges:								
Interest rate derivatives								
Swaps	41,501,373	1,716,729	729,819	6,080,997	3,519,164	8,350,212	6,809,008	16,741,992
	41,501,373	1,716,729	729,819	6,080,997	3,519,164	8,350,212	6,809,008	16,741,992
Held as cash flow hedges	-	-	-	-	-	-	-	-
	-	-	-	-	-	-	-	-
	-	-	-	-	-	-	-	-
Total	540,719,094	6,652,508	5,583,080	142,195,876	159,985,713	108,013,767	71,160,477	59,363,261

The positive/negative fair value in respect of derivatives represents the gain/loss respectively, arising on fair valuation of the trading and hedging instrument. These amounts are not indicative of any current or future losses, as a similar positive/negative amount has been adjusted to the carrying value of the hedged loans and advances, non-trading investments, term borrowings and subordinated notes.

Derivative related credit risk:

This is limited to the positive fair value of instruments that are favourable to the Group.

Derivatives held for trading
The Group uses derivatives, not designated in a qualifying hedge relationship, to manage its exposure to foreign currency, interest rate and credit risks. The instruments used mainly include interest rate and currency swaps and forward contracts. The fair values of those derivatives are shown in the table above.

Derivatives held as fair value hedge
The Group uses interest rate swaps, to hedge against the changes in fair value arising from specifically identified interest bearing assets such as loans and advances, non-trading investments, term borrowings and subordinate notes. The Group uses forward foreign exchange contracts and currency swaps to hedge against specifically identified currency risks.

Derivatives held as cash flow hedge
The Group uses forward contracts to hedge the foreign currency risk arising from its financial instruments. The Group has substantially matched the critical terms of the derivatives to have an effective hedge relationship.

40 Related parties

Identity of related parties

Parties are considered to be related if one party has the ability to control the other party or exercise significant influence over the other party in making financial or operational decisions. Related parties comprise major shareholders, directors and key management personnel of the Group. The terms of these transactions are approved by the Group's management and are made on terms agreed by the Board of Directors or management.

Parent and ultimate controlling party

Pursuant to the provisions of Law No. 16 of 2006, Abu Dhabi Investment Council (the "Council") was established which holds 70.18% *(2012: 70.48%)* of the issued share capital of the Bank.

Compensation of directors and key management personnel

	2013 AED'000	2012 AED'000
Key management compensation		
Short term employment benefits	78,408	74,904
Post employment benefits	1,734	1,731
Termination benefits	1,492	2,043
Other long-term employee benefits[1]	24,012	2,604
	5,950	5,450
Directors' remuneration		

[1] includes share based payments

During the year, a coupon payment election of AED 240 million *(2012: AED 240 million)* was made by the Bank in relation to the AED 4,000 million *(2012: AED 4,000 million)* Government of Abu Dhabi Tier 1 capital notes.

Terms and conditions

Loans and deposits are granted and accepted in various currency denominations and for various time periods. Interest rates earned on such loans and advances extended to related parties during the year have ranged from 0.05% to 10.750% per annum *(2012: 0.05% to 8.25% per annum)* and interest rates incurred on customers' deposits placed by related parties during the year have ranged from nil to 3.80% per annum *(2012: nil to 4.5% per annum)*.

Fees and commissions earned on transactions with related parties during the year have ranged from 0.20% to 1.00% *(2012: 0.20% to 1.00%)*.

Collaterals against lending to related parties range from being nil to fully secure.

	Directors and key management AED'000	Major shareholder AED'000	Others AED'000	2013 Total AED'000	2012 Total AED'000
Balances with related parties at the reporting date are shown below:					
Financial assets	827,478	6,806,384	72,758,571	80,392,433	63,674,384
Financial liabilities	498,258	6,045,167	60,287,925	66,831,350	86,664,850
Contingent liabilities	1,442,593	412,486	40,154,207	42,009,286	39,780,103
Transactions carried out during the year with related parties are shown below:					
Interest income	22,969	315,857	1,995,779	2,334,605	1,632,773
Interest expense	510	139,935	239,941	380,386	363,011
Fee and commission income	8,137	1,177	63,000	72,314	57,219

Others comprise Government of Abu Dhabi entities.

No allowances for impairment have been recognised against loans and advances extended to related parties or contingent liabilities issued in favour of related parties during the year *(2012: AED nil)*.

41 Segmental information

During the second half of the year, the Group has reorganised its operations and aligned its segments representation to its new and more simplified structure that is coherent with its mission of being core to its chosen customers. Accordingly, the new operating structure has been developed consisting of three key Business segments across Geographic segments that are driving the business strategy, customer value propositions, products and channel development and customer relationships in addition to supporting the delivery of the Group's financial performance.

Business segments

- *Global Wholesale*
  Global Wholesale comprises of Global Banking and Global Markets. The business provides corporate, wholesale and investment clients with strategic advice and bespoke innovative solutions catering for their different needs. Global Banking Division offers an array of financial services ranging from relationship lending and financing, syndication, corporate finance, specialised financing, leasing, securities services, property management, transactional banking, investment banking and special asset advisory. Global Markets Division covers lines of business in relation to institutional and corporate coverage, risk solutions, repos management and investments, commodities, E-commerce and foreign exchange trading.

- *Global Wealth*
  Global Wealth enfolds high net worth individuals and other clients with sophisticated investment needs. The business furnishes variety of products related to private banking, assets management including local and global funds as well as discretionary portfolios management, custody, brokerage, business development and tailored wealth solutions (such as trust & estate planning, financial planning, segregated mandates, structured lending, real estate and private equity investments).

- *Global Retail and Commercial*
  The Global Retail and Commercial ("GRC") targets the retail and commercial customer segments together with their associated operations and administration. The GRC is structured on the basis of the differing needs of the Group's broad customer base covering mass, affluent, commercial and Islamic Banking.

- *Head Office*
  The Group provides centralised human resources, information technology, finance, investor relations, risk management, corporate communications, property, legal, internal audit, compliance, procurement, group treasury operations and administrative support to all of its businesses units. In addition to support and enablement, collective provisions is parked in head office.

Geographic segments

The Group will be managing its various business segments through a network of branches, subsidiaries and representative offices within the three defined geographic segments which are UAE, Gulf and International.

- *UAE*
  NBAD local network is currently available in all the seven emirates constituting the United Arab Emirates.

- *Gulf*
  NBAD presence in the Gulf region is run through its branches in Bahrain, Kuwait and Oman; the segment is extended to include Jordan.

- *International*
  NBAD international network is carried out via its operational presence in Brazil, China, Egypt, France, Hong Kong, Lebanon, Libya, Malaysia, Sudan, Switzerland, the United Kingdom and the United States of America.

  The accounting policies of the reportable segments are the same as described in notes 2 and 3. Transactions between segments, and between branches within a segment, are conducted at estimated market rates or rates agreed by management. Interest is charged or credited to branches and business segments either at contracted or pool rates, both of which approximate the replacement cost of funds.

  Information regarding the results of each reportable segment is included below. Performance is measured based on segment profit before taxation, as included in the internal management reports that are reviewed by the Group's Chief Executive. Segment profit is used to measure performance as management believes that such information is the most relevant in evaluating the results of certain segments relative to other entities that operate within these industries.

	Business Segment					Geographic Segment			
	Global Wholesale AED'000	Global Wealth AED'000	Global Retail and Commercial AED'000	Head Office AED'000	Total AED'000	UAE AED'000	Gulf AED'000	International AED'000	Total AED'000
As at and for the year ended 31 December 2013									
Operating income	4,734,260	734,446	2,975,943	953,339	**9,397,988**	7,802,758	230,014	1,365,216	**9,397,988**
Net impairment charge	393,378	372	267,412	544,744	**1,205,906**	1,125,033	9,700	71,173	**1,205,906**
Profit/(loss) before taxation	3,683,089	506,914	1,364,715	(601,269)	**4,953,449**	4,017,423	97,673	838,353	**4,953,449**
Overseas taxation	107,414	45,877	67,033	-	**220,324**	-	12,538	207,786	**220,324**
Net profit/(loss) for the year	3,575,675	461,037	1,297,682	(601,269)	**4,733,125**	4,017,423	85,135	630,567	**4,733,125**
Segment total assets	231,403,160	28,169,942	85,408,361	50,786,523	**395,767,986**	256,508,915	7,961,645	76,499,179	**340,969,739**
Inter segment balances					**(70,706,330)**				**(15,908,083)**
Total assets					**325,061,656**				**325,061,656**
Segment total liabilities	219,034,101	26,957,642	88,724,557	26,373,145	**361,089,445**	225,766,985	6,663,181	73,861,032	**306,291,198**
Inter segment balance					**(70,706,330)**				**(15,908,083)**
Total liability					**290,383,115**				**290,383,115**

Note: Except for subsidiaries, the collective provisions of the Group's United Arab Emirates operations are recognised centrally in Head Office.
The above segment information is based on the new Group reorganised structure.

	Domestic Banking AED'000	Int'l Banking AED'000	Global Financial Markets AED'000	Global Banking AED'000	Global Wealth AED'000	Islamic Business AED'000	Head Office AED'000	Total AED'000
As at and for the year ended 31 December 2013:								
Operating income	2,109,502	1,569,745	1,180,534	2,802,282	441,119	289,587	1,005,219	**9,397,988**
Net impairment charge	195,842	84,945	-	372,120	465	2,408	550,126	**1,205,906**
Profit/(loss) before taxation	962,872	981,294	1,017,679	2,150,235	222,999	180,320	(561,950)	**4,953,449**
Overseas taxation	-	214,304	-	-	6,020	-	-	**220,324**
Net profit/(loss) for the year	962,872	766,990	1,017,679	2,150,235	216,979	180,320	(561,950)	**4,733,125**
Segment total assets	62,912,057	79,842,210	102,072,887	109,524,351	12,288,986	7,374,451	52,128,066	**426,143,008**
Inter segment balances								**(101,081,352)**
Total assets								**325,061,656**
Segment total liabilities	61,863,249	76,236,407	100,952,395	106,908,337	11,529,984	6,299,562	27,674,533	**391,464,467**
Inter segment balances								**(101,081,352)**
Total liabilities								**290,383,115**

Note: Except for subsidiaries, the collective provisions of the Group's United Arab Emirates operations are recognised centrally in Head Office.

The above segment information presented is based on the previous segmental bifurcations for comparability with the comparative figures.

As at and for the year ended 31 December 2012:

	Domestic Banking AED'000	Int'l Banking AED'000	Global Financial Markets AED'000	Global Banking Global AED'000	Global Wealth AED'000	Islamic Business AED'000	Head Office AED'000	Total AED'000
Operating income	1,957,538	1,357,275	1,046,645	2,797,659	341,876	269,753	897,643	8,668,389
Net impairment charge	272,389	221,186	(261)	520,441	4,042	5,525	313,221	1,336,543
Profit/(loss) before taxation	793,131	714,042	910,058	2,027,914	133,965	156,534	(271,455)	4,464,189
Overseas taxation	-	122,475	-	-	10,086	-	(600)	131,961
Net profit/(loss) for the year	793,131	591,567	910,058	2,027,914	123,879	156,534	(270,855)	4,332,228
Segment total assets	41,884,846	93,119,495	114,288,050	99,660,417	8,441,653	9,154,649	52,172,713	418,721,823
Inter segment balances								(118,122,654)
Total assets								300,599,169
Segment total liabilities	41,046,212	89,896,231	113,009,996	97,251,025	7,916,264	8,388,279	30,080,725	387,588,732
Inter segment balances								(118,122,654)
Total liabilities								269,466,078

Note: Except for subsidiaries, the collective provisions of the Group's United Arab Emirates operations are recognised centrally in Head Office.

During the year, the Group has restructured its internal reportable segment to align itself to the chief operating decision makers. Due to impracticability of restatement of the comparative segment information, the comparative information is presented as per the previous segmental bifurcations.

42 Earnings per share

Earnings per share is calculated by dividing the net profit for the year after deduction of Tier 1 capital notes payment by the weighted average number of ordinary shares in issue during the year as set out below:

	2013	2012
Basic earnings per share:		
Net profit for the year (AED'000)	4,733,125	4,332,228
Less: payment on Tier 1 capital notes (AED'000)	(240,000)	(240,000)
Net profit after payment of Tier 1 capital notes (AED'000)	4,493,125	4,092,228
Weighted average number of ordinary shares:		
Ordinary shares as at 1 January of the year ('000s)	3,874,558	2,870,043
Effect of bonus shares issued during 2013 ('000s)	388,430	388,430
Effect of bonus shares issued during 2012 ('000s)	-	1,004,515
Weighted average number of shares exercised under the share options scheme ('000)	11,462	-
Weighted average number of ordinary shares ('000s)	4,274,450	4,262,988
Basic earnings per share (AED)	1.05	0.96
Diluted earnings per share:		
Net profit after payment of Tier 1 capital notes (AED'000)	4,493,125	4,092,228
Add: interest on convertible notes (AED'000)	26,592	15,860
Net profit for the year for calculating diluted earnings per share (AED'000)	4,519,717	4,108,088
Weighted average number of ordinary shares ('000s)	4,274,450	4,262,988
Effect of dilutive potential ordinary shares issued ('000s)	75,843	70,114
Weighted average number of dilutive shares under share options scheme ('000)	7,940	-
Weighted average number of ordinary shares in issue for diluted earnings per share ('000s)	4,358,233	4,333,102
Diluted earnings per share (AED)	1.04	0.95

43 Fiduciary activities

The Group held assets under management in trust or in a fiduciary capacity for its customers at 31 December 2013 amounting to AED 7,906 million *(2012: AED 5,427 million)*. Furthermore, the Group provides custodian services for some of its customers.

The underlying assets held in a custodial or fiduciary capacity are excluded from these consolidated financial statements of the Group.

44 Special Purpose Entities

The Group has created Special Purpose Entities (SPEs) with defined objectives to carry on fund management and investment activities on behalf of customers. The equity and investments managed by the SPEs are not controlled by the Group and the Group does not obtain benefits from the SPEs' operations, apart from commissions and fee income. In addition, the Group does not provide any guarantees or assume any liabilities of these entities. Consequently, the SPEs' assets, liabilities and results of operations are not included in these consolidated financial statements of the Group. The SPEs are as follows:

Legal name	Activities	Country of incorporation	Holding 2013
NBAD Nominees Limited	Shares registration	England	100%
NBAD Fund Managers (Guernsey) Limited	Equity/Asset Management	Bailiwick of Guernsey	100%
NBAD Global Growth Fund PCC Limited	Equity/Asset Management	Bailiwick of Guernsey	100%
One share PLC	Investment Company	Republic of Ireland	100%
NBAD Private Equity 1	Fund Management	Cayman Island	58%
NBAD (Cayman) Limited	Fund Management	Cayman Island	100%
NBAD Global Multi-Strategy Fund	Fund Management	Cayman Island	100%

45 Comparative figures

Certain comparative figures have been reclassified where appropriate to conform to the presentation and accounting policies adopted in these consolidated financial statements.

Risk Management & Basel II Pillar III Disclosures

Risk Management & Basel II Pillar III Disclosures

National Bank of Abu Dhabi (NBAD) and its subsidiaries, collectively known as the "Group", assesses its capital adequacy based on the Capital Adequacy Standards of the Central Bank of UAE (CBUAE) published in November 2009 for Standardized Approach. The document is adopted from BIS Revised Framework – 'International Convergence of Capital Measurement and Capital Standards'. The framework is structured around three Pillars: Pillar I - Minimum Capital Requirements; Pillar II – the Supervisory Review Process and the Internal Capital Adequacy Assessment Process (ICAAP); and Pillar III - Market Discipline.

Pillar I deals with the computation of Regulatory Capital ratio. It involves criteria based assessment of risk for various asset classes and calculation of Risk Weighted Assets (RWAs) for credit, market and operational risk to derive the required regulatory capital. All UAE banks are subject to a minimum capital adequacy ratio of 12%, which is significantly higher than the global required minimum of 8%. Capital adequacy for the Group as at 31st December 2013 was 18.21% - substantially higher than the regulatory minimum.

The Group calculates RWA as per CBUAE guidelines for credit, market and operational risks as presented below:

Method of calculating RWA	
Credit risk	The Group uses the Standardised approach to calculate RWA for credit risk. It uses risk weights to convert exposures into RWA as per CBUAE guidelines for Basel II which can range between 0% for certain sovereign exposures to 150% for high risk exposures. The risk assessment is driven by ratings published by External Credit Assessment Institutions approved by CBUAE.
Market risk	The Group uses the Standardised Approach of measurement as per CBUAE guidelines to calculate RWA for specific risk. In calculating RWA for market risk, the Group distinguishes between general and specific risk and between holdings in the trading book and holdings outside the trading book.
Operational risk	The Group uses the Basic Indicator Approach as per CBUAE guidelines for Basel II to calculate RWA for operational risk. The calculation is based on a single indicator: income. RWA are calculated as 15% percentage of the average income in the past three years.

Future steps: The Group plans to migrate to the advanced approaches of Basel II accord and is working internally on strengthening its policies, processes and tools. The Group has voluntarily applied to CBUAE with a request to initiate the accreditation process which would allow the Group to progress towards the Foundation – Internal Rating Based (F-IRB) approach; this would allow the Group to use its internal credit risk rating models to calculate and report credit risk regulatory capital.

Pillar II deals with (a) Supervisory Review of Bank's risk management framework and taking a view on whether additional capital needs to be held for risks not covered under Pillar I and (b) Internal Capital Adequacy Assessment Process (ICAAP), which is the Bank's own framework to assess its solvency (Capital and Liquidity) requirements over the next business cycle.

The Group will be submitting its ICAAP document for 2013 to CBUAE in March 2014. The ICAAP document:

- Defines risk appetite of the Bank in terms of KPIs (financial and operational)
- Introspects into business strategies under various adverse scenarios (e.g. Severe Recession, Liquidity Crisis, etc.) to estimate additional solvency requirements (Stress Test) to operate within the Group's risk appetite.
- Quantifies additional capital requirements for quantifiable (e.g. Concentration risk, Interest Rate Risk in the Banking Book) and qualitative risks (e.g. Reputational Risk) over and above the Pillar I requirements.

As per current internal estimates, the Group's current level of capital adequacy is deemed more than sufficient to deal with all these additional risks and under appropriate stressed scenarios.

Pillar III relates to market discipline and requires the Bank to disclose detailed qualitative and quantitative information of its risk management and capital adequacy policies and processes.

PILLAR III QUALITATIVE & QUANTITATIVE DISCLOSURES

Disclosures under Pillar III follow the guidelines and formats of the Capital Adequacy Standards (Standardized Approach) of CBUAE. All subsidiaries are consolidated (also consistent with IFRS guidelines) and significant investments are deducted as per the Basel II guidelines.

Table 1: Subsidiaries and Significant Investments

As at December 2013	Country of Incorporation	% Ownership	Description	Accounting Treatment
Subsidiaries:				
Abu Dhabi International Bank N.V.	Curacao	100%	Banking	Fully Consolidated
NBAD Securities LLC	United Arab Emirates	100%	Shares & Securities	Fully Consolidated
Abu Dhabi National Leasing LLC	United Arab Emirates	100%	Leasing	Fully Consolidated
Abu Dhabi National Properties PrJC	United Arab Emirates	100%	Property Management	Fully Consolidated
NBAD Trust Company (Jersey) Limited	Channel Islands	100%	Fund Management	Fully Consolidated
NBAD Private Bank (Suisse) SA	Switzerland	100%	Private Banking	Fully Consolidated
Abu Dhabi National Islamic Finance Pvt. JSC	United Arab Emirates	100%	Islamic Finance	Fully Consolidated
Ample China Holdings Limited	Hong Kong	100%	Leasing	Fully Consolidated
Abu Dhabi Brokerage Egypt	Egypt	100%	Brokerage	Fully Consolidated
National Bank of Abu Dhabi Malaysia Berhad	Malaysia	100%	Banking	Fully Consolidated
NBAD Investment Management (DIFC) Limited	United Arab Emirates	100%	Fund Management	Fully Consolidated
NBAD Employee Share Options Limited	United Arab Emirates	100%	Shares & Securities	Fully Consolidated
SAS 10 Magellan	France	100%	Leasing	Fully Consolidated
National Bank of Abu Dhabi Representações Ltda	Brazil	100%	Representative office	Fully Consolidated
NBAD Financial Markets (Cayman) Limited	Cayman Island	100%	Banking	Fully Consolidated
Significant Investments:				
NBAD Special Purpose Entities				
NBAD Nominees Limited	England	100%	Shares Registration	Not Included
NBAD Fund Managers (Guernsey) Limited	Bailiwick of Guernsey	100%	Equity/Asset Management	Not Included
NBAD Global Growth Fund PCC Limited	Bailiwick of Guernsey	100%	Equity/Asset Management	Not Included
One Share PLC	Republic of Ireland	100%	Investment Company	Not Included
NBAD Private Equity	Cayman Island	58%	Fund Management	Not Included
NBAD (Cayman) Limited	Cayman Island	100%	Fund Management	Not Included
NBAD Global Multi-Strategy Fund	Cayman Island	100%	Fund Management	Not Included
Others				
National Takaful PJSC	Abu Dhabi, United Arab Emirates	16%	Insurance	Deducted from Capital
Misr Iran Office & Touristic Buildings Co	Egypt	20%	Leasing	Deducted from Capital

Risk Management & Basel II Pillar III Disclosures

The consolidated eligible capital for capital adequacy computation as at December 2013 as per the said guidelines is presented below:

Table 2: Consolidated Capital Structure as at 31st December 2013

As at 31st December 2013	Amount (AED 000)
Tier 1 Capital	
1. Paid up share capital/common stock	4,424,077
2. Reserves	
a. Statutory reserve	2,152,778
b. Special reserve	2,152,779
c. General reserve	15,329,079
d. Retained Earnings	5,796,776
e. Others	-
3. Minority interests in the equity of subsidiaries	
4. Innovative capital instruments	4,000,000
5. Other capital instruments	-
6. Surplus capital from insurance companies	-
Sub-total	33,855,489
Less: Deductions for regulatory calculation	
Less: Deductions from Tier 1 capital	
i. Tier 1 Capital - Subtotal	33,855,490
ii. Tier 2 capital	3,498,061
iii. Other deductions from capitals	(44,487)
iv. Total eligible capital after deductions	37,309,0643

As at 31st December 2013, the capital adequacy ratio of the Group is:

Table 3: Capital Adequacy as at 31st December 2013 (AED 000)

Quantitative Disclosures	Capital Charge	Capital Ratio (%)
Capital Requirements		
1. Credit Risk		
a. Standardized Approach	21,803,568	
b. Foundation IRB	-	
c. Advanced IRB	-	
2. Market Risk		
a. Standardized Approach	1,516,510	
b. Models Approach	-	
3. Operational Risk		
a. Basic Indicator Approach	1,264,777	
b. Standardized Approach	-	
c. Advanced Measurement Approach	-	
Total Capital requirements	24,584,855	
Capital Ratio		
a. Total for Top consolidated Group		18.21%
b. Tier 1 ratio only for top consolidated Group		16.51%
c. Total for each significant bank subsidiary		-

Basel III

During 2011, Basel Committee on Banking Supervision (BCBS) officially announced the final set of regulatory capital rules (Basel III), as per which three important ratios will be phased in by 2015 while keeping the Capital Adequacy Ratio (CAR) intact at current level. Complying with the new rules will increase capital and liquidity requirements. The final detailed guidelines from CBUAE concerning the same are still awaited; however the Group is generally in a strong position to comply with the expected Basel III rules (including phasing-in period).

First, banks will be required to increase the minimum Common Equity Ratio from existing 2% to 4.5% and in addition, they will also be required to hold a capital conservation buffer of 2.5% leading to new regulatory minimum at 7%. Second, the banks are progressively required to increase the minimum Tier I Capital to 6% by the end of 2018. Third, BCBS has suggested a minimum Leverage Ratio of 3% which may be changed before the full implementation. In this context, the respective ratios for the Group as at 31st December 2013 are as below.

Table 4: Basel III Ratio as at 31st December 2013

As at 31st December 2013	Ratio
Common Equity ratio	14.50%
Tier I ratio	16.51%
Leverage ratio	7.24%

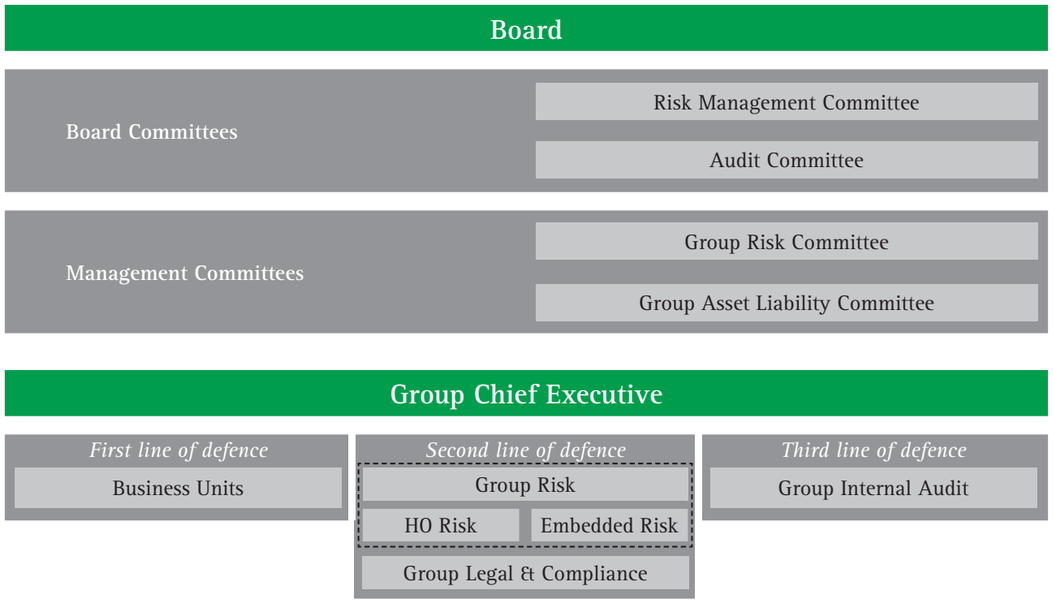
GROUP RISK GOVERNANCE STRUCTURE

Structure and Organisation of the Risk Management Function vis-à-vis Group

The Board of Directors (the "Board") has overall responsibility for the establishment and oversight of the Group's risk management framework and they are assisted by two board committees (Risk Management Committee and Audit Committee), and two management committees [Group Risk Committee ("GRC") and (Group Assets and Liabilities Committee ("G-ALCO")].

The Group manages risk using three lines of defence comprising business units, control units and Internal Audit. Business units, as the first line of defence, identify and manage risk in their day-to-day activities by ensuring that activities are within the Group's risk appetite and are in compliance with all relevant internal policies and processes. Risk Group (comprising head office risk and risk functions embedded in business divisions) and Legal & Compliance division, as the second line of defence, establish risk controls comprising policies, frameworks, processes and analytical tools while also providing oversight and independent challenge to the first line. Internal Audit, as the third line of defence, provides assurance to management and the Board of the effectiveness of risk management practices employed by the first two lines of defence.

NBAD Group Risk Governance Structure



Risk Management & Basel II Pillar III Disclosures

Board Committee

Risk Management Committee (RMC), comprises members from the Board, and is responsible for recommending and setting the Group's risk strategy and policy guidelines, and subsequently monitoring adherence. RMC takes credit decisions above management's discretionary powers, defines risk limits within which the Group's management operates and also monitors the overall risks for the Group.

Management Committees

The management committees are responsible for implementing the risk management framework. The major functions of the two management committees are given below:

Management level Risk Committees	
Group Risk Committee (GRC)	The primary function of the committee is to review and recommend to the Board risk appetite & risk limits and approve risk policies & analytical models to ensure effective management of credit, market, operational risk, business continuity and reputational risk.
Group Assets and Liabilities Committee (G-ALCO)	The primary function of the committee is to review and be accountable to the Board for the balance sheet structure & quality and the funding plan. The committee manages liquidity & funding gap risk including approval of the contingency funding plan and funds transfer pricing as well as the relevant policies and risk limits.

A separate Risk Group, reporting to the RMC and Group Chief Executive (G-CE), assists in carrying out the oversight responsibility of the Board. There are two main independent functions of the Risk Group, which are:

Functions within Risk Group	
Head Office Risk	**Credit Adjudication** • Credit underwriting within defined authorities and recommending credits to higher approval levels • Management of problem credits • Oversight of embedded risk units within business units **Group Independent Risk Management** • Responsible for defining risk appetite, policies, frameworks and the risk architecture of the Group as well as the overall management of portfolio credit risk, market risk, operational risk, and business continuity management • Risk Measurement Methodologies, i.e. models and associated assumptions, stress testing framework and risk regulatory compliance • Responsible for oversight of Group Treasury with regards to liquidity, funding, and interest rate risk management in the banking group
Embedded Risk Units	• Approval of individual credits within defined authorities and recommending credits to higher approval levels • Monitoring attainment of RAROC hurdle rates and profitability targets as part of their review and approval process • Monitoring Market risk and implementation of ORM and BCM tools

Risk Appetite

The Group has established a risk appetite framework, which defines the amount and the type of risk acceptable to the Bank while pursuing its strategic/business objectives. The Bank's current risk appetite framework primarily reflects its capacity to take risk, defined in terms of Risk Appetite Parameters (RAPs) which are circumscribed by self-imposed constraints and tolerance levels around them. These constraints are limits and triggers to avoid adverse outcomes which would be out of line with internal and external expectations, and may lead to unexpected losses of a scale that would be detrimental to the stability of the relevant business units or of the Group as a whole.

The Group's risk appetite statement is governed by seven broad metrics:
- Credit rating
- Capital adequacy
- Risk adjusted return and earnings volatility
- Credit risk, which includes asset quality and provision coverage
- Liquidity risk
- Market risk
- Operational risk

These metrics are converted to measurable risk assessment parameters and tolerance levels at Group level as well as business unit level. The Group level statement outlines the key risk parameters, their current levels and medium term targets. At business unit level, along with risk parameters, the risk appetite provides specific guidance in terms of 'what is encouraged' and 'what is discouraged' as well as overarching key risk messages.

CREDIT RISK

Credit risk is the risk that a customer or counterparty to a financial asset fails to meet its contractual obligations and causes the Group to incur a financial loss. It arises principally from the Group's loans and advances, due from banks and financial institutions including reverse repo, off balance sheet contingent liabilities and non-trading debt investments and certain other assets.

Management of Credit Risk

The Group's Credit Risk Management framework includes policies & procedures to monitor and manage these risks. The Group Risk Management function ensures centralized oversight for credit risk management including:
- Establishment of authorization structure and limits for the approval and renewal of credit facilities;
- Reviewing and assessing credit exposures in accordance with authorization structure and limits, prior to facilities being committed to customers. Review and renewal of facilities are subject to the same process;
- Diversification of lending and investment activities;
- Limiting concentrations of exposure to industry sectors, geographic locations and counterparties; and
- Reviewing compliance, on an ongoing basis, with agreed exposure limits relating to counterparties, industries and countries and reviewing limits in accordance with risk management strategy and market trends.

The Group uses an internal risk rating system to assess the credit quality of borrowers and counterparties. Each counterparty is assigned a rating, including classified accounts that are either Watch list or non-performing. The risk rating system has 11 grades, further segregated into 24 notches. Grades 1-7 are performing, Grade 8 is Watch-list and Grades 9 - 11 are non–performing, each with a rating description.

- For Corporate, SMEs, and High Net-Worth Individuals these are mapped to an Internal Rating Based (IRB) expert system.
- Each grade in the rating system is linked to a Probability of Default (PD).

The internal risk rating system plays a significant role in efficient use of credit risk measurement and management including:
- Risk based pricing and determination of risk adjusted return on capital;
- Risk based monitoring (Frequency and intensity of monitoring);
- Determining risk based delegation of powers at various sanction authority levels;
- Estimation of collective provisioning; and
- Internal estimation of capital as per Basel II F-IRB.

The rating system is subjected to a regular validation process. During 2011, the rating models were validated by an external third party and a roadmap created for building new models for specific portfolio segments and to perform validation and enhancement, as required, of existing models. New models for specific portfolios of the Group were introduced in 2012 and 2013, while selected existing models were enhanced; key credit models will be validated in 2014 based on historical information collected and enhancements made as required.

The Group currently uses rating models based on statistical analysis but supplements them with expert judgment. As data availability (both qualitative and quantitative) improves, the rating system would tend more towards statistical models, but would retain expert judgment to ensure that models are suitable for Bank's portfolio and in line with the Bank's policies and culture.

Retail lending business is governed by product programs vetted by the Risk Group and employs credit scoring technique to process small scale, large volume credit decisions. The scores are combined with management judgment to ensure effective ongoing process of approval, review and enhancement. The majority of the retail credit origination process has been automated which significantly reduces operational risk arising out of the credit approval and monitoring process.

The Group is currently implementing retail scorecards for program lending products. The scorecards would be used to automate credit underwriting based on pre-approved criteria which are expected to result in significant reduction in loss rates and increase in turnaround time.

Sovereign and bank exposures are governed by the ratings from external credit rating agencies.

The Group has implemented Global Limits & Collateral Management System (GLCMS), as a limit and exposure aggregator over all transaction systems in U.A.E. Using GLCMS, counterparty and group exposure can be aggregated and reported across portfolios in U.A.E. The system enables various Credit Administration Units to monitor security document compliance and follow up on collateral valuations.

Risk Management & Basel II Pillar III Disclosures

The Group is working to enhance GLCMS with the capability to monitor limit utilization in real time which would identify exceptions before transaction authorization. The Group had initiated an online limit authorization project through GLCMS system in 2013. The project is expected to be completed in phases with first phase to be completed in 2014.

The Group completed the implementation of an enterprise data warehouse for UAE based source systems with a business intelligence layer on top. The implementation provides capability for on demand reporting as well as download of consolidated data for analysis. The Group is in the process of extending the data warehouse project to include non UAE source systems.

The Group also completed interfacing all UAE risk systems (Rating, Credit Approval and Limit Aggregator) with single customer creation capability. It is now possible to define a common unique identifier across these systems. The Group is in the process of creating a web based application so that this application can also be used by non UAE branches so that all customers have a unique identifier across the Group.

Credit Risk Monitoring

- Monitoring of risk quality (Obligor level): The Group has a process of periodic review of credit based on the internal rating grades. More frequent reviews are made for the weaker credits and less frequent reviews for the superior credits. The Group has a process of defining and reporting all the potential problem accounts. Consumer banking portfolio1 is monitored based on delinquency buckets, which are calculated based on the number of instalments due from the customer.
- Monitoring of risk quality (Portfolio Level): The Group monitors the existing portfolio based on the economic sectors, industry, geography, ratings and business lines. These portfolio reports are prepared periodically and the senior management is informed on the same.
- Monitoring of past dues on principal and interest: All the past dues on principal and interest on loans and advances portfolio of the Group are reported periodically to the senior management. Measures to realize such past dues are initiated with stringent follow up thereafter.
- Monitoring of excess over limits: Group has a policy for monitoring of all excesses over limits. The monitoring reports are submitted to the senior management and processes are initiated to realize and regularize such excesses.
- Monitoring of potential loss accounts (Watch-list): This category comprises accounts where either contractual principal or interest are past due or when the accounts show weakness in the borrower's financial position and creditworthiness, and requires more than normal attention. Such weakness is specifically monitored to ensure that the quality of the asset does not further deteriorate.
- Traded credit risk: The Group has internally designed and implemented the methodology to estimate the potential future exposure (PFE) associated with FX, interest rate and commodity OTC derivatives. The PFEs are used by the Group to set the risk limit as well as to monitor counterparty exposure on daily basis.
- Collateral management: The Group has adopted a rigorous system of controls, reviews and approvals to ensure effective collateral management. This includes minimum loan to value (LTV) requirement for each facility, specific collateral requirement for lending against shares and real estate portfolio, margin calls for treasury products and ensuring legal enforceability of contracts including perfection of security interests.

Concentration Risk

Credit concentration risk refers to the level of exposure to any individual or related group of customers, specific industry or sector, country or geographical locations. The first level of protection against concentration risk is through country and industry thresholds limits set by the Risk Management Committee and Group Risk Committee. Credit exposures to individual customers or customer groups is controlled through a risk based delegation of powers (DoP) matrix with borrower's Risk Rating and collateral forming the inputs to the DoP matrix.

Single Name Concentration:
Single name concentration is monitored on an individual basis with the top exposures being reported to the GRC on a quarterly basis. The Group abides by single obligor limits set by CBUAE requiring the banks to seek CBUAE approval for any planned exposure to a single counterparty or groups of connected counterparties exceeding the limit applicable to that counterparty.

Sector Concentration:
The Group has consciously adopted measures to diversify the exposures to various sectors. Real Estate exposure remains within the limits prescribed by CBUAE, with sufficient collateral coverage. The Group has established industry limits to ensure portfolio diversification and employs stringent lending guidelines in conjunction with close portfolio monitoring for vulnerable portfolios prone to systematic downturns.

Geographic Concentration:
Although the Group's operations are mainly concentrated within the UAE, it has presence in North America, Europe, Middle East, Africa and Asia. This exposes the Group to legal, transfer and sovereign risk. Exposures against these limits are monitored periodically to ensure compliance.

1 Consumer banking portfolio consists of facilities categorized under Programmed Lending or Discretionary Lending, which pertain to credit exposures to individuals either for personal consumption, purchase of vehicle or real estate property or availing credit card facility.

Credit Risk Policy

Credit risk policies are an integral part of the Group's risk management framework. Policies govern all activities related to credit appraisal and underwriting such as product risk review and approval, stress testing, risk limits, risk approval authorities, and model risk management. Business segments specific policies and procedures are established to manage the risks that are unique to their operations.

The Group completed the review of its Group credit policy manual in 2013. The Group Credit Policy governs the credit risk activities of the Bank and is being now realigned to the Group's new business model and strategy. Subsequent to the realignment the Group Credit Policy will be rolled out. The key policies are as below:

- Group level credit policies are the high-level or overarching policies for all the entities within the Group, domestic as well as international. These policies cover the general credit policies and requirements such as risk appetite, credit portfolio planning, risk budgeting, credit risk governance, fundamental credit principles and credit criteria, credit risk rating and pricing, credit risk mitigation and remedial management.
- Business segment credit policies articulate the policies specific to individual business segments within the Bank that originate or take on credit exposures. These policies govern the stages of credit approval life cycle, viz. origination, assessment and measurement, pricing, approval, commitment, high-level principles of credit administration and credit operations, monitoring, reporting and remedial management.
- Policies governing (a) credit products and (b) specialized lending categories: Product policies detail the product specific policies for all permissible generic credit products that may be offered by one or more business segments as well as traded credit products. Programmed lending in consumer banking which is covered by individual products programmes serve as an extension of these policies. Specialised lending categories cover areas such as syndicated credit, project financing, contractor financing, real estate financing, share financing and asset backed lending. These policies also covers the process and authority for introduction and approval of new credit products.
- Portfolio management policies articulate the policies on credit risk adjudication review, credit risk quality assurance and portfolio management including credit risk limits and stress testing.

To facilitate Bank-wide usage, the credit policies are being rolled out on a web-based platform with advanced search functionalities to enhance ease of use.

Geographic, Sectoral, Tenor classification of Gross Credit Exposures

The geographic distribution of Gross Credit Exposures (funded and non-funded) as at 31st December 2013 is as follows:

Table 5: Gross Credit Exposures by Geography as at 31st December 2013

(AED 000)

Geographic Distribution	Loans	Non-trading Investements	Total Funded	Commitments	OTC Derivatives	Other Off-Balance Sheet	Total Non-Funded	Total
United Arab Emirates	112,641,972	19,061,724	131,703,696	18,189,528	79,123,367	40,785,422	138,098,317	269,802,013
GCC excluding UAE	9,010,012	11,558,464	20,568,476	814,037	25,199,576	3,269,899	29,283,512	49,851,988
Arab League (excluding GCC)	4,845,283	3,087,665	7,932,948	635,895	1,388,101	1,932,784	3,956,780	11,889,728
Asia	12,534,784	2,481,997	15,016,781	1,113,578	8,902,721	10,471,563	20,487,862	35,504,643
Africa	114,514	-	114,514	-	-	365,204	365,204	479,718
North America	2,752,268	1,061,763	3,814,031	3,023,807	188,264,801	6,497,088	197,785,696	201,599,727
South America	2,263,082	-	2,263,082	-	-	595,885	595,885	2,858,967
Caribbean	211,065	-	211,065	55,549	202,482	1,116,216	1,374,247	1,585,312
Europe	39,435,136	12,568,051	52,003,187	804,083	476,769,552	21,367,518	498,941,153	550,944,340
Australia	-	1,026,395	1,026,395	-	3,723,851	1,650,794	5,374,645	6,401,040
Others	3,378	-	3,378	-	-	97,741	97,741	101,119
Total	183,811,494	50,846,059	234,657,553	24,636,477	783,574,451	88,150,114	896,361,042	1,131,018,595

Classification of Gross Credit Exposures (funded and non-funded) by Industry Segments as at 31st December 2013 is as follows:

Table 6: Gross Credit Exposure by Industry Segment as at 31st December 2013

(AED 000)

Industry Segment	Loans	Non-trading Investements	Total Funded	Commitments	OTC Derivatives	Other Off-Balance Sheet	Total Non-Funded	Total
Agriculture, Fishing & related activities	148,527	-	148,527	195,098	-	164,704	359,802	508,329
Crude Oil, Gas, Mining & Quarrying	12,261,078	5,104,232	17,365,310	1,856,934	166,170	2,664,832	4,687,936	22,053,246
Manufacturing	12,147,185	212,123	12,359,308	2,655,948	1,113,183	15,495,455	19,264,586	31,623,894
Electricity & Water	10,743,041	1,787,033	12,530,074	3,036,039	6,622,273	1,191,737	10,850,049	23,380,123
Construction	8,605,288	328,333	8,933,621	2,803,363	1,392,022	7,868,510	12,063,895	20,997,516
Real Estate	30,122,779	13,329	30,136,108	3,898,450	5,652,234	77,463	9,628,147	39,764,255
Trade	4,652,768	-	4,652,768	891,004	5,392,764	4,015,545	10,299,313	14,952,081
Transport, Storage & Communication	8,881,845	749,258	9,631,103	2,508,926	3,719,122	2,325,724	8,553,772	18,184,875
Financial Institutions	41,694,457	24,772,322	66,466,779	1,205,873	751,111,817	28,889,162	781,206,852	847,673,631
Services	5,501,653	674,506	6,176,159	387,855	6,959,335	2,145,099	9,492,289	15,668,448
Government	22,878,773	17,204,923	40,083,696	4,311,461	284,522	22,047,104	26,643,087	66,726,783
Loans to Individuals for Business & Consumption Purpose	26,151,332	-	26,151,332	372,505	1,129,483	409,536	1,911,524	28,062,856
All Others	22,768	-	22,768	513,021	31,526	855,243	1,399,790	1,422,558
Total	183,811,494	50,846,059	234,657,553	24,636,477	783,574,451	88,150,114	896,361,042	1,131,018,595

Gross Credit Exposure (funded and non-funded) breakup by currency as at 31st December 2013 is as follows:

Table 7: Gross Credit Exposures by Type as at 31st December 2013

(AED 000)

Currency	Loans	Non-trading Investements	Total Funded	Commitments	OTC Derivatives	Other Off-Balance Sheet	Total Non-Funded	Total
Foreign Currency	107,123,410	50,805,681	157,929,091	11,228,387	691,040,428	79,668,172	781,936,987	939,866,078
AED	76,688,084	40,378	76,728,462	13,408,090	92,534,023	8,481,942	114,424,055	191,152,517
Total	183,811,494	50,846,059	234,657,553	24,636,477	783,574,451	88,150,114	896,361,042	1,131,018,595

Tenor classification by Contractual Maturity of the Gross Credit Exposures (funded and non-funded) as at 31st December 2013 is as follows:

Table 8: Gross Credit Exposures by Residual Contractual Maturity as at 31st December 2013

(AED 000)

Residual Contractual Maturity	Loans	Non-trading Investements	Total Funded	Commitments	OTC Derivatives	Other Off-Balance Sheet	Total Non-Funded	Total
Less than 3 months	48,870,198	4,602,465	53,472,663	3,240,431	194,446,536	30,522,185	228,209,152	281,681,815
3 months to one year	25,831,591	11,166,081	36,997,672	3,655,904	241,271,689	14,611,724	259,539,317	296,536,989
One to five years	50,676,713	9,000,860	59,677,573	6,275,858	239,300,224	22,218,242	267,794,324	327,471,897
Over five years	58,432,992	26,076,653	84,509,645	11,464,284	108,556,002	20,797,963	140,818,249	225,327,894
Total	183,811,494	50,846,059	234,657,553	24,636,477	783,574,451	88,150,114	896,361,042	1,131,018,595

Classification and Provisioning Policy

Past Due but not Impaired Accounts:
Past due but not impaired are accounts where either contractual principal or interest are past due or when the accounts show weakness in the borrower's financial position and creditworthiness, and requires more than normal attention. Such weakness is specifically monitored to ensure that the quality of the asset does not further deteriorate. On this class of asset the Group believes that specific impairment is not appropriate at the current condition, but interest is suspended in certain cases.

Loans with renegotiated terms:
Loans with renegotiated terms are loans that have been restructured due to deterioration in the borrower's financial position and where the Group has made material concessions that it would not otherwise consider. Once a loan is restructured, it remains in this category for a minimum period of twelve months, in order to establish satisfactory track record of performance under the restructuring agreement. The Bank determines the twelve-month period to commence from the date of signing of the agreement for restructuring. On this class of asset the Group believes that specific impairment is not appropriate at the current condition, but interest is suspended in certain cases.

Individually Impaired accounts:
The classification policy currently implemented by the Group classifies delinquent borrowers as Substandard, Doubtful or Loss in line with the guidelines laid down in CBUAE circular 28/2010. To ensure strict compliance, the Group had implemented an automated solution that classifies delinquent accounts with exposure below a set threshold. The classification into Substandard, Doubtful or Loss is carried out daily for these accounts based on delinquency ('days past due'). For accounts with exposure greater than the threshold value, classification as Substandard, Doubtful or Loss is based on a thorough assessment of the account by means of a detailed credit risk assessment.

Subsequently, the Group provides for the classified accounts based on CBUAE guidelines, as below:

Classification	Grade	Criteria		Provision
		Corporate loans	Retail loans	
Normal	1 through 7	normal banking risk for repayment as agreed		Collective provisioning
Watch-list	8	some weakness in financial condition		Collective provisioning
Sub-standard loans	9	Arrears greater than 90 days and shows some loss due to adverse factors that hinder repayment	Arrears greater than 90 days	Specific provision - 25% of the exposure amount net of discounted value of collateral held
Doubtful loans	10	Based on available information, full recovery seems doubtful, leading to a loss on portion of these loans	Arrears greater than 120 days	Specific provision - 50% of the exposure amount net of discounted value of collateral held
Loss loans	11	Probability of no recovery after all available courses of action are exhausted	Arrears greater than 180 days	Specific provision - 100% of the exposure amount net of discounted value of collateral held

Accounts automatically classified by the system are provided for on a monthly basis as above. For accounts with exposure greater than the threshold amount, provisioning policy is applied manually and centrally monitored to ensure strict compliance to CBUAE regulations. In the case of international units, the Group assesses both home and host regulations and applies the stricter one.

Write-off Policy:
The Group currently has a policy to write-off historical accounts based on the time elapsed since the account was fully provided for as per the provisioning and classification policy of the Group taking into account the possibility of recovery through legal measures. Exposures are written off using one or more of the criteria defined in the Group Credit Policy Manual. However, write-off may be deferred in specific cases based on the discretion of the Management. Write-off of interest and/or principal requires approval from authorities, as defined in the credit policy of the Group, depending on the amount including any exposure previously provided for.

Collective Provisioning:
The Group maintains collective provisions in line with CBUAE guidelines which mandate all Banks to achieve a minimum collective provision level of 1.5% of net Credit Risk Weighted Assets (CRWA) by 2014. Net CRWA is defined as the CRWA for all performing credits (including past due but not impaired) as calculated using the Basel II Standardized approach. The Group holds collective provisions of AED 2.975 billion as at 31st December 2013, which is 1.66% of net CRWA.

Geographic and sectoral distribution of overdue loans and Provisions thereon as at 31st December 2013 is in tables below:

Table 9: Geographic Distribution of Overdue Loans and Provisions as at 31st December 2013 (AED 000)

Geographic Distribution	Overdue			Provisions		
	Past Due but not impaired	Induvidually impaired	Total	Int. in Suspense	Specific	General
United Arab Emirates	2,046,030	6,031,107	8,077,137	793,283	2,981,927	1,902,410
GCC excluding UAE	54,575	478,002	532,577	83,825	225,808	346,203
Arab League (excluding GCC)	184,373	352,470	536,843	22,394	125,138	281,780
Asia	-	-	-	-	-	84,967
Africa	-	-	-	-	-	-
North America	-	427	427	32	104	106,005
South America	-	-	-	-	-	-
Caribbean	-	-	-	-	-	-
Europe	2,030	51,936	53,966	1,359	19,105	237,114
Australia	-	-	-	-	-	16,464
Others	-	-	-	-	-	-
Total	2,287,008	6,913,942	9,200,950	900,893	3,352,082	2,974,943

Table 10: Sectoral Distribution of Overdue Loans and Provisions as at 31st December 2013 (AED 000)

Industry Segment	Overdue			Provisions		
	Past Due but not impaired	Individually impaired	Total	Int. in Suspense	Specific	General
Agriculture, Fishing & related activities	3	131	134	33	117	956
Crude Oil, Gas, Mining & Quarrying	52,468	31,880	84,348	1,852	30,904	35,386
Manufacturing	269,039	209,685	478,724	27,795	98,031	198,617
Electricity & Water	16,407	-	16,407	-	-	80,499
Construction	1,040,325	180,443	1,220,768	21,318	101,793	216,160
Real Estate	56,862	2,871,869	2,928,731	325,759	1,287,760	796,360
Trade	4,870	260,444	265,314	18,138	124,801	110,399
Transport, Storage & Communication	-	305,783	305,783	41,731	183,115	65,294
Financial Institutions	15,982	263,328	279,310	6,635	134,462	572,421
Services	249,018	199,186	448,204	29,481	113,750	183,880
Government	31,238	19,048	50,286	84	9,489	3,555
Loans to Individuals for Business & Consumption Purpose	550,769	2,572,104	3,122,873	428,050	1,267,838	710,172
All Others	27	41	68	17	22	1,244
Total	2,287,008	6,913,942	9,200,950	900,893	3,352,082	2,974,943

Movement in the provision for loans for the period January-December 2013 is shown below:

Table 11: Reconciliation of Changes in Provision for Loans for the Period Jan-Dec 2013

	Description	Amount (AED 000)
	Opening Balance of Provisions for Loans	**5,517,723**
Add:	Charge for the year	
	• Specific provisions	1,289,775
	• General provisions	547,305
Add:	Write off of impaired loans to income statement	-
Less:	Recovery of loan loss provisions	(320,847)
Less:	Recovery of loans previously written-off	-
Less:	Write back of provisions for loans	(349,366)
Less:	Adjustments of loan loss provisions	(357,564)
	Closing Balance of Provisions for Loans	**6,327,026**

Adoption of F-IRB Approach

The Group has voluntarily decided to prepare for migration to the F-IRB approach for credit risk. As part of the preparations, the Group has completed independent third party validation of its rating systems and presented the results to CBUAE. As part of the preparations for migration to F-IRB, the Group had established a roadmap in 2011 to achieve best-in-class practices by improving its rating models and associated systems. Key steps in the roadmap are:

- Improvement in rating models: In addition to the existing models, portfolio segments were identified for which specific models have been built. Further, validation exercises are conducted for rating models periodically and incremental refinements made to optimize model performance whenever necessary.
- Increase in IRB coverage: The fraction of the portfolio covered by IRB models is being increased (which is already in excess of the minimum required by CBUAE) by ensuring all borrowers covered by existing models are rated and models developed for specific uncovered portfolio segments. The Group has rolled out a number of new rating models which cover specific portfolio segments.
- Capital computation: The automation of the capital calculation process would be initiated after completion of ongoing projects to streamline the data integrity, storage, controls and reporting capabilities of the Group's IT infrastructure.

The Group continues to make parallel Basel-II submissions to CBUAE under the F-IRB framework on quarterly basis based on the internal ratings. The distribution of performing loans and advances as at December 2013 is as below.

Table 12: Rating Distribution of Performing Loan Portfolio as at 31st December 2013

Rating grade	% of total performing loans and advances
1 – 4	64.2%
5 – 6	12.8%
7	14.3%
8	1.2%
Retail programme lending	7.5%

The Group has linked the monitoring frequency to its risk rating. Obligors with lower risk profile are monitored at lower frequency unless otherwise required. More frequent reviews for lower rated borrowers ensure focused monitoring and early identification of potential impairments. The monitoring frequency is as below:

Risk Rating	Frequency
Risk Rating between 1+ to 4	12 months or lower
Risk Rating between 4- to 6	6 months or lower
Risk Rating between 6- to 8	3 months or lower
Classified Accounts	To be monitored by Remedial Advances

Use of ratings by External Credit Assessment Institutions (ECAIs):

For banks and sovereign exposures, the risk ratings given by leading External Credit Assessment Institutions – Moody's, Standard and Poor's and Fitch are considered. For PSEs and corporate exposures, issuer ratings are used, if available. Wherever multiple ratings are available, mapping provided in the guidelines by the supervisor is used for arriving at the required risk weighting under Standardized Approach.

Basel II Reporting of Credit Risk Exposures

Credit risk exposures reported under Basel II differ in a number of respects from those reported in the consolidated financial statements.

- As per CBUAE Basel II framework, off balance sheet exposures are converted, by applying a credit conversion factor (CCF), into direct credit exposure equivalents.
- Under the Basel II capital adequacy framework, eligible collateral is applied to reduce exposure.

Credit Risk Mitigation (CRM) & Collateral Valuation

While extending credit facilities, the Group primarily relies on the borrower's ability to pay. Security is the means by which, in the last resort, the Group should be able to obtain the repayment of outstanding amount owing to it by a customer. It may take many forms, but any item of security should possess the following attributes:

- It should be of a determinable value;
- It should have a stable value;
- It should be of a value in excess of the amount it is intended to be securing so as to provide a margin of safety;
- It should be readily realizable, i.e. an asset such as a property, should be capable of being readily sold;
- It should be enforceable, preferably without needing recourse to the Courts or the involvement of other legal processes; and
- It should have an effective maturity (or validity) equal to or longer than that of the credit facility.

Security with such attributes could be described as being of good quality. Acceptable forms of collateral are defined within the Group risk framework and conservative valuation parameters applied and frequently reviewed to reflect any changes in market conditions. Security structures and legal covenants are also subject to regular review.

Broad types of collateral taken by the Bank are cash, land and buildings (real estate), mortgages, debentures, stocks and shares, merchandise, goods etc.

Gross Credit Risk Exposures subject to Credit Risk Mitigation (CRM)

Under the Standardised Approach of Basel II, banks may choose between two options when calculating credit risk mitigation capital relief. These are the Simple Approach which substitutes the risk weight of the collateral from that of the exposure and the Comprehensive Approach where the exposure is adjusted by the actual value ascribed to the collateral, the latter being more robust as a methodology.

The Group uses the comprehensive method, where eligible collateral is in form of financial securities (e.g. cash, high quality debt securities, equities in main index). In addition, on-balance sheet netting, guarantees by specific protection providers and credit derivatives are also allowed as Credit Risk Mitigants (CRM). The Group follows the Basel II guidelines specifying minimum operating and documentation criteria that need to be satisfied for eligibility as Basel II collateral.

Risk Management & Basel II Pillar III Disclosures

Following table below provides on and off-Balance Sheet exposures for the Group along with the effect of Credit Risk Mitigation in each Basel II asset class.

Table 13: Loan Portfolio as per Standardised Approach as at 31st December 2013 (AED 000)

Asset class	On balance sheet	Off balance sheet	Credit risk mitigation (CRM)			Risk weighted assets
	Gross outstanding	Net exposure after credit conversion factors (CCF)	Exposure before CRM	CRM	After CRM	
Claims on sovereigns	73,649,782	8,000,557	81,650,339	-	81,650,339	5,151,245
Claims on non-central government public sector entities (PSEs)	56,949,555	7,483,390	64,432,945	2,536,718	61,896,227	32,719,084
Claims on multi-lateral development banks	457,769	-	457,769	-	457,769	89,605
Claims on banks	82,432,845	19,717,901	102,150,746	13,984,876	88,165,870	40,944,492
Claims on securities firms	6,320,830	833,814	7,154,644	4,243,007	2,911,637	1,954,677
Claims on corporates	35,412,180	19,683,468	55,057,215	7,124,870	47,932,345	45,241,398
Claims included in the regulatory retail portfolio	19,219,136	-	19,188,631	3,196,243	15,992,388	13,155,148
Claims secured by residential property	2,668,645	-	2,668,645	1,107	2,667,538	2,237,072
Claims secured by commercial real estate	31,152,659	-	31,152,659	1,818,547	29,334,112	29,334,113
Past due loans	6,913,942	-	2,772,219	344,062	2,428,157	2,790,347
Higher-risk categories	-	-	-	-	-	-
Other assets	10,856,206	-	10,856,206	-	10,856,206	6,736,331
Claims on securitized assets	5,519,125	-	5,519,126	-	5,519,126	1,342,884
Credit Derivatives (Banks selling protection)	-	-	-	-	-	-
Total Claims	**331,552,674**	**55,719,130**	**383,061,144**	**33,249,430**	**349,811,714**	**181,696,396**

The following table shows the rated and unrated exposures in each Basel II asset class for the Group:

Table 14: Loan Portfolio as per Standardised Approach as at 31st December 2013 (AED 000)

Asset Class	Rated	Unrated	Total
Claims on Sovereigns	81,232,724	417,615	81,650,339
Claims on Public Sector Entities	19,601,685	44,831,260	64,432,945
Claims on Multilateral development banks	9,746	448,023	457,769
Claims on securities firms	100,073,834	2,076,912	102,150,746
Claims on Banks	6,722,200	432,444	7,154,644
Claims on Corporate	12,009,355	43,047,860	55,057,215
Regulatory & other retail exposure	-	19,188,631	19,188,631
Residential retail exposure	-	2,668,645	2,668,645
Commercial Real Estate	-	31,152,659	31,152,659
Non-Performing Loans	-	2,772,219	2,772,219
Other assets	-	10,856,206	10,856,206
Claims on Securitized Assets	5,505,268	13,858	5,519,126
Credit Derivatives (Banks selling protection)	-	-	-
Total	**225,154,812**	**157,906,332**	**383,061,144**

Externally rated by a rating agency (e.g. S&P, Moody's or Fitch)

The following table shows the effect by Basel II CRM type on Exposures:

Table 15: Credit Risk Mitigation: Disclosures for Standardised Approach as at 31st December 2013 (AED 000)

	Description	Exposures	Risk Weighted Assets
	Gross Exposure prior to Credit Risk Mitigation	**383,061,144**	**203,573,690**
Less:	Exposure covered by on-balance sheet netting	2,757,888	1,979,862
Less:	Exposures covered by Eligible Financial Collateral	23,644,393	14,045,149
Less:	Exposures covered by Guarantees	6,847,149	5,852,283
Less:	Exposures covered by Credit Derivatives	-	-
	Net Exposures after Credit Risk Mitigation	**349,811,714**	**181,696,396**

MARKET RISK

Market risk for the Group is the risk that the Group's income and/or value of its financial instruments will fluctuate adversely because of changes in market factors such as interest rates, foreign exchange rates, and equity, commodity and option prices.

The Group segregates market risk into two sources: trading and non-trading portfolios. Trading portfolios are mainly held by the Wholesale – Global Markets Division, while the non-traded market risk resides primarily in the investment portfolios, interest rate gaps in the Banking Book and the Group overall FX positions. The Group market risk management objectives are to:

- Measure and control market risk by robust analytical framework, limit setting, reporting and oversight; and
- Facilitate business growth within a controlled and transparent risk management framework.

Exposure to Market Risk – Trading Portfolios

Market risk for the Group's trading portfolio arises primarily from client facilitation in wholesale markets. The principal analytical tool used to measure and control market risk exposure within the Group's trading portfolios is Value at Risk ("VaR"). The VaR of a trading portfolio is the estimated loss that will arise on the portfolio over a specified period of time (holding period) from an adverse market movement with a specified probability (confidence level). The VaR model uses historical simulation based on a 99% confidence level and assumes a 1-day holding period. Using market data from the previous two years, and observed relationships between different markets and prices, the model generates a wide range of plausible future scenarios for market price movements.

The Group uses VaR limits for foreign exchange, interest rate and credit spread. The overall structure of VaR limits is subject to review and approval by the GRC. VaR limits are allocated to trading portfolios.

Although VaR is an important tool, it is further supplemented with other position and sensitivity limit structures, including limits to address potential concentration risks within each trading portfolio. Moreover the trading activity at Group and desk level is subject to Management Action Triggers ("MAT") that are limits on maximum losses that trigger actions from management.

Equity and Commodities risks are not currently captured in the VaR model; however the risk contribution is not considered material. Nonetheless, these are subject to regular monitoring by the Risk Group.

Exposure to Market Risk – Non Trading Portfolios

Exposure to market risk in the non-trading portfolio arises primarily from the investment portfolios, interest rate gaps in the Banking Book, and the Group's overall FX positions.

- Investment Risk: The principal analytical tool used to measure and control the investment risk exposure within the Group is Value at Risk ("VaR"). The VaR model is the same as the one used for the trading portfolios. The Group uses VaR limits for controlling the overall investment risk, including foreign exchange, interest rate and credit spread. The overall structure of VaR limits is subject to review and approval by the GRC. VaR limits are allocated to different Investment portfolios.
- Interest rate risk: The Group Banking Book operations generate non traded market risk primarily through interest rate risk arising from the sensitivity of the value of financial instruments and the net interest margin to changes in interest rates. The Group manages this risk principally through monitoring interest rate gaps and by matching the re-pricing profile of assets and liabilities.
- Foreign exchange risk: Foreign exchange risk is the risk that the value of a financial instrument will fluctuate due to changes in foreign exchange rates and arises from financial instruments denominated in a foreign currency. The Group's functional currency is the UAE Dirham. The Board of Directors has set limits on positions by currency. Positions are closely monitored and hedging strategies are used to ensure positions are maintained within established limits.

Risk Management & Basel II Pillar III Disclosures

Market Risk Appetite

The RMC reviews and approves the market risk appetite recommended by the GRC. GRC, under delegated authority from RMC, sets limit framework within the context of the approved market risk appetite. The limits are segregated between the trading book and non-trading book positions as follows:

- VaR, sensitivity and Management Action Triggers (MAT) limits have been set at both aggregate and portfolio level
- Net Interest Income and gap analysis is used for management of Interest Rate Risk in the Banking Book
- Foreign Exchange risk in the trading book is controlled by VaR and position limits, defined separately for pegged and floating currencies
- Equity and options price risks are controlled by MAT and sensitivity limits defined around trading positions
- Commodity risk, limited to exchange traded products, is managed via limits on term, option sensitivities, gross and net open positions

The risk positions against the limits and all major limit breaches are regularly reported to Senior Management and GRC.

Organization and Structure

The "Group Market Risk Policy Framework" approved by GRC provides specific guidelines on the governance, market risk appetite, limit structure and roles and responsibilities of units responsible for management of market risk. It specifies the way market risk is identified, measured, monitored, controlled and reported. As a policy the Group takes exposure to only those financial instruments/products for which the Group has appetite and which are approved by GRC. For any new product, approval has to be obtained via the New Product Approval process which ensures necessary infrastructure is there to support the business.

Market Risk within the Group is managed by Risk Group, which delegates roles and responsibilities to Group Independent Risk Management, embedded risk unit within Global Markets Division and Group Treasury, and the Middle Office.

a. Group Market Risk

Group Market Risk ("GMR") is independent of risk taking units and reports to the GCRO. GMR oversees aggregated Market Risks from Group Treasury, Global Markets Division and overseas units. The primary responsibilities of the unit include:

- Define market risk policy for the Group and set key limits and sensitivities
- Develop quantitative methodologies and analytical tools such as VaR, stress tests, scenario analyses ,etc., to measure market risk
- Perform model validation and manage market data
- Implement new systems related to market risk

b. Market Risk Oversight

Market Risk Oversight oversees market risk within Group Treasury, Global Markets Division and overseas units. The primary responsibilities of the unit include:

- Identify, assess, measure and monitor market risks by conducting regular and 'ad hoc' risk analyses
- Oversee the day-to-day effectiveness of the Bank's market risk management and internal controls
- Ensure market risk exposures are within approved risk limits and escalate breaches as appropriate

c. Middle Office

The Middle Office (MO) of the Group has two functions:

- Product control function is responsible for book keeping of trades in the Global Market and Group Treasury (GT) portfolios. The product control function is responsible for performing daily valuations, performance attribution (P&L and fees), IFRS calculations and adjustments, reconciliation between trading system and general ledger, hedging strategies and effectiveness.
- Risk control function is responsible for trade/position monitoring, risk limit monitoring, escalation of limit breaches, risk reporting, collateral valuation, margin call validation and market data maintenance & validation.

Middle Office supports the Market Risk function by monitoring market data, trades, limits and escalating breaches. Middle Office utilises Comprehensive Trading and Market Risk (CTMR) to generate Market Risk reports on the Global Markets and Group Treasury portfolios on a daily basis.

Management of Market Risk

Market Risk at the Group is overseen as per the "Group Market Risk Policy Framework" approved by the GRC as per the defined risk appetite. The framework provides specific guidelines on roles and responsibilities of Market Risk, its Governance Structure, Market Risk appetite statement and the limit structure. It specifies the way market risk is identified, measured, monitored, controlled and reported. The limits are segregated between the trading book and non-trading book positions.

Market Risk in the Trading Book

The Market Risk in the trading book is managed by monitoring and managing the following limits:

- Value at Risk (VaR)
- Level measures
- Net Present Value Basis Point (PVBP)
- Credit Spread Sensitivity (CS01)
- FX Net Open Position (NoP)
- MAT (Management Action Triggers)

Market Risk in the Banking Book

The Market Risk in the banking book is driven primarily by:

- Investment risk: This is the risk generated by the Bank's investment in Securities both for revenue generation and for maintaining a "liquidity cushion" of High Quality liquid Assets (HQLA). The principal analytical tool used to measure and control the investment risk exposure within the Group is Value at Risk ("VaR"). The Group uses VaR limits for controlling the overall investment risk, including foreign exchange, interest rate and credit spread. The overall structure of VaR limits is subject to review and approval by the GRC. VaR limits are allocated to different Investment portfolios.
- Foreign exchange risk: The Group's functional currency is the UAE Dirham. The Board of Directors has set limits on positions (NoP) by currency. Positions are closely monitored and hedging strategies are used to ensure positions are maintained within established limits.

The above risk limits are approved by the RMC and are closely monitored by Group Risk. The risk positions against the limits and all major limit breaches are regularly reported to Senior Management and the GRC.

Management of Interest Rate Risk in the Banking Book

A dedicated Group Treasury function was established in 2012. Group Treasury responsibilities include management of the Group's liquidity and capital, debt issuance platform, internal funds transfer pricing mechanism as well as Asset and Liability Management (ALM) / Interest Rate Risk in Banking Book (IRRBB).

The Group's Board of Directors has delegated the responsibility for oversight and management of the Group's Interest rate risk in the banking book to RMC (Board level committee). The authority to set specific limits, guidelines and controlling interest rate risk is delegated by RMC to G-ALCO (Management level committee). G-ALCO has delegated the day-to-day management of interest rate risk in the banking book to the Group Treasurer who is authorized to operate within the parameters and limits as defined by G-ALCO.

By the nature of its business, the Group is exposed to interest rate risk. Interest rate risk arises from interest bearing financial instruments and reflects the possibility that changes in interest rates will adversely affect the value of the financial instruments and the related income. The Group is exposed to this risk both in its Trading book and Banking book. Interest rate risk exposure is measured and managed in the trading book via the VaR model, while the non-Treasury related Banking book positions are monitored through Interest Rate Sensitivity report which captures the contractual re-pricing of various assets and liabilities. MO publishes reports that incorporate all the rate sensitive and non-sensitive assets and liabilities of the Group. The GT, under delegated authority for G-ALCO, conducts assessment of the interest rate risk exposure to evaluate the impact of yield curve shifts on its NII.

The Group manages this risk principally through monitoring interest rate gaps on a consolidated basis across various maturities and by managing the re-pricing profile of rate sensitive assets and liabilities based on expected interest rate view. Overall interest rate risk positions are managed by creating floating rate assets against floating rate liabilities and fixed rate assets against fixed rate liabilities. The Group uses derivative instruments to manage interest rate risk arising from the Group's financial instruments which are rate sensitive in nature.

On the Banking book the short-term impact of interest rate risk is measured in terms of Net Interest Income (NII) impact. A substantial portion of the Group's assets and liabilities are re-priced within one year. Accordingly there is a limited exposure to interest rate risk. The Group Market risk team conducts assessment of the interest rate risk exposure by measuring the impact of reasonable possible change in interest rate movements. Note 4 (c) of the Financial Statements computes the impact on Equity and Net Profit owing to a "reasonable" change in interest rates as per IFRS.

Table 16: Interest Rate Risk in the Banking Book as at 31st December 2013

(AED 000)

Shift in Yield Curves	Net Interest Income	Regulatory Capital
±200 basis point	±736,499	±736,499

Management of Liquidity Risk and Funding Profile

Liquidity risk arises from cash flows generated by assets and liabilities, including derivatives and other off-balance sheet commitments, not being matched in currency, size, and term, thereby creating financing needs which potentially cannot be met without incurring substantially higher costs or at any cost at all. Liquidity risk is therefore defined as the risk that the Group is unable to meet its financial obligations as and when they fall due or that it can only do so at an excessive cost.

The primary objective of liquidity management at the Group level is to ensure that the Group always has adequate liquidity to meet all obligations as and when they fall due and to comply with UAE regulatory requirements on liquidity risk. It is also a primary objective to ensure that the Groups liquidity management is in accordance with best International practice and has a forward looking approach in terms of upcoming regulatory reforms, e.g. Basel III on LCR and NSFR.

The Group's Board of Directors has delegated the responsibility for oversight and management of the Group's liquidity risk to RMC (Board level committee). The authority to set specific limits, guidelines and controlling liquidity is delegated by RMC to G-ALCO (Management level committee). G-ALCO has delegated the day-to-day liquidity management responsibility to the Group Treasurer who is authorized to operate within the parameters and limits as defined by G-ALCO. In establishing these parameters and monitoring liquidity, G-ALCO is provided with various reports, scenarios and recommendations from the Group Treasurer which incorporates a reflection of the international and domestic market conditions plus the macro-economic and political environment in which the Group operates. Based upon this input, G-ALCO determines the internal liquidity parameters and strategic liquidity objectives for the Group.

The management of liquidity at the Group level is in accordance with CBUAE requirements and the G-ALCO approved Group Liquidity Management Policy (GLMP). The objective of the GLMP is to provide guidance in measuring, monitoring, managing and reporting liquidity risk.

On a day-to-day basis, the Group manages liquidity in a decentralised manner by assigning to the domestic and international Treasury units certain liquidity limits so that they have the responsibility for their own liquidity management, including full compliance with any local regulatory guidelines where they are domiciled. Day to day liquidity needs/excesses from the branches and subsidiaries are met through loans/deposits with Head Office with any structural longer term requirements also being provided as and when needed.

Group Treasury also compiles a Funding Gap analysis on an ongoing basis which looks to identify potential Funding Gap issues at a very early stage thus allowing the Group to be pre-emptive in closing these potential issues. As part of this analysis an extreme stress event is considered whereby the Group would not have access to wholesale funding for a period of 12 months.

Group Treasury also looks to diversify the funding base with an appropriate liability maturity profile. Group Treasury has a well-documented Global Debt platform which gives the Group access to many different debt markets as and when required. The Group also maintains a strong level of high quality unencumbered liquid assets to meet both internal and future external regulatory requirements such as Basel III LCR.

The liquidity management process includes but is not restricted to the following:

- Preparing the maturity gap reports on residual maturity basis for the local currency equivalent exposure. This provides a view on the funding structure as it evolves with the balance-sheet growth. The Group has liquidity gap limits in place through which it monitors its actual liquidity position.
- Maintaining a targeted liquidity level by monitoring the Liquidity ratios which have been defined internally both from the regulatory and prudential perspective.
- While constantly striving for the diversification of the funding sources, monitor the concentration risk for the counterparties/depositors.
- In order to have the ability to provide funds at all times and to honour cash outflow obligations the Banks conducts the stress tests and scenario analysis.
- Maintaining a contingency funding plan to enable normal functioning in a stressed liquidity situation.

To manage the Groups liquidity in a contingent crisis situation the Group has in place a Contingency Funding Plan (CFP) approved by G-ALCO. The CFP operates under the supervision of the Liquidity Contingency Management Committee (LCMC) which monitors decisions support indicators emanating from the CFP to take necessary corrective actions.

The Group measures its liquidity in terms of regulatory and prudential requirements. This is both for the domestic and overseas operations of the Group. As per the regulatory requirement, the G-ALCO monitors:

- Loans to Stable Resources Ratio
- Liquid Assets Ratio
- Liquidity Coverage Ratio
- Net Stable Funding Ratio

Prudential requirement includes monitoring:

- Structural Liquidity Gap
- Depositor concentration

In total the Group has defined 10 Liquidity metrics at the Group level which need to be consistently adhered to, which include UAE CB Regulatory requirements as well as Basel III liquidity ratios. The Group monitors the liquidity risk limits of its overseas units as well. The structural liquidity gap limits are closely monitored for time buckets up to 1 month. In case of a breach of limits, Group Treasury will recommend to G-ALCO a corrective measure of action.

The Group's overseas units report their liquidity position to the regional ALCO which reports to G-ALCO. The reports and ratios as mentioned above are monitored by the G-ALCO. The maturity analysis statement of the assets and liabilities of the Group as at 31 December 2013 is shown in note 4(b) of the consolidated Financial Statements.

Management of Equity Price Risk

Equity price risk arises from the changes in fair values of equity investments. The Group manages this risk through diversification of investments in terms of geographical distribution and industry concentration.

As at 31 December 2013, the Bank's total equity investment portfolio in the banking book amounted to AED 171 million, 92% of which represents quoted investments. For details of the accounting policies and valuation methodology, please refer to Note 6 (a) to the consolidated Financial Statements.

Equity Position in the Banking Book as at 31st December 2013

Risk Management & Basel II Pillar III Disclosures

Table 17: Quantitative Details of Equity Position as at 31st December 2013 (AED 000)

Type	Current Year			Previous Year		
	Publicly Traded	Privately Held	Total	Publicly Traded	Privately Held	Total
Equities	146,918	13,593	**160,511**	105,702	14,908	**126,610**
Collective investment schemes	10,505	330	**10,835**	5,030	748	**5,778**
Any other investment	-	-	**-**	-	-	**-**
Total	**157,423**	**13,923**	**171,346**	**110,732**	**15,656**	**126,388**

Table 18: Realised, Unrealised and Latent Revaluation Gains (Losses) for the year ended 31st December 2013

Type	Amount (AED 000)
Gains (Losses)	-
*Realised gains (losses) from sales and liquidations	(2,296)
**Unrealised gains (losses) recognized in the balance sheet but not through profit and loss account	89,716
Latent revaluation gains (losses) for investment recorded at cost but not recognised in balance sheet or profit and loss account	-
Total	**87,420**

Table 19: Tier I and Tier II Capital Included in * and ** above are as follows

Tier Capital	Amount (AED 000)
Amount included in Tier I capital	(2,296)
Amount included in Tier II capital	40,372
Total	**38,076**

Table 20: Capital Requirements by Equity Groupings as at 31st December 2013

Grouping	Amount (AED 000)
Strategic investments	15,558
Available for sale	1,329
Held for trading	-
Total capital requirement	**16,887**

International Branches

Larger overseas entities/subsidiaries of the Group have independent risk management functions responsible for controlling and mitigating market risks. The respective risk management/reporting unit sends market risk reports to Market Risk Oversight. Market Risk Oversight reviews these reports before they are submitted to GRC for any specific issues/deliberations.

Market risk reports covering compliance on liquidity risk limits along with local ALCO minutes are distributed to Group Treasury which is responsible for escalating any concerns to the G-ALCO. Market Risk Oversight monitors lending by Group Treasury to overseas entities/subsidiaries and vice-versa on a daily basis.

Table 21: Total Capital Requirement for Market Risk under Standardised Approach as at 31st December 2013

Market Risk	Amount (AED 000)
Interest rate risk	1,217,075
Equity position risk	107,078
Foreign exchange risk	103,939
Commodity risk	4,519
Option Risk	83,899
Total Capital Requirement	**1,516,510**

CAPITAL MANAGEMENT

The Group is governed by CBUAE guidelines on regulatory capital requirements for the Group and the overseas branches and subsidiaries are directly supervised by their local regulators. The capital management process for the Group is linked to the overall business strategy to ensure that capital is adequate to the level of inherent risk in the business. The Group conducts capital planning in conjunction with the financial budgeting exercise.

The Group has a rolling five year long-term strategic plan, which is updated annually. A short-term business plan for the next year is developed, based on the long term plan, which provides the foundation for financial and risk budgeting process. Capital requirement for each business unit is assessed and then consolidated at a Group-wide level.

The Group develops both bottom up plan based on the projections from individual business units as well as a top down strategic plan envisaged by the Board and top management. The top down plan consists of a high level multi-year financial statement based on long term planning and strategic objectives to be achieved. The aggregate numbers in this plan are based on long term plans and strategic initiatives/decisions that the Group plans to undertake/implement in the future. The bottom up plan is based on the budgeting process is conducted at a business unit level, which is consolidated for each business division and finally, for the entire Group. Business units, within each division, develop forecasted balance sheet and P&L statements for the next year, by considering the following key parameters:

- the short term (one year) goals
- risk appetite & strategy
- target growth rates
- target returns

The Group's capital management policies aim to ensure that it has sufficient capital to cover the risks associated with its activities. The assessment of the various risks across the Group and their likely impact is carried out in conjunction with ICAAP undertaken annually. As part of the ICAAP process, GRMD identifies the various risks the Group is exposed to as part of its day-to-day operations. Next the Group sets in place policies and procedures, frameworks and methodologies, contingency plans and other processes to measure, manage and mitigate the impact of such risks. Finally the Group determines the risks which would be covered by capital.

The key objectives of the Group's capital management process are:

- Maintain sufficient capital to meet minimum capital requirement set by CBUAE as well as to ensure transition to Basel III in terms of capital ratios
- Maintain sufficient capital to support Group's Risk Appetite and strategic objectives as per long-term strategic plan
- Maintain adequate capital to withstand stress scenarios including increased capital requirements determined through ICAAP
- To support the Group's credit rating

The Group conducts a multi-year stress test exercise in which the Balance Sheet and Profit & Loss statements are determined for base case and stress scenarios. The risk factors are impacted by the assumptions made for the base and stress scenarios and the corresponding impact on the capital adequacy is determined. The Group uses macroeconomic stress tests in order to project capital need and capital levels under various unfavourable scenarios. The tests are perceived as an important tool in internal capital planning. The stress test result during 2013 shows that the Group has adequate capital in the event of adverse scenarios during next 3-year period.

OPERATIONAL RISK

Operational risks arise from all of the Group's operations and are faced by all business entities. This is the risk of direct or indirect loss arising from a wide variety of causes associated with the Group's processes, people, and systems and from external factors other than credit, market and liquidity risks. This includes legal and regulatory requirements and generally accepted standards of corporate behaviour but excludes strategic and reputational aspects. However, reputational risk is addressed via various ORM Tools.

Risk Management & Basel II Pillar III Disclosures

The Group's objective is to manage operational risk so as to balance the avoidance of financial losses resulting from operational risk events and any damage to the Group's reputation. The Group has strived towards a viable risk reward environment that will ensure the businesses to operate in an environment to be creative and be enabled.

The Board has oversight responsibilities for operational risk management in the Group. These responsibilities are exercised through the GRC with established framework of policies and procedures to identify, assess, monitor, control, manage and report risks. The GRC employs clear internal policies and procedures to reduce the likelihood of any operational risk related losses and to minimize the resultant impacts. This includes a unique and effective process of assessing associated risks and approving residual risks of new and / or significant change initiatives within the Group and an Internal Loss Data Collection Process. The Internal Loss Data Collected is reconciled with the General Ledger.

The framework also sets out the interrelation with other risk categories that includes but is not limited to Information Security, Anti Money Laundering and Counter Terrorist Financing etc. These functions are subject to directly oversight and supervised by a Group Legal & Compliance Division that has direct representatives in all key locations including overseas. The Group effectively addresses the regulatory requirements by regularly monitoring and ensuring compliance through the compliance function. In addition, as part of the mitigation strategy, the Group's Insurance Committee, which includes the Head of Operational Risk, is responsible for arranging appropriate insurance coverage across the Group and employs a major international insurance broker to assist them in meeting their responsibilities. The Group's information security policies and requirements are intended to conform to internationally accepted IT Governance standards. More specifically, IT security is governed by explicit security related policies based on international standards such as ISO27001 and Payment Card Industry – Data Security Standard (PCI-DSS).

The Group has in place an effective ORM Framework with a defined operational risk management cycle that comprises four major stages – risk identification, risk assessment & measurement, risk control and risk monitoring & reporting. The operational risk cycle is achieved through the use of one or more tools. The Group ORM Framework seeks to embed operational risk management elements into its day-to-day activities & processes, through a strategic adoption of ORM tools across all business units, branches and subsidiaries.

First line of defence is accountable for managing and mitigating the operational risks in their areas of responsibility. Day-to-day management of operational risk is conducted by the management of the respective business unit in compliance with the operational risk framework established in the ORM Policy. In accordance with the Policy, business units are required to conduct risk assessments, report operational losses on a periodic basis, adopt a monitoring framework and effect suitable mitigating measures for operational risk in their units. ORM coordinators have been designated for all business units, overseas branches and subsidiaries, who act as the primary source for facilitating ORM within their respective areas of responsibility. The individual entities in the Group are responsible for ensuring compliance with the different regulations of the various local and overseas regulators under which the Group operates and are assisted in the fulfilment of their responsibilities by the Group Compliance Division in the UAE.

The primary responsibility to ensure Compliance with policies and procedures resides with the respective business lines and is supported by periodic reviews undertaken by Group Internal Audit. The results of these reviews are discussed with the management of the business unit to which they relate, with summaries submitted to the Audit Committee and senior management of the Group.

BUSINESS CONTINUITY MANAGEMENT

Business Continuity Management (BCM) is a management process that identifies potential impacts that threaten an organisation and provides a framework for building resilience and the capability for an effective response which safeguards its reputation along with the interests of its key stake holders and customers. BCM is responsible for assuring operational resilience to the Group's key business processes under adverse circumstances.

Governance

Group Risk Committee is responsible for providing oversight and strategy for Business Continuity Management and Disaster Recovery Management at the Group. The committee gathers inputs from business and enablement functions from within the Group to aid in decision making and setting priorities to ensure success of business continuity in the Group.

Framework and Processes

The Group has in place a BCM framework; the key steps are:

- Identify key processes (and their dependencies) essential to ensure the delivery of the Group's services;
- Identify and define time frames for the recovery of those key processes;
- Establish cost effective strategies and solutions to achieve the recovery time frames of the key processes; and
- Validate the selected solutions.

All business units perform an annual business impact analysis to identify their critical business processes and recovery time objectives. Business continuity plans are developed at departmental levels throughout the Group and tested annually. NBAD has a dedicated local contingency site to ensure that UAE operations are not interrupted.

Incident and Crisis Management

A comprehensive incident and crisis management plan has been developed for the Group. Regular trainings on crisis management are conducted wherein different scenarios are used to further develop the capabilities of the crisis response team, which includes senior management.

REPUTATIONAL RISK

Reputational risk is defined as the damage to the Group's reputation due to one or more events such as negative publicity on Group's practices, conduct or financial conditions. The Group has clearly identified the business areas as sources of reputational events such as (i) compliance with regulatory and legal obligations (ii) business practices followed, (iii) standard of product and service quality, (iv) information technology security and data integrity, (v) association with customers, suppliers and partners, (vi) crisis management, (vii) external communication, (viii) achievement of financial targets etc. The Group pro-actively manages these identified business areas that might lead to reputational events.

Corporate Governance Report

Corporate Governance Report

Introduction

The National Bank of Abu Dhabi and its Group companies (together "NBAD") recognise their responsibility to demonstrate ethical and sustainable business practices in the United Arab Emirates and abroad. A comprehensive corporate governance framework plays a key role in NBAD's culture, business practices and regulatory compliance.

NBAD Guiding Principles of Corporate Governance
1. Strong Corporate Governance Standards
2. Leadership
3. Accountability
4. Transparency

NBAD believes that the benefits arising from a commitment to corporate governance are attributable to both documentary and behavioural elements. Hence, the Board has approved a framework which incorporates a broad range of policies for guidance and control, in addition to approving general principles of behaviour and personal conduct for which all Directors and staff are accountable as individuals and as a collective entity.

The corporate governance culture of NBAD is driven by:

- The responsibility of the Board to direct the Group's affairs and set its objectives;
- The selection of productive strategies and management of risk;
- The appropriate delegation and monitoring of power and accountability to management;
- Satisfying the interests of stakeholders through relevant and material disclosures;
- Ensuring compliance with all regulatory obligations; and
- Engaging with the community.

The scope and sophistication of the corporate governance framework is proportionate to NBAD's nature, size and complexity. The Board also recognises that NBAD is operating in an evolving global environment of diverse expectations, constant regulatory change, and increasing focus on stakeholder engagement and accountability. NBAD continually seeks to develop and improve its corporate governance framework to enable the Board and management to discharge their duties effectively.

Recognition and Achievements

During the year NBAD was awarded for corporate governance leadership, receiving the 2013 Hawkamah Bank Corporate Governance Award, with particular recognition of the Bank's transparency and disclosure, comprehensive control systems and advanced Board functioning.

General Counsel and Board Secretary, Samer Abdelhaq, received ACC Corporate Governance Officer of the Year award for his continuing efforts and delivery in developing NBAD's Corporate Governance Framework.

Finally, and for the fourth consecutive year, NBAD rose in the S&P Hawkamah ESG Pan Arab Index, reaching second place. The index provides a measure of total organisational performance by linking stock market success to Environmental, Social and Governance indicators. NBAD values this measure highly and has integrated continued positioning on the index into senior management performance measures.

The Corporate Governance Framework

The Board of NBAD has overall responsibility for directing the Group's affairs, to create and preserve value through the Group's operations, and to consider the shareholders' and other stakeholders' interests. It has documented its roles and responsibilities in a Board Charter and associated policies.

The Board has established a number of Committees, each of which remain an integral part of the Board and whose members are Directors of the Board. The remit of these Committees is to consider topics in more detail, to manage conflicts of interest, to satisfy regulatory rules, and other relevant activities as necessary to ensure the proper governance of the Group.

The Committees were reviewed during 2013 to more closely align with the changing structure of the Group. As part of this review a new Committee – Strategy and Transformation Committee - was established to expedite the new strategy and related projects. All Committee Charters have been updated to reflect their duties and accountabilities.

The Board is responsible for making delegations to the management, including the definition, scope, frequency, and nature of powers. Aside from certain authorities and powers reserved by the Board for its own decision-making, the Group Chief Executive is delegated full responsibility for the management, operations and compliance of NBAD. To satisfy its oversight role, the Board has defined a clear control structure which monitors the management's activities, in addition to creating supporting controls and reporting structures both internal and external to the firm. The delegation and control structure is also subject to compliance with, and oversight by, regulators and third parties, including the Central Bank of the UAE, and the Securities & Commodities Authority (SCA) of the UAE.

The Board has mandated Codes of Conduct which apply to Directors, employees and agents of NBAD. The codes encourage appropriate behaviour; define inappropriate behaviour; and the process and outcome for the identification and reporting of such behaviour.

Consistent with NBAD's approach to employ high standards for transparency and disclosure for the benefit of shareholders and other stakeholders, NBAD publishes a wide range of reports containing financial and non-financial data, in addition to disclosures required for regulatory purposes.

NBAD has established a number of functions committed to engagement and communication with external stakeholders. These include Investor Relations, Sustainability, Company Secretariat and Corporate Communications. In addition, internal transparency and disclosure is considered from operational, ethical and regulatory perspectives, ensuring that staff are aware of NBAD developments, strategies, risks and their personal responsibilities and duties, whilst protecting customer and personal data confidentiality, sensitive information, and commercial secrets.

Shareholder rights and interests include reserved powers in the UAE Commercial Companies Law and NBAD Articles of Association, and are supported by the duty of the Board to act in the interest of the Company. NBAD acknowledges that there are diverse interests within the shareholder base, and that the Board considers such interests when determining the objectives and strategies for the Group.

Regulatory Compliance

NBAD is regulated by the Central Bank of the UAE and is therefore required to comply with the Central Bank rules in addition to regulations and circulars issued from time to time. In addition, NBAD is required to comply with all applicable laws and regulations of the UAE and jurisdictions in which it operates, including, without limitation, the UAE Commercial Companies Law, rules and standards established by the Securities and Commodities Authority (SCA) of the UAE, and the NBAD Articles of Association.

The NBAD Articles of Association were last amended in 2013, after the shareholders approved the payment of bonus shares at the Annual General Meeting.

NBAD is committed to complying with good corporate governance practices, and so has regard to the provisions of Ministerial Resolution 518 of 2009 Concerning Governance Rules and Corporate Discipline Standards ("MR518"), although this is not a mandatory requirement for Banks in the UAE.

Senior management has the responsibility to ensure compliance with applicable laws and regulations, and report on such matters to the Board. The Board provides guidance and oversight in terms of risk appetite, significant compliance and risk strategies, and dealing with compliance and risk outcomes. The Board has established the Audit and Risk Management Committees with delegated authorities, as noted below, and has also mandated the other Committees to suitably consider compliance and risk in terms of their Charters.

Corporate Governance Report

Board of Directors

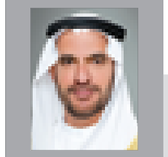
Board Composition in 2013

Six of the eleven Directors, including the Chairman of the Board, are nominees of the Abu Dhabi Government, and five Directors were elected by the minority shareholders.

All Directors are Non-Executive and two of those elected by minority shareholders are considered to be independent according to criteria set out by SCA and included in the Charter of the Board of Directors.

The composition of the Board satisfies the generally acceptable corporate governance practice relating to the separation of Chairman and Group Chief Executive and the majority membership of Non-Executive Directors.

Due to the sad demise of H.E. Dr Jauan Salem Al Dhaheri, a new Deputy Chairman was appointed in August of 2013.



H.E. Nasser Ahmed Alsowaidi
Chairman

Non-Executive Member since 19/05/2003
Appointee of the Abu Dhabi Government

NBAD Committee Membership:
- *Risk Management Committee - Chairman*

H.E. Nasser Ahmed Alsowaidi is the Chairman of the Department of Economic Development, Abu Dhabi Securities Exchange, Etihad Rail Company and Higher Corporation for Special Economic Zones. A Member of Abu Dhabi's Executive Council, and a Board Member of International Petroleum Investment Company (IPIC) and Mubadala Development Company (Mubadala), H.E. has held senior roles in a number of Government organisations, including the Abu Dhabi Investment Authority (ADIA) and the Abu Dhabi National Oil Company.

H.E. holds a degree in Economics from the California State Polytechnic University, USA.

External appointments
- Member – Executive Council of Abu Dhabi Government
- Chairman – Department of Economic Development
- Chairman – Abu Dhabi Securities Exchange
- Chairman – Higher Corporation for Specialized Economic Zones
- Chairman – Etihad Rail Company
- Chairman – Statistics Center Abu Dhabi
- Chairman – Abu Dhabi Council for Economic Development
- Chairman – Abu Dhabi Quality and Conformity Council
- Vice-Chairman – Abu Dhabi Investment Company (Invest AD)
- Board Member – Mubadala Development Company
- Board Member – International Petroleum Investment Company
- Board Member – Abu Dhabi Urban Planning Council
- Board Member – Abu Dhabi Food Control Authority



H.E. Dr. Al Taher Musabah Al Kindi Al Marar
Deputy Chairman

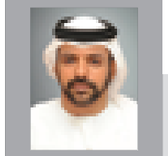
Non-Executive Member since 11/08/2013
Appointee of the Abu Dhabi Government

NBAD Committee Membership:
- *Risk Management Committee*
- *Corporate Governance & Nominations Committee*
- *Human Resources Committee*

Dr. Al Taher Musabah Al Kindi Al Marar was appointed to the NBAD Board in 2013. Dr. Al Kindi has more than 25 years of experience serving various companies and organisations in Abu Dhabi and is the founder of the National Investor Company. He started his career as a manager in Abu Dhabi National Oil Company (ADNOC), where he directed several departments, and has been on the Board of several leading companies in the UAE.

Dr. Al Kindi holds a Bachelor's Degree in Economics and Human Resources from California University in the USA, a Master's Degree and Doctorate from Newcastle University in the United Kingdom.

External appointments
- Honouree - Western Region Municipality
- Board Member – Abu Dhabi Exhibition Center



Sheikh Mohammed Saif Mohammed Al Nahyan
Director

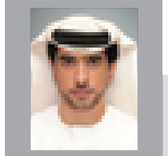
Non-Executive Member since 19/03/2006
Elected by the Minority Shareholders

NBAD Committee Membership:
- *Human Resources Committee – Chairman*
- *Strategy & Transformation Committee – Chairman*
- *Risk Management Committee*

Sheikh Mohammed Al Nahyan is the Vice Chairman of the Abu Dhabi National Insurance Company (ADNIC) which is a leading and prominent insurance provider in the region, and is the Chairman of its Compensation and Remuneration Committee. In addition, Sheikh Mohammed is the Chairman of the Abu Dhabi Marine Investment Company and the Vice Chairman of the Abu Dhabi International Marine Sports Club (ADIMSC).

Sheikh Mohammed holds a degree in International Economics and History from the American University of Paris, France.

External appointments
- Chairman – Abu Dhabi Marine Investment Company
- Vice Chairman – Abu Dhabi National Insurance Company
- Vice Chairman – Abu Dhabi Marine Sports Club



Sheikh Ahmed Bin Sultan Al Dhaheri
Director

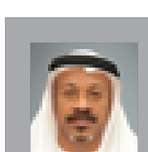
Non-Executive Member since 01/05/1994
Elected by the Minority Shareholders

NBAD Committee Membership:
- *Risk Management Committee*

Sheikh Ahmed Al Dhaheri is currently the Chairman of Bin Srour Engineering. Prior to this, Sheikh Ahmed was the Undersecretary of the Department of Social Services and Commercial Buildings (DSSCB) from 1996 until 2009.

Sheikh Ahmed holds a Bachelor's Degree in Civil Engineering Science.

External appointments
- Member - Abu Dhabi National Consultative Council
- Board Member - Etisalat
- Board Member - National Hotels Company
- Deputy Chairman - Abu Dhabi Aviation



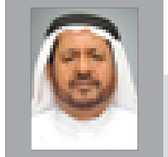
H.E. Mohammed Omar Abdulla
Director

Non-Executive Member since 19/05/2003
Appointee of the Abu Dhabi Governments

NBAD Committee Membership:
- *Corporate Governance & Nominations Committee – Chairman*
- *Human Resources Committee*
- *Strategy & Transformation Committee*

H.E. Mohammed Omar Abdulla joined the Department of Economic Development (DED) as Undersecretary in March 2007. Before joining DED, H.E. held the position of Director General of the Abu Dhabi Chamber of Commerce and Industry between May 1997 and March 2007.
H.E. is a recognised specialist and expert in the fields of Law, Banking and Economic Development.

External appointments
- Board member - Abu Dhabi Ports Company
- Board member - Sheikh Khalifa Fund



H.E. Sultan Bin Rashed Al Dhaheri
Director

Non-Executive Member since 02/05/1973
Elected by the Minority Shareholders

NBAD Committee Membership:
- *Risk Management Committee*

H.E. Sultan Bin Rashed Al Dhaheri is a Member of the Federal National Council.

One of the most recognised and respected businessman in the UAE, H.E. plays an essential role in the economy of the UAE through participation in industries such as real estate, projects, portfolio management and by owning and acting as partner in leading commercial and industrial companies.

H.E. owns, and sits as Director, for several major private companies in the UAE, and is recognised for his role in charitable activities both regionally and internationally.

External appointments
- Member – Federal National Council of the UAE
- Board Member – Abu Dhabi National Insurance Company



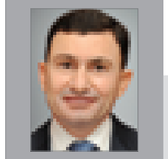
Mr. Khalifa Sultan Al Suwaidi
Director

Non-Executive Member since 19/03/2006
Appointee of the Abu Dhabi Government

NBAD Committee Membership:
- *Audit Committee*
- *Corporate Governance & Nominations Committee*
- *Strategy & Transformation Committee*

Mr. Al Suwaidi holds a degree in Business Administration (Finance), a Master's in Finance from Seattle University USA, and is a Chartered Financial Analyst.

External appointments
- Board Member – Etihad Airways
- Board Member – Abu Dhabi Securities Exchange
- Board Member – Union National Bank
- Board Member – Abu Dhabi National Insurance Company
- Board Member – Abu Dhabi Investment Company (Invest AD)



Mr. Hashim Fawwaz Al Kudsi
Director

Non-Executive Member since 19/03/2006
Appointee of the Abu Dhabi Government

NBAD Committee Membership:
- *Risk Management Committee*

Mr. Hashim Al Kudsi is an Executive Director, Active Investment Strategies, at the Abu Dhabi Investment Council since April 2007. With a solid background and experience in banking and finance, Mr. Al Kudsi has a degree in Business Administration from American University, USA and is also a Chartered Financial Analyst.

External appointments
- Executive Director, Active Investment Strategies - Abu Dhabi Investment Council
- Board Member – Abu Dhabi Investment Company (Invest AD)
- Board Member – Al Wathba Company for Central Services



Mr. David Beau
Director

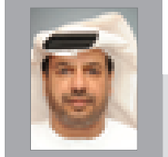
Independent Non-Executive Member since 11/03/2009
Elected by the Minority Shareholders

NBAD Committee Membership:
- *Audit Committee*
- *Human Resources Committee*

Mr. David Beau has worked for the Abu Dhabi Government since November 2003. Currently, he is the Chief Investment Officer of the Direct Investment Department at the Abu Dhabi Investment Council. Prior to this, he was a Fund Manager at the Abu Dhabi Investment Authority.

Mr. Beau is a CFA Charter holder and holds NASD Series 3, 7 and 24. Mr. Beau grew up and attended university in Strasbourg, France, and began his career in Finance in New York as a stockbroker before joining Everest Capital in London. He subsequently moved to Bermuda and Dublin where he was a fund manager for Berco Ltd., a family office with substantial assets under management.

External appointments
- Investment Committee Member - Abu Dhabi National Insurance Company



Mr. Matar Hamdan Al Ameri
Director

Independent Non-Executive Member since 11/03/2010
Elected by the Minority Shareholders

NBAD Committee Membership:
- *Audit Committee – Chairman*
- *Corporate Governance & Nominations Committee*
- *Human Resources Committee*

Mr. Matar Al Ameri started his career, and has more than 25 years of experience in various roles within Abu Dhabi National Oil Company (ADNOC). Involved in various senior finance roles in the ADNOC Group, including secondment to Arthur Andersen for two and half years on assignments across UAE, Australia, UK and USA, Mr. Al Ameri is currently responsible for the oversight of the ADNOC Group Finance.

Mr Al Ameri serves as either a Member or Chairman of the Finance Board Advisory and Audit Committees of various ADNOC Group companies such as ADCO, ADMA, ZADCO, GASCO, ADGAS, NDC, ESNAAD, FERTIL, BOROUGE, ADNATCO, NGCSO and ADNOC Distribution.

An advocate of developing and maximizing opportunities for UAE Nationals towards building future leaders, he is active in the Al Ain Sports Club where he sits as a Board Member. Mr. Al Ameri holds a Bachelor's Degree in Accounting and Information Systems from UAE University.

External appointments
- Board Member – National Drilling Company
- Board Member – Abu Dhabi National Tanker Company
- Board Member – Excel London Subsidiary of Abu Dhabi National Exhibition Co. (ADNEC)
- Board Member – Al Ain Sports Club
- Finance Director – Abu Dhabi National Oil Company (ADNOC)



Mr. Michael H. Tomalin
Director

Executive Member since 13/3/2012
Non-Executive Member since 1/07/2013
Appointee of the Abu Dhabi Government

NBAD Committee Membership:
- *Audit Committee*

Mr. Michael Tomalin joined the National Bank of Abu Dhabi (NBAD) as its Chief Executive in 1999. A senior international wholesale and private banker with hands on executive experience in UK, Japan, the Middle East, Australasia, the Caribbean and the Far East, Mr. Tomalin trained as an investment manager at Rothschild's and broadened into general management at Barclays before his nomination to Chief Executive of Abu Dhabi's largest bank.

Mr. Tomalin was appointed as an Executive Director on 13 March 2012 and as a Non-Executive Director after his resignation from his responsibilities as the Chief Executive of NBAD on 1 July 2013.

Awards
- O.B.E. (Officer of the Order of the British Empire) 1991.
- Honorary doctorate in Banking, Institute of Financial Studies, London.

External appointments
- Director of Morant Wright Japan Fund

Corporate Governance Report

Independent Directors

NBAD's Independent Directors are elected by the minority shareholders during the Annual General Meeting. The Independent Directors are obliged to immediately inform the Board of any circumstance which may impact upon their independent status.

The Corporate Governance and Nominations Committee is charged with nominating suitable candidates for the shareholders to consider for election, and monitoring the independence of Directors according to agreed criteria. The SCA has mandated that nomination by a Government does not by itself exclude Directors from being considered Independent in the event that they would otherwise satisfy the conditions. Whilst the Government nominated Directors are not included in the number of Independent Directors stipulated by the Articles, the Board may potentially consider the attributes of Government nominees to determine whether Independent Directors constitute one-third of the total Board.

Director Nomination

All Directors serve a maximum term of three years, and there is no restriction on retiring Directors, if considered appropriate, being re-nominated for election at Annual General Meeting or re-appointed by the Abu Dhabi Government. As the Articles of Association fixes the number of Board Directors, the Board may also appoint new Directors to fill vacancies arising during the year, and any Director so appointed must seek re-election at the next Annual General Meeting.

Terms regarding nomination and election of Directors are stipulated in the NBAD Articles of Association to include certain representation, including a proportional number of Directors to the ownership by the Abu Dhabi Government, and a minimum number of Independent Directors. The nomination of minority elected Directors are subject to a formal nomination process including the public call for nominations, review of appropriate skills and experience, categorisation as Independent if suitable, and inclusion of the nominations received in the Notice of Meeting for voting by shareholders. Election by minority shareholders of the Directors is subject to secret ballot and shareholders may demand a cumulative voting system.

Board Responsibility and Practices

In order to conduct its business and discharge its duties to a high standard of corporate governance protocols and policies, the Board has committed to several key documents which define the roles, responsibilities, functions, protocols and other matters relevant to the Board and its Members:

- Corporate Governance Policy & Principles, which establishes the overarching approach of NBAD.
- Charter of the Board of Directors and of each Committee.
- Directors Code of Conduct.
- Other NBAD policies referred to in the above.

During 2012 pursuant to an initiative of the Corporate Governance and Nomination Committee, the Company Secretariat performed a full review of the corporate governance policies, and the revised documents were approved by the Committee and the Board. The same review will be completed in 2014 to ensure continuing alignment with best practice.

a. Role of the Board and its Members

The Board is responsible for directing the National Bank of Abu Dhabi and its subsidiaries towards the achievement of NBAD's vision. To this end, the Board ensures NBAD's strategic leadership, financial soundness, governance, management supervision and control.

The Board has delegated certain authorities and powers to committees and individuals including the Group Chief Executive. However, the Board reserves the authority to deal with specific matters. These are detailed within the Board Charter which is available on nbad.com.

Role of Chairman of the Board
It is the responsibility of the Chairman to lead the Board, ensure that the Board is aware of material information and developments pertaining to NBAD, and encourage all Directors to work in the best interests of NBAD. The role is defined clearly in the Board Charter. The Chairman:

- Facilitates the work of the Board and approves the annual rolling agenda for the Board as well as the agenda for each meeting;
- Ensures that new Directors are properly inducted and introduced to the business of NBAD;
- Ensures that Directors receive in good time all information which is necessary for the proper performance of their duties, this information to be accurate, relevant and timely;
- Ensures that there is sufficient time for consultation and decision-making by the Board;
- Liaises regularly with the Group Chief Executive to ensure adequate contact between the Board and Senior Management;
- Oversees the orderly and efficient conduct of the General Meeting;
- Ensures effective communication with shareholders and other stakeholders and communicates any concern to the Board.

The Deputy-Chairman shall replace the Chairman in his absence or whenever the Chairman is unable to perform his duties. The role of the Committee Chairmen is substantially similar to that of the Chairman of the Board.

Role of Directors
Directors are expected to exercise due care and skill in the performance of their duties, and in particular to:

- Provide constructive challenge;
- Contribute strategic thought, and utilise their skills and experience;
- Ensure business performance conforms to strategic direction and NBAD values and ethics;
- Ensure satisfactory dialogue with shareholders and stakeholders.

Independent Directors have a particular obligation to:

- Conduct themselves, and participate in Board matters, with an independent mind;
- Give priority to NBAD upon any conflict of interest;
- Have particular regard to the protection of the interests of the minority shareholders.

Role of Group Chief Executive and Senior Management
The Group Chief Executive has delegated responsibility from, and a job description which is clearly defined by, the Board of Directors to ensure that the Company is operated in accordance with its mandate. Senior Management must ensure that the Board and Committees receive sufficient complete information on a timely basis.

b. Board Conduct

The Board has approved, and each Director commits, to particular codes and standards of conduct, which are to be considered in terms of their 'spirit' as well as the strict wording. The Directors Codes of Conduct and Board Charter note the personal duties that Directors owe to the Company, and standards attached to:

1. Conflicts of Interest
2. Provision of Banking Facilities
3. Employment of Family
4. Gifts, Benefits & Business Courtesy
5. Bribery and Corruption
6. Confidentiality
7. Insider Trading
8. Fair, Accurate and Timely Reporting and Disclosures
9. Ethical Behaviour and Whistleblowing
10. Directors and Officers Insurance

Corporate Governance Report

c. Board meetings and attendance

The Board commits to meet at least six times per year, with additional meetings as required to conduct special business. During 2013 the Board met 8 times.

The Board may make unanimous written resolutions by circulation. This was availed of on one occasion in 2013 to avert a potential regulatory breach for one of our subsidiaries. This was necessary merely for timing purposes, as the matter could not be held over to the next scheduled meeting. The Board voted unanimously in favour of the resolution and there was no breach.

Quorum for meetings is set at a simple majority of Directors, and voting during meetings is a simple majority of attendees. The Chairman may make a casting vote. Directors must disclose potential conflicts of interest as soon as they are aware of the situation, and recuse themselves from further discussion and voting on the matter.

Attendance during 2013 was as follows:

2013 Board Meeting Attendance	22/1	29/1	12/2	23/4	23/7	24/9	29/10	9/12
H. E. Nasser Ahmed Alsowaidi - *Chairman*	✓	✓	✓	✓	✓	✓	✓	-
Late Dr. Jauan Salem Al Dhaheri[1] - *Deputy Chairman*	-	✓	✓	✓				
H.E. Dr. Al Taher Musabah Al Kindi Al Marar[2] - *Deputy Chairman*						✓	✓	✓
Sheikh Mohammed Bin Saif Bin Mohammed Al Nahyan	✓	✓	-	✓	✓	✓	✓	-
Sheikh Ahmed Mohammed Sultan Al Dhaheri	✓	✓	✓	-	✓	✓	✓	✓
H.E. Mohammed Omar Abdulla	✓	✓	✓	✓	✓	✓	✓	✓
H.E. Sultan Bin Rashed Al Dhaheri	-	✓	-	-	✓	✓	✓	✓
Mr. Khalifa Sultan Al Suwaidi	✓	✓	-	✓	✓	✓	✓	✓
Mr. Hashim Fawwaz Al Kudsi	✓	✓	✓	-	✓	✓	✓	✓
Mr. David Beau	✓	✓	✓	✓	✓	✓	✓	✓
Mr. Matar Hamdan Al Ameri	-	✓	✓	✓	✓	✓	✓	✓
Mr. Michael Tomalin	✓	✓	✓	✓	✓	✓	✓	✓

1. *Dr. Jauan Salem Al Dhaheri passed away in April 2013.*
2. *H.E. Dr. Al Taher Musabah Al Kindi Al Marar joined the Board on 8 August 2013.*

d. Delegation and Accountability

The Board retains specific powers in accordance with the NBAD Articles of Association and the Matters Reserved for the Board included in the Board Charter, and delegates other responsibilities to its Board Committees. Unless otherwise stated, all responsibility for day to day operation of the business is delegated to the Group Chief Executive and senior management.

Certain specific powers which are subject to special controls are appropriately recorded in the Board Resolutions and Minutes. The Board monitors further delegations and devolution of power through NBAD via management reporting frameworks, independent reviews and verifications by audit, compliance and legal departments and external advisors. NBAD continues to review its delegations of authority pursuant to the evolution of risk strategies, prudential requirements, changes in the business environment and operational effectiveness.

e. Induction, Development, Evaluation and Succession

The Board, Committees and management require an appropriate balance of skills, experience, independence and knowledge having regard to the nature and complexity of the business, its commercial environment, and the interests of stakeholders. The procedures for nomination of Non-Executive Directors for shareholder election and the selection of Directors for Subsidiaries are reviewed by the Corporate Governance and Nomination Committee, which takes these factors into account.

New Non-Executive Directors receive formal induction, and all Directors commit to continually refresh their skills and knowledge. To this end Capital Advantage, an independent consultancy firm based in the UAE, made a presentation to the Board Members on Corporate Governance Best Practices. This took place on 29th October 2013.

2013 Board evaluation
Performance evaluation of the NBAD Board and its committees takes place on an annual basis, forming a key component of the Bank's Corporate Governance Framework. Building upon the 2012 self-assessment, the 2013 evaluation was designed to encompass the Board as a whole and to evaluate each Committee, both in terms of their internal performance by members collectively and how the Committee performs from the perspective of the Board.

For 2013, the Directors were requested to complete a comprehensive questionnaire covering a range of performance measures and indicators on matters such as: Board roles and responsibilities; performance with respect to corporate objectives and risks; Board and Committee structure and skills; meetings and preparation; decision-making; Committee scope and performance; and the interaction between the Board and Senior Management. Interview sessions with the Directors were also held in order to expand upon matters of interest arising from the questionnaires and enable additional feedback.

In furtherance of the Board's commitment to benchmark and enhance its processes, the 2013 evaluation was designed and conducted by an external advisor, Capital Advantage Consultants. The results from the evaluation will be considered by the Corporate Governance and Nomination Committee, and presented to the Board in April 2014 together with recommendations for future development and potential topics and options for expanded evaluation in following years.

f. Remuneration of the Board and Executives

It is a policy of NBAD to offer a competitive compensation framework to attract, retain and motivate qualified and talented Directors and staff, whilst having regard to appropriate risk, accountability and the interests of shareholders to build value.

Remuneration for the Non-Executive Directors is based on the time commitment, skills, and responsibility borne by the Directors whilst undertaking their duties for the Board and Committees. The total remuneration allocation for the Non-Executive Directors is approved at the Annual General Meeting based on the recommendation of the Corporate Governance and Nominations Committee and the Board, and subject to regulatory limits. The compensation is allocated to Directors based on their membership and additional roles performed in the Board, including Chairmanship of the Board or Committee and attendance at Committee meetings.

Title	Annual Fee (AED)	Committee Attendance (AED/Meeting)
Chairman	1,000,000	2,500
Deputy Chairman	750,000	2,500
Director	600,000	2,500

The Group Chief Executive and Senior Management's remuneration is structured to link reward with corporate and individual performance. As noted below, the Corporate Governance and Nominations Committee is tasked with determining appropriate remuneration frameworks for the Board while the Human Resources Committee reviews Senior Management performance and determines appropriate remuneration frameworks for the Group, taking account of incentivisation measures, risk, seniority, responsibility and industry benchmarks.

In accordance with the NBAD Articles of Association, Executive Directors and Senior Management may participate in the Staff Share Option Scheme, under which allocations of rights are monitored and approved by the Board of Directors.

Board Committees

a. Committee Mandates
The Board has established five Committees in order to focus on key initiatives and controls of NBAD and to assist in the efficiency and effectiveness of the Board. Each Committee Charter is approved by the Board and outlines authority, responsibilities, meeting frequency and practices, reporting, and self-evaluation. The Committees are required to meet as frequently as deemed necessary to fulfil their objectives and to allow sufficient time for discussions, presentations, deliberation, and decisions or recommendations to be clearly formulated.

The composition and Chairmanship of each Committee is approved by the Board after recommendation by the Corporate Governance and Nomination Committee, and reviewed on an annual basis. Quorum is a simple majority, and voting is a simple majority of those in attendance with the Committee Chairman having a casting vote in the case of tied voting. The Committee Chairman shall escalate to the Chairman of the Board and Company Secretary any significant matters arising from the Committee.

Only Directors may be appointed to Committees, however each Committee shall have the authority to obtain advice and assistance from outside legal, accounting and other advisors as it deems necessary to carry out its duties. The Committee may also request management and any other internal or external advisors to attend meetings and/or conduct any investigations, reviews or studies of any matter within the scope of the Committee's duties and responsibilities. In connection with any such investigation, the Committee shall have unrestricted access to NBAD's personnel and documents.

During 2013 the Committees increased to five and their duties and responsibilities were reviewed.

Corporate Governance Report

b. Committee Scope and Composition
Some changes were made to Board Committee Memberships during the last quarter of the year. This table summarises membership as at 31 December 2013. 'C' denotes the current Chairman of the Committees.

	Risk Management	Audit	Corporate Governance & Nominations	Human Resources	Strategy & Transformation
H.E. Nasser Ahmed Alsowaidi - *Chairman*	C				
H.E. Dr. Al Taher Musabah Al Kindi Al Marar - *Deputy Chairman*	✓		✓	✓	
Sh. Mohammed Bin Saif Bin Mohd Al Nahyan	✓			C	C
Sh. Ahmed Mohammed Sultan Al Dhaheri	✓				
H.E. Mohammed Omar Abdullah			C	✓	✓
H.E. Sultan Bin Rashed Al Dhaheri	✓				
Mr. Khalifa Sultan Al Suwaidi		✓	✓	✓	✓
Mr. Hashim Fawwaz Al Kudsi	✓				
Mr. Matar Hamdan Al Ameri - *Independent*		C	✓		
Mr. David Beau - *Independent*		✓		✓	
Mr. Michael H. Tomalin		✓			

Audit Committee — **Members: Minimum 3, including 1 Independent**

Oversight and review of:
- Integrity of financial statements, accounting policies, adjustments & financial reporting.
- Adequacy of internal control, IT security & risk management systems.
- Compliance with laws & regulations, whistleblowing & fraud.
- Investigations into integrity, conflicts of interest & adherence to standards of conduct of Senior Management.
- Examination reports from regulatory authorities.
- Internal audit function, plans, independence, resourcing and effectiveness.
- Appointment, remuneration & removal of Group Chief Audit Officer.
- External audit function, including recommendations to the Board & Shareholders on appointment, remuneration, non-audit fees, independence, audit plans, audit recommendations & removal.
- Compliance with Codes of Conduct.

Risk Management Committee — **Membership: Minimum 5**

The Risk Management Committee plays a key role in evaluating the risk appetite and policies of the Group. This is an extremely active Committee with delegated decision-making authority on material credit approvals, in addition to the strategic risk issues. Certain matters may be decided, and later ratified by the Board, in case of extreme urgency when the Committee cannot meet.

Oversight and review of:
- Risk appetite & tolerance taking into account the Group's strategies & operating environment.
- Group's risk methodology, KPIs and tolerances, including stress testing.
- Trading, investment, liquidity, funding & interest rate risk, including transfer pricing.
- Risks of strategic acquisitions or disposals.
- Adequacy & allocation of capital.
- Management proposals, material risk transactions & seeking Central Bank approval if required.
- Alignment of remuneration to risk.
- Risk disclosures & reports.
- Compliance with regulatory requirements.
- Overall risk management framework, including adequacy of company procedures, material findings of regulators, independence & resourcing of the risk function, & assurance from internal audit on risk controls.
- Chief Risk Officer Role.

Corporate Governance & Nominations Committee — **Membership: Minimum 3, including 1 Independent**

Oversight and review of:
- Corporate Governance Charters, policies, practices, & organizational structure.
- Size and composition of the Board & its Committees relative to the responsibilities of each.
- Director independence.
- Allocation of responsibilities to the Committees, Directors & Company Secretary.
- Board membership & management of subsidiaries.
- Board remuneration.
- Outside directorships, director lending, share trading and conflicts of interest of Directors & Senior Management.
- Compliance with Charters & policies.

Human Resources Committee — **Membership: Minimum 3, including 1 Independent**

Oversight and approval of:
- Strategic human resources.
- Remuneration & performance related pay schemes, policies & framework for NBAD.
- Appointment, promotion, remuneration, retirement & dismissal of Senior Management.
- Development & implementation of Emiratisation strategies & targets.
- Terms of reference and reporting of the Management Remuneration Committee.
- Training strategy for NBAD.
- High level succession planning.
- Review of Senior Management performance against KPIs.
- Headcount budgets.
- HR related expenditure above delegated authorities.

Strategy and Transformation Committee — **Membership: Minimum 3**

Oversight and approval of:
- Responsible for assisting the NBAD Board in fulfilling its strategic plan.
- Assist the Board in relation to the implementation of the Bank's strategy and related transformation: implementation plan, expansion, acquisition strategy and potential acquisitions.
- Review and evaluate major unbudgeted expenditure, external developments and factors.
- Issues related to senior staff.
- Structure, size and composition of the committee, determined by Chairman.

Corporate Governance Report

Risk and Control Framework

The Board of Directors has approved and implemented an extensive internal control system, which includes:

- Control environment and codes of conduct for the Board and staff;
- Risk management;
- Control functions;
- Management information systems; and
- Monitoring, security and prevention systems.

The significant functions which form the control system include Internal Audit, Risk, Legal and Compliance, and Company Secretariat. Control functions within NBAD functionally report to the Board or designated Committees, and administratively report to the Group Chief Executive.

During 2013, and as part of the organisational restructuring, the separate Legal and Compliance functions were brought together as one division. While both functions continue to operate with independence and separate authority, their alignment supports an ability to deliver greater depth and breadth of advice, awareness of accountabilities, and oversight to the frontline and business divisions.

Control functions are comprised of skilled and experienced staff with internationally recognized qualifications, and are provided with unfettered and independent powers to investigate the affairs and internal controls of the Corporation. Where necessary, the control functions may also be outsourced to reputable third parties who are qualified to provide specialist expertise.

In particular, the evolution of risk perspectives and policies in the international and local regulatory environment will continue to mandate or influence NBAD's approach to, and appetite for, risk. As risk is an integral part of both the operational and control framework, the Board will continue to monitor the appropriate delegation of risk, the continued nature of its risk appetite and strategies, and the authorities provided to the Risk Committee.

The External Auditors are paid on a fixed annual fee basis. The auditors' fee is recommended by the Board of Directors for shareholders' approval in the Annual General Meeting. Non-audit work or audit work not within the scope of the annual review will be reviewed by the Audit Committee on a case by case basis, although procurement policies may exclude tendering by auditors to avoid any perceived or potential conflict of interest. The external audit fees are disclosed in the NBAD Annual Audited Accounts.

As required by the Central Bank of the UAE and as desirable for international banks of NBAD's stature, NBAD has implemented a comprehensive set of policies for the prevention and detection of fraud, corruption, bribery, money laundering and other criminal and civil offences. These are monitored by a number of control functions, which ultimately report to the Committees and Board on matters of significant breach, local and international updates, monitoring programs, trends and risks. Whilst NBAD has instituted a sophisticated set of systems and controls to segregate duties, establish limits and approval processes, and monitor and audit employee and stakeholder interactions, it is recognised that systems are not failsafe. Hence, NBAD has an over-arching Whistleblowing Policy which incorporates independent reporting channels, confidentiality and sensitivity, investigation powers, escalations, reporting, re-integration of findings into the operational and control framework, and regulatory co-operation.

Transactions of Directors and Employees in Securities

By virtue of NBAD's status as a listed company on the Abu Dhabi Stock Exchange, Directors and staff are subject to certain trading restrictions on NBAD securities, including Close Periods. All Directors and a wide class of Senior Management are classified by NBAD as "Insiders" with respect to trading rules set by the SCA, which imposes internal and public disclosure requirements. The 'Insider List' is reviewed and updated quarterly.

Also, due to the nature of NBAD's business, Directors and staff may come into possession of material non-market information which may impact the prices of listed securities (including equities, bonds, ETFs, etc) on many global exchanges. The legal prohibition of Insider Trading is incorporated within the NBAD's Codes of Conduct, which specifies that trading with inside knowledge on any security (including but not limited to NBAD securities) is strictly forbidden and may expose the individual and NBAD to serious negative outcomes. All Directors and staff are made aware of their legal obligations, the consequences for non-compliance, and the need for timely, relevant disclosure in relation to reporting on these issues.

Other Policies

Dividends

Provided that no adverse conditions exist regarding domestic and/or global economic circumstances, and after making transfers to the mandatory reserves and ensuring that the Bank's capital adequacy ratio remains at the targeted level, and subject to approval by shareholders, NBAD's policy is to recommend for the approval of shareholders in the Annual General Meeting a cash dividend which is covered at least three times by the distributable profit.

Corporate Sustainability

Since 2007, NBAD has a proud history of being a UAE leader in disclosure through the publication of annual Corporate Responsibility and Sustainability Reports, employing the Global Reporting Initiative's (GRI's) international reporting standard and the supporting Financial Sector Supplement.

In 2011 NBAD formally established a Corporate Sustainability role and committed further resources for the development of strategies and implementation of sustainability initiatives. This role has responsibility for production of the annual Sustainability Report, which contains the majority of NBAD's non-financial disclosures, and continues to identify and redefine performance measures and recommendations across the Group.

The Sustainability Policy is reviewed annually and last updated in 2012 to incorporate specific clauses covering issues identified as most material to the business. It will be reviewed again in Q1 2014 to ensure focus on materiality and alignment with the Group restructuring.

All historical reports and current reports are available on the NBAD website in the Governance section, demonstrating NBAD's commitment to full disclosure, of both current achievements and historical context, and continuous improvement.

Share Registry Services

NBAD is a significant provider of share registry services to other public joint stock companies in the UAE and is recognised by the market for providing integrated and support services for the conduct of shareholder actions. The Securities and Funds Administration Services Department is subject to an extremely high standard of duty and care with regard to issues such as regulatory compliance, confidentiality, audit and regulatory co-operation.

In 2013 an independent assurance review was conducted by KPMG covering inter alia the operational aspects of SFAS which resulted in the issuance of a SSAe16 Type 1 Report. It is anticipated that this will become an annual assurance review.

Investor Transparency and Disclosure

A dedicated Investor Relations site is included on NBAD's website, where investors are provided with current information relating to the Corporation such as:

- Annual reports
- Financial reports
- Corporate Governance documentation
- Credit profiles
- Analyst coverage
- Press releases
- Securities information
- Presentations
- Feedback facility

Shareholders' Information

Shareholders' Information

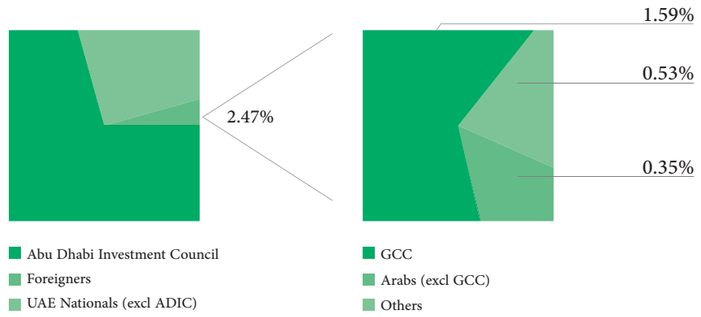
Major Shareholders

Shareholders holding more than 5% of NBAD shares as at 31 December 2013

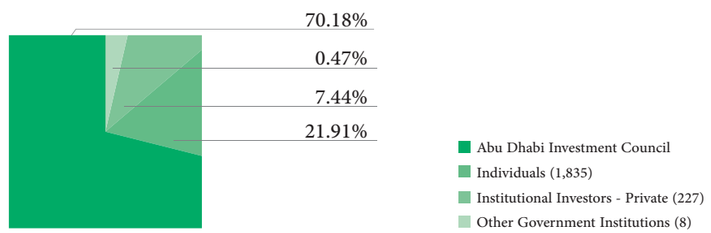
Abu Dhabi Investment Council (ADIC) 70.18%[1]

NBAD shareholding[1] by Nationality

Foreign ownership is restricted to 25% of the total shares listed on the exchange. As of 31 December 2013, foreign ownership in NBAD shares amounted to 3.04%.

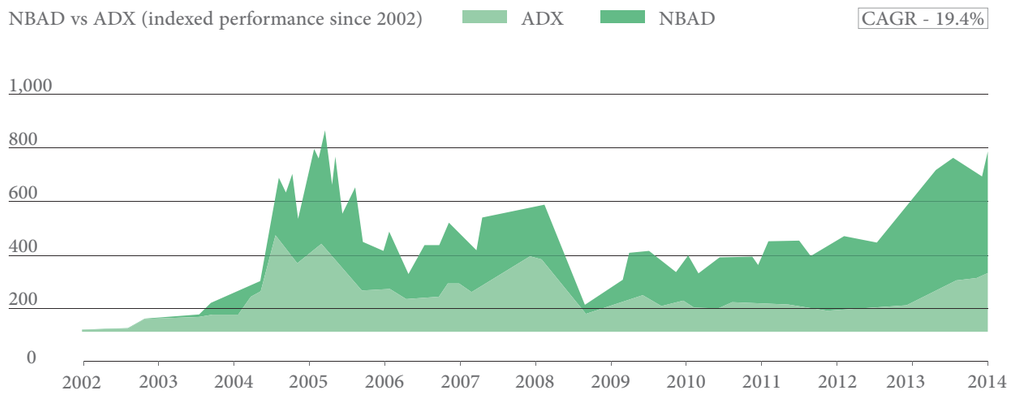


NBAD shareholding[1] by Category



Shareholder Returns & Share Price Information

	2009	2010	2011	2012	2013
Return to shareholders:					
• Capital Gain[2]	52.5%	4.1%	11.8%	27.0%	48.5%
• Cash Dividend Yield[3]	0.8%	2.5%	2.7%	3.4%	2.9%
Stock Dividends (Bonus shares)[4]	10%	20%	35%	10%	10%
Cash Dividend (AED/share)[6]	0.10	0.30	0.30	0.35	0.40
Cash Dividend Payout	7.2%	19.5%	23.2%	31.4%	36.2%
Market Capitalisation (AEDmn)	26,961	28,700	31,427	39,908	59,847
Number of shares issued (AEDmn)	2,174	2,392	2,870	3,875	4,306
P/E Ratio (on Basic EPS)	9.3	8.3	9.0	9.7	13.2
P/B Ratio	1.6	1.4	1.4	1.5	2.0
Share Price[5]: (AED/share)					
• High	7.40	7.01	8.15	9.59	14.05
• Low	3.21	5.41	6.06	7.00	9.32
• Closing	6.33	6.59	7.37	9.36	13.90
• Daily Average Volume (shares)	634,985	455,072	471,429	450,401	645,169
Relative Returns (capital gains):					
• NBAD vs ADX return	+37.7%	+5.0%	+23.5%	+17.5%	-14.6%
• NBAD vs ADX Banks return	+31.6%	-1.0%	+11.9%	+9.2%	-19.5%



1 Based on total outstanding number of shares (Issued less treasury shares)
2 Percentage change in price during the year (closing price – opening price)
3 Based on unadjusted closing price
4 Shown as a percentage of face value
5 Share prices adjusted for bonus shares issuances

Group
Network

Branches – UAE

Abu Dhabi

Main Branch
Telephone: 02 - 6111111
Telefax: 02 - 6275738/9
P.O.Box: 2993, Abu Dhabi

ADIA*
Telephone: 02 - 4105168
Telefax: 02 - 6212157
P.O. Box: 2993, Abu Dhabi

Khalidiya
Telephone: 02 - 4106000
Telefax: 02 - 6667480
P.O. Box: 46175, Abu Dhabi

ADCO*
Telephone: 02 - 6112800
Telefax: 02 - 6653057
P.O. Box: 46175, Abu Dhabi

ADMA*
Telephone: 02 - 6263225
Telefax: 02 - 6263295
P.O.Box: 46175, Abu Dhabi

ADNOC*
Telephone: 02 - 6669143
Telefax: 02 - 6679869
P.O.Box: 46175, Abu Dhabi

Rental Dispute Judicial Department*
Telephone: 02 - 4105170
Telefax: 02 - 4450568
P.O. Box: 46175, Abu Dhabi

ZADCO*
Telephone: 02 - 6768821
Telefax: 02 - 6768851
P.O. Box: 46175, Abu Dhabi

Hilton*
Telephone: 02 - 6112770
P.O. Box: 46175, Abu Dhabi

Abu Dhabi Municipality*
Telephone: 02 - 4103801
Telefax: 02 - 6767136
P.O. Box: 46175, Abu Dhabi.

Abu Dhabi Food Control Authority*
Telephone: 02 - 4458592
Telefax: 02 - 4458632
P.O. Box: 46175, Abu Dhabi

Abu Dhabi International Airport
Telephone: 02 - 5075400
Telefax: 02 - 5757593
P.O. Box: 5279, Abu Dhabi

Sheikh Rashed Bin Saeed Al Maktoum Road
Telephone: 02 - 4104000/6415341
Telefax: 02 - 6416677
P.O. Box: 46727, Abu Dhabi

Abu Dhabi Mall
Telephone: 02 - 4104666
Telefax: 02 - 6452424
P.O. Box: 7021, Abu Dhabi

Arabian Gulf Road
Telephone: 02 - 4103000
Telefax: 02 - 4478344
P.O. Box: 71230, Abu Dhabi

Baniyas
Telephone: 02 - 5078100
Telefax: 02 - 5833359
P.O. Box: 11700, Baniyas

Abu Dhabi Municipality – Al Wathba*
Telephone: 02 - 5831720
Telefax: 02 - 5831740
P.O. Box: 11700, Abu Dhabi

Bateen
Telephone: 02 - 6937775
Telefax: 02 - 6663925
P.O. Box: 7644, Abu Dhabi

Al Bateen - Abu Dhabi Municipality*
Telephone: 02 - 6112795
P.O. Box: 46175, Abu Dhabi

Between The Two Bridges
Telephone: 02 - 5589446
Telefax: 02 - 5589447
P.O. Box: 26380, Abu Dhabi

Corniche
Telephone: 02 - 6919777
Telefax: 02 - 6819122
P.O. Box: 3699, Bel-Ghailam Tower, Corniche Rd. Abu Dhabi

Bawabat Al Sharq Mall
Telephone: 02 - 5078150
Telefax: 02 - 5864356
P.O. Box: 149027, Abu Dhabi

Higher Colleges of Technology*
Telephone: 02 - 4456588
Telefax: 02 - 4456436
P.O. Box: 31818, Abu Dhabi

Khalifa Port*
Telephone: 02 - 5069311
Telefax: 02 - 5628099
P.O. Box: 76142, Al Taweela

Boutik Mall
Telephone: 02 - 6740159
Telefax: 02 - 6740135
P.O. Box: 33166
Abu Dhabi, Reem Island

Delma Island
Telephone: 02 - 8781240
Telefax: 02 - 8781331
P.O. Box: 50670, Delma, Abu Dhabi

Government Complex (TAMM, Delma)*
Telephone: 02 - 8945528
Telefax: 02 - 8945558
P.O. Box: 50670, TAMM Center,
Delma, Abu Dhabi

Das Island
Telephone: 02 - 8731099
Telefax: 02 - 8731448
P.O. Box: 46175, Abu Dhabi

Liwa
Telephone: 02 - 4105388
Telefax: 02 - 8822188
P.O. Box: 50419, Western Area, Abu Dhabi

Madinat Zayed
Telephone: 02 - 8945700
Telefax: 02 - 8846496
P.O. Box: 50019, Madinat Zayed, Abu Dhabi

Ghayathi
Telephone: 02 - 8744609
Telefax: 02 - 8744628
P.O. Box: 77729, Ghayathi Area, Abu Dhabi

Ghayathi TAMM*
Telephone: 02 - 8744712
Telefax: 02 - 8744713
P.O. Box: 77729, TAMM Building, Ghayathi Area, Abu Dhabi

Government Complex (TAMM, MZD)*
Telephone: 02 - 8989128
Telefax: 02 - 8846981
P.O. Box: 50019, Madinat Zayed, Abu Dhabi

Al Mirfaa
Telephone: 02 - 8836330
Telefax: 02 - 8836313
P.O. Box: 77110, Abu Dhabi

Paris Gallery
Telephone: 02 - 6651215
Telefax: 02 - 6650563
P.O. Box: 110818, Khalidiya Center, Abu Dhabi

Al Ruwais
Telephone: 02 - 8776343
Telefax: 02 - 8776453
P.O. Box: 11875, Al Ruwais, Abu Dhabi

Al Muroor
Telephone: 02 - 4485833
Telefax: 02 - 4484181
P.O. Box: 2712, Abu Dhabi

Mussafah
Telephone: 02 - 5029500
Telefax: 02 - 5559997
P.O. Box: 8351, Abu Dhabi

NPCC*
Telephone: 02 - 5549282
Telefax: 02 - 5549193
P.O. Box: 8351, Abu Dhabi

Petroleum Institute*
Telephone: 02 - 5075220
Telefax: 02 - 6075385
P.O. Box: 26380, Abu Dhabi

Etihad Airways
Telephone: 02 - 5562998
Telefax: 02 - 5562993
P.O. Box: 131770, Abu Dhabi

Mezyad Mall
Telephone: 02 - 5532922
Telefax: 02 - 5591251
P.O. Box: 8350, Abu Dhabi

Al Salam Street
Telephone: 02 - 4103900 / 02 - 6440051
Telefax: 02 - 6446050
P.O. Box: 7749, Abu Dhabi

Al Shahama
Telephone: 02 - 5632411
Telefax: 02 - 5633508
P.O. Box: 76142, Al Shahama, Abu Dhabi

New Al Shahama
Telephone: 02 - 5635695
Telefax: 02 - 5630806
P.O. Box: 77455, Al Shahama, Abu Dhabi

Shahama Municipality*
Telephone: 02 - 5631385
Telefax: 02 - 5631409
P.O. Box: 77455, Al Shahama, Abu Dhabi

Abu Dhabi National Exhibition Centre
Telephone: 02 - 4494996
Telefax: 02 - 4493788
P.O. Box: 94959, Abu Dhabi

Marina Mall
Telephone: 02 - 6816002
Telefax: 02 - 6816018
P.O. Box: 35835, Abu Dhabi

*Denotes cash offices

*Denotes cash offices

Branches - UAE

Mina Road
Telephone: 02 - 6507186
Telefax: 02 - 6507242
P.O. Box: 48089, Abu Dhabi

GHQ Officers Club
Telephone: 02 - 6112769
Telefax: 02 - 4416326
P.O. Box: 2993, Abu Dhabi

Madinat Zayed Tower
Telephone: 02 - 6355390
Telefax: 02 - 6355389
P.O. Box: 111699, Abu Dhabi

Al Etihad
Telephone: 02 - 4104953
Telefax: 02 - 6417812
P.O. Box: 31818, Abu Dhabi

Emirates Palace
Telephone: 02 - 6908900 / 6112777
Telefax: 02 - 6908908
P.O. Box: 40039, Abu Dhabi

Abu Dhabi Chamber of Commerce & Industry
Telephone: 02 - 6177460
P.O. Box: 662, Abu Dhabi

Al Sila'a
Telephone: 02 - 8721979
Telefax: 02 - 8721959
P.O. Box: 76900, Abu Dhabi

Al-Muroor Municipality*
Telephone: 02-4413169
Telefax: 02-4413152
P.O. Box: 2712, Abu Dhabi

Sila'a Municipality*
Telephone: 02-8724296
Telefax: 02-8724975
P.O. Box: 76900, Abu Dhabi

Liwa Municipality*
Telephone: 02-8820133
Telefax: 02-8820115
P.O. Box: 50419, Liwa, Abu Dhabi

Al Mirfa'a Municipality*
Telephone: 02-8836330
Telefax: 02-8832460
P.O. Box: 77110, Al Mirfa'a, Abu Dhabi

Dalma Mall
Telephone: 02-5512472
Telefax: 02-5512470
P.O. Box: 93200, Abu Dhabi

Masdar City Institute
Telephone: 02-5570401
Telefax: 02-5570421
P.O. Box: 93003, Khalifa City A, Abu Dhabi

Sky Park Plaza T3 -Abu Dhabi Airport*
Telephone: 02-5075402
Telefax: 02-5757593
P.O. Box: 5279, Abu Dhabi

Municipality Food Distribution Center-Mussafah*
Telephone: 02-5029501
Telefax: 02-5559997
P.O. Box 8351, Abu Dhabi

Mushrif Mall
Telephone: 02-4100300
Telefax: 02-6737095
P.O. Box 62545, Abu Dhabi

Khalifa City (A)
Telephone: 02-4100202
Telefax: 02-5577853
P.O. Box 145545, Abu Dhabi

Madinat Zayed Municipality*
Telephone: 02-8945720
Telefax: 02-8845021
P.O. Box 50019, Abu Dhabi

Department of Economic Development (Musaffah)*
Telephone: 02-4106257
Telefax: 02-5559997
P.O. Box 8351, Department Of Economic Development
Musaffah Area (INJAZAT Services)

Department of Economic Development (Abu Dhabi)*
Telephone: 02-4106251
Telefax: 02-6275738
P.O. Box 2993, Department of Economic Development Building

Media Zone Authority
Telephone: 02-6106120
Telefax: 02-4417521
P.O. Box 77789, Twofour54 Building, Abu Dhabi

Terminal (1) Transit area*
Telephone: 02-5075417
Telefax: 02-5757593
P.O. Box 5279, Abu Dhabi Int'l. Airport - Teminal (1) -
Transit Area, Abu Dhabi

Abu Dhabi Minicipality - Land Section
Telephone: 02-4103808
Telefax: 02-6722124
P.O. Box 46175, Abu Dhabi Municipality building

World Trade Center Mall
Telephone: 02-6321287
Telefax: 02-6323019
Central Market, WTC Mall

*Denotes cash offices

Al Ain

Al Ain Clock Tower
Telephone: 03 -7066500
Telefax: 03 - 7668150
P.O.Box: 1138, Al Ain

Al Ain New branch
Telephone: 03 - 7513246
Telefax: 03 - 7517911
P.O. Box: 17822, Al Ain

Emirates Cement Factory*
Telephone: 03 - 7224060
P.O. Box: 17822, Al Ain

Al Ain International Airport*
Telephone: 03 - 7855511
Telefax: 03 - 7855588
P.O. Box: 17822, Al Ain

Al Ain Defence*
Telephone: 03 - 7688824
Telefax: 03 - 7688879
P.O. Box: 17822, Al Ain

Al Sanaiya
Telephone: 03 - 7011111
Telefax: 03 - 7610875
P.O. Box: 19771, Al Ain

Sweihan
Telephone: 03 - 7346033
Telefax: 03 - 7347414
P.O. Box: 10033, Sweihan

Al Hayer
Telephone: 03 - 7321414
Telefax: 03 - 7322500
P.O. Box: 17087, Al Hayer, Al Ain

Al Hayer Municipality*
Telephone: 03 - 7322400
Telefax: 03 - 7322500
P.O. Box: 17087, Al Hayer, Al Ain

Al Maqam
Telephone: 03 - 7684009
Telefax: 03 - 7684451
P.O. Box: 85313, Al Maqam, Al Ain

Al Maqam Municipality*
Telephone: 03 - 7085308
Telefax: 03 - 7684451
P.O. Box: 85313, Al Maqam, Al Ain

Al Ain Mall
Telephone: 03 - 7519900
Telefax: 03 - 7513636
P.O. Box: 59212, Al Ain

Al Ain Civic Center
Telephone: 03 - 7625414
Telefax: 03 - 7624425
P.O. Box: 86777, Al Ain

Mezyad Municipality*
Telephone: 03 - 7085359
Telefax: 03 - 7668150
P.O. Box: 1138, Al Ain

Al Wagan Municipality*
Telephone: 03 - 7351886
Telefax: 03 - 7351451
P.O. Box: 21844, Al Ain

Al Quaa Municipality*
Telephone: 03-7066592
Telefax: 03-7356465

Al Remah – TAMM*
Telephone: 03-7371257
Telefax: 03-7371947
P.O. Box: 17822, Al Ain

Al Khaznah – TAMM*
Telephone: 02-5663134
Telefax: 02-5663573
P.O. Box: 17822, Al Ain

Al Yahar
Telephone: 03-7819220
Telefax: 03-7819351
P.O. Box: 200600, Al Ain

Department of Economic Development*
Telephone: 03-7011350
Al Ain Municipality, Al Ain

Ajman

Ajman
Telephone: 06 - 7013400
Telefax: 06 - 7425750
P.O. Box: 988, Ajman

Dubai

Dubai Main Branch
Telephone: 04 - 2131900
Telefax: 04 - 2504009
P.O. Box: 4436, Deira, Dubai

Dubai Side (Bur Dubai)
Telephone: 04 - 5098500
Telefax: 04 - 3583610
P.O. Box: 2372, Dubai

Jebel Ali
Telephone: 04 - 8116700
Telefax: 04 - 8870553
P.O. Box: 17177, Jebel Ali Area, Dubai

Sheikh Zayed Road
Telephone: 04 - 7071111
Telefax: 04 - 3861508
P.O. Box: 33317, Dubai

*Denotes cash offices

Branches - UAE

Al Qusais
Telephone: 04 - 7058500
Telefax: 04 - 2581613
P.O.Box: 48111, Dubai

Jumeirah
Telephone: 04 - 4050990
Telefax: 04 - 3499012
P.O.Box: 333314, Jumeriah, Area 1, Dubai

Mall of the Emirates
Telephone: 04 - 3413888
Telefax: 04 - 3413889
P.O. Box: 211875, Dubai

Dubai Health Care City
Telephone: 04 - 4245600
Telefax: 04 - 4298350
P.O. Box: 505115, Dubai

Dubai Mall
Telephone: 04 - 3398260
Telefax: 04 - 3398463
P.O. Box: 73700, Dubai

Hor Al Anz
Telephone: 04 - 2017900
Telefax: 04 - 2656186
P.O. Box: 4436, Dubai

Al Quoz
Telephone: 04 - 3397499
Telefax: 04 - 3397332
P.O. Box: 282227, Dubai

Al Muraqabat
Telephone: 04 - 2042400
Telefax: 04-2999537
P.O. Box: 4436, Dubai

Mirdif City Center
Telephone: 04 - 2316900
Telefax: 04 - 2840338
P.O. Box: 78941, Dubai

Meadows
Telephone: 04-4415251
Telefax: 04-4228507
P.O. Box 488084, Dubai

Dubai Marina (JBR)
Telephone: 04-4522793/4228607
Telefax: 04-4228608
P.O. Box 334511, Dubai

Motor City
Telephone: 04-4539518
Telefax: 04-4228617
P.O. Box 294818, Dubai

Deira City Center
Telephone: 04-2131950
Telefax: 04-2946711
P.O. Box: 182311
Inside Deira City Center Mall, Dubai

City Tower 2
Telephone: 04-3277754
Telefax: 04-3546785
P.O. Box: 63954, Sh. Zayed Road, Dubai

Fujairah

Fujairah
Telephone: 09 - 2222633
Telefax: 09 - 2227241
P.O. Box: 79, Fujairah

Dibba Al Hisn
Telephone: 09 - 2440677
Telefax: 09 - 2440622
P.O. Box: 144900, Fujairah

Dibba
Telephone: 09 - 2045111
Telefax: 09 - 2431188
P.O. Box: 11500, Fujairah

Qidfaa
Telephone: 09 - 2361000
Telefax: 09 - 2361001
P.O. Box: 12229, Fujairah

Khorfakkan
Telephone: 09 - 2088200
Telefax: 09 - 2383735
P.O. Box: 10092, Fujairah

Kalba
Telephone: 09 - 2772112
Telefax: 09 - 2772712
P.O. Box: 11979, Fujairah

Ras Al Khaimah

Al Nakheel
Telephone: 07 - 2056800
Telefax: 07 - 2281305
P.O. Box: 5744, Al Nakheel, Ras Al Khaimah

Ras Al Khaimah
Telephone: 07 - 2056666
Telefax: 07 - 2330950
P.O. Box: 350, Ras Al Khaimah

Sharjah

Al Bourj Avenue
Telephone: 06 - 5110666
Telefax: 06 - 5695511
P.O. Box: 20606, Sharjah

Sharjah
Telephone: 06 - 5170555
Telefax: 06 - 5721100
P.O. Box: 1109, Sharjah

Al Dhaid
Telephone: 06 - 8822929 / 8823789
Telefax: 06 - 8826006
P.O. Box: 13343, Al Dhaid, Sharjah

Al Madam
Telephone: 06 - 8861212
Telefax: 06 - 8861813
P.O. Box: 48100, Al Madam, Sharjah

Al Nahda
Telephone: 06 - 5308989
Telefax: 06 - 5308620
P.O. Box: 45493, Sharjah

Sharjah Industrial Area
Telephone: 06 - 5353530
Telefax: 06 - 5353113
P.O. Box: 33777, Sharjah

Umm Al Quwain

Umm Al Quwain
Telephone: 06 - 7069333
Telefax: 06 - 7649644
P.O.Box: 733, Umm Al Quwain

Branches - Overseas

Bahrain

Retail Banking Unit
Address: Building No. 2611, Road No.2833, Al Seef District 428
P. O. Box 5247 Manama -Kingdom of Bahrain
Telephone: + 973 17 560870
Fax: +973 17 583281
Swift: NBADBHBMBRA

Egypt

Regional Office Egypt
143 Banks Zone – Fifth Settlement – New Cairo
Cairo 11835 - Egypt
Tel: 00202 240 75000/240 75300/240 75330
Call Center: 19977, Fax: 00202 24075295

Main Branch
Address: 143 Banks Zone – Fifth Settlement – New Cairo
Telephone: +202 2400 5401/2400 5403/2400 5405
Fax: +202 24005410
Swift: NBADEGCAPSU

6th October Branch
Address: 52 H Al Mahwar Al Markazy-Banks District-
6th October City.
Telephone: +202 38328922/33
Fax: +202 38282928
Swift: NBADEGCAOCT

Dandy Mall Branch
Address: KM 28 Cairo-Alex. desert road
Unit no. (23) Dandy Mall, Giza.
Telephone: +202 35390386/35931867/35391897
Fax: +202 35391868
Swift: NBADEGCAOCT

Giza Branch (Elite banking unit)
Address: Nile Tower - 1st & 3rd Floor - 21 Charles De Gaulle Street, Giza.
Telephone: +202 24075149/38282940
Fax: +202 37475296
Swift: NBADEGCAPSU

Mohandessin Branch
Address: 35 Mohie El Din Abu El Ezz Street, Mohandessin, Giza.
Telephone: +202 38282941/45
Fax: +202 33365569
Swift: NBADEGCAMHD

Maadi Branch
Address: Crossing of Roads 151/152 - (near Horreya Sq.), Maadi, Cairo.
Telephone: +202 23596459/22359573
Fax: +202 23583887
Swift: NBADEGCAMAD&PSU

Maadi City Center Branch
Address: Unit No. 27, Maadi City Center, Ring Road, Medinat El Mirage 1435 - Katameya Road, Cairo
Telephone: +202 25204375/25204376/25204377
Fax: +202 25204378
Swift: NBADEGCAMAD

Maadi Ring Road Branch
Address: 21 A, block 6 , Mirag City – Maadi - Cairo
Telephone: +202 23106214
Fax: +202 223106212
Swift: NBADEGCAPSU

Talaat Harb Branch
Address: 22, Kasr El Nile Street, Talaat Harb Sq, Cairo.
Telephone: +202 23934196 / 53
Fax: +202 23931527/23914958/23936644
Swift: NBADEGCATHB

*Denotes cash offices

*Denotes cash offices

Branches - Overseas

El Choueifat Branch
Address: El Choueifat School - Main Gate,
Fifth Settlement (Kattameya), New Cairo
Telephone: +202 27683275
Fax: +202 27683281
Swift: NBADEGCACHF

Heliopolis Branch
Address: 13A Ramsis St., off Salah Salem Road, Heliopolis, Cairo.
Telephone: +202 26902657/24177631
Fax: +202 24177632
Swift: NBADEGCAHLP

AL Akkad Branch
Address: 36 Abbas Al Akkad St., Nasr City, Cairo.
Telephone: +202 22752356/24137867
Fax: +202 22752376
Swift: NBADEGCAAAKD

City Stars Branch
Address: Unit No. 148 - City Stars Mall, Nasr City, Cairo.
Telephone: +202 24137850
Fax: +202 24802183
Swift: NBADEGCAHLP

El Obour Branch
Address: Unit No. 1 and 2 – Golf City Club Wall,
El Obour City – El Qalubia.
Telephone: +202 24137866/24137855
Fax: +202 46104972
Swift: NBADEGCAOBR

El Hegaz Branch
Address: 50 Farid Semeika St.– El Hegaz Sq. –Heliopolis, Cairo.
Telephone: +202 24137880
Fax: +202 24137879
Swift: NBADEGCAHGZ

Shoubra Branch
Address: 21 Dawletyan St, Agha Khan Bldg., Shoubra Misr, Cairo
Telephone: +202 24137891/22007785
Fax: +202 24137894
Swift: NBADEGCASHB

Sporting Branch
Address: 243 Horreya Ave., Sporting, Alexandria.
Telephone: +203 4203401/02/03
Fax: +203 4203409
Swift: NBADEGCASPT

Alexandria City Center Branch
Address: City Centre Mall, Alexandria.
Telephone: +203 3970080/82/53/84
Fax: +203 3970081
Swift: NBADEGCAACC

Mansoura Branch
Address: 242 Al Geish St., P.O.Box: 350, Mansoura.
Telephone: +2050 2329971/72/73/74
Fax: +2050 2329980
Swift: NBADEGCAMNS

Salah Salem Branch
Address: 28, Salah Salem St., Alexandria.
Telephone: +203 4846302/4879903
Fax: +203 4847114
Swift: NBADEGCAALX

San Stefano Branch
Address: San Stefano Grand Plaza, Alexandria.
Telephone: +203 4690029
Fax: +203 4690028
Swift: NBADEGCASTF

Tanta Branch
Address: 22 El Geish St., Al Sarayah Tower -Tanta – Gharbia
Telephone: +2040 3385800 - 0105005823
Fax: +2040 3385811
Swift Code: NBADEGCATNT

Port Said Branch
Address: 4, Sultan Mahmoud & Tahr El Bahar St., ElSalam
Tower, Port Said.
Telephone: +2066 3384400
Fax: +2066 3235814
Swift: NBADEGCAPSD

Damietta Branch
Address: 173 Saad Zaghloul St., Damietta.
Telephone: +2057 392201
Fax: +2057 392222
Swift: NBADEGCADMT

Sharm El Sheikh Branch
Address: Golden Center, Unit No.19, Ground Floor
Al Salam St., Na'ama Bay,
Sharm El Sheikh, South Sinai.
Telephone: +2069 3621950
Fax: +2069 3601219
Swift: NBADEGCASHK

Al Kawthar Branch (Hurghada)
Address: Hurghada – Al Khawthar area, Banks compound,
Hurghada, Red Sea.
Telephone: +2065 3453451
Fax.: +2065 3453452
Swift NBADEGCAHUR

Senzo Mall Branch
Address: Unit No.1A Senzo Mall, South Magawish, Safaga
Road, Hurghada, Red Sea.
Telephone: +20 65 3412133
Fax: +20 65 3412130
Swift: NBADEGCASNZ

Luxor Branch
Address: Khaled Ibn Alwaleed St. Sonesta St. George Hotel, Luxor.
Telephone: +2095 2272171/712/618
Fax: +2095 2272521
Swift: NBADEGCALUX

Assiut Branch
Address: 32 A - El Gomhoria St. - Assiut, Upper Egypt.
Telephone: + 2088 2285396/97/98/99
Fax: +2088 2285394
Swift: NBADEGCAASU

*Denotes cash offices

Sharm El Sheik*
Address: Sanafir Hotel. Unit No. 2, Na'ama Bay,
Sharm El Sheikh, South Sinai.
Telephone: +2069 3602696
Fax: +2069 3602693
Swift: NBADEGCASHK

France

Paris Branch
Address: 10 rue Magellan – 75008 Paris
Telephone: +33 1 53230280
Fax: +33 1 47208160
Swift: NBADFRPPXXX

Kuwait

Kuwait Branch
Address: Al Bahar Tower, Ahmed Al Jaber Street,
Sharq, Kuwait
P. O. Box 2620, Safat, 13027, Kuwait
Telephone: +965 22904141
Fax: +965 22495196
Swift: NBADKWKW

Libya

Libya Rep Office
Address: Tripoli Tower I, 15th Floor, Office No.152 –
Tripoli, Libya
P. O. Box 259
Telephone: + 218 21 3362283
Fax: + 218 21 3362284

Oman

Oman Regional Office
Address: Commercial Business District (CBD), Building No. 320,
Way No. 4010, Block No. 140,
Sultanate of Oman
P.O. Box 303, Postal Code 100, Muscat, Sultanate of Oman
Telephone: + 968 24761000
Fax: + 968 24761010/+968 24761110
Swift: NBADOMRXXXX

Main Branch
Address: Commercial Business District (CBD),
Building No. 320, Way No. 4010, Block No. 140,
Sultanate of Oman
P.O. Box 303, Postal Code 100, Muscat,
Sultanate of Oman
Telephone: + 968 24761046/+968 24761047/+968 24761048/
+968 24761049
Fax: + 968 24798929
Swift: NBADOMRXXXX

Al Khoudh Branch
Address: Al Khoud Commercial Street, Building No. 356,
Sultanate of Oman
P.O. Box 1092, Postal Code 132, Al Khoud, Sultanate of Oman
Telephone: + 968 24533902/903/904/905/906/907/908
Fax: +968 24545904

AL Khuwair Branch
Address: Al Khuwair Ice Skating Building,
Next to Zawawi Mosque, Sultanate of Oman
P.O. Box 458, Postal Code 130, Al Khuwair, Sultanate of Oman
Telephone: +968 24476701/6702/6703/6704/6705
Fax: +968 24482329

Sohar Branch
Address: Al Waqaiba - Banks Area, Sultanate of Oman
P.O. Box 25, Postal Code 321, Al Tarif, Sultanate of Oman
Telephone: + 968 26851800/1801/1802/1803/1804/1805
Fax: + 968 26845644

AL Qurum Branch
Address: Al Qurum - ROP Parking Area, Sultanate of Oman
P.O. Box 988, Postal Code 116, Sultanate of Oman
Telephone: + 968 24662200/2201/2202/2203/2204/2205/2206
Fax: + 968 24563935

Salalah Branch
Address: Haffa House P.O. Box 2715 - P. C. 211 Central Salalah
Sultanate of Oman
Telephone: + 968 23207600/7601/7602/7603/7604/7605/7606
Fax: + 968 23207620

Nizwa Branch
Address: Opposite Firq Roundabout, Nizwa, Sultanate of Oman
P.O. Box 895, Postal Code 611, Sultanate of Oman
Telephone: + 968 25414700/4701/4702/4703/4704/4705/ 4706
Fax: + 968 25414720

Sur Branch
Address: On Main Commercial Road, Between Oman Housing
Bank and Sur Plaza Hotel, Sultanate of Oman
P.O. Box 421, Postal Code 411, Sur, Sultanate of Oman
Telephone: + 968 25563100/3101/3102/3103/3104/3105/3106
Fax: + 968 25563120

Al Buraimi Branch
Address: New Al Sa'ara, Al Burami,
Sultanate of Oman
P.O. Box 671, Postal Code 512, Al Burami,, Sultanate of Oman
Telephone: + 968 25658200/8201/8202/8203/8204/8205/8206/8207
Fax: + 968 25658220

Sudan

Sudan Regional Office
Address: Atbara Street - Al Taka Building
P.O. Box 12147 - Khartoum, Republic of Sudan.
Telephone: +249 183774204/+249 183787203 - 183787750
Fax: +249 183 774892

*Denotes cash offices

Branches – Overseas

Khartoum Branch
Address: Atbara Street -Al Taka Building
P.O. Box 2465 - Khartoum, Republic of Sudan.
Telephone: +249 183 778517
Fax: +249 183 792347
Swift: NBADSDKH

Khartoum North*
Address: P.O. Box 1138, Postal Code: 13311
(PREMISES OF "DAL FOOD INDUSTRIES"), Sinaat Street,
Khartoum North - Republic of Sudan
Telephone: +249 185 343833
Fax: + 249 185 343227

Amarat Branch
Address: Street 15, Block 9/10, Plot No.50/1 Hilal Sami Building,
P.O.Box 15141, Amarat Khartoum Republic of Sudan
Telephone: +249 183-569656/604/640
Fax: + 249 1 83-569625
Swift: NBADSDKH

Omdurman Branch
P.O. Box 2465 Khartoum – Sudan .Al Mourada Street, Shekkan
Building Block 4/1, Plot No. 617 Omdurman City – Khartoum
State - Republic of Sudan
Telephone: +249 187 569165
Fax: +249 187 569051
Swift: NBADSDKH

Jordan

Shmeisani Branch
Address: 10 Abdul Hameed Sharaf Street,
Al Shmeisani 941110, Amman 11194 – Jordan
Telephone: + 962 6 5002222
Fax: +962 6 5002220
Swift: NBADJOAM

Wadi Abdoun Branch
Address: Wadi Abdoun – Princess Basma Street
P.O.Box 941110 Amman 11194 - Jordan
Telephone: +962 6 5002222 Ext 2222
Fax: +962 6 5933763
Swift: NBADJOAM

Khalda Branch
Address: Zahret Khalda Complex
Wasfi Al Tal Street – Khalda
P.O.Box 941110 Amman 11194 - Jordan
Telephone: +962 6 5002222 Ext 3333
Fax: +962 6 5359988
Swift: NBADJOAM

Hong Kong

Hong Kong Branch
Address: 18/F, Nine Queen's Road Central,
Central, Hong Kong
Telephone: + 852 3413 4388
Fax: + 852 3413 4343
Swift: NBADHKHH

United Kingdom

London Branch
Address: One Knightsbridge, London, SW1X 7LY
Telephone: + 44 207 393 3600
Fax: +44 207 393 3636
Swift: NBADGB2L

China

Shanghai Rep Office
Address: Unit 2304, Shanghai IFC Phase II,
No.8, Century Avenue
Pudong District, Shanghai
200120 China
Tel : +86 21 6095 2388
Fax: +86 21 6095 2343

*Denotes cash offices

Subsidiaries

United States of America

Abu Dhabi International Bank N.V.
Telephone: +1 202 8427900
Telefax: +1 202 8427955
Swift: ADIBUS33
Address: 1430 K street, N.W., Suite 400,
Washington D.C. 20005, U.S.A.

Curacao

Abu Dhabi International Bank N.V.
Telephone: +599 94611299
Telefax: +599 94615392
Address: Kaya W.F.G. (Jombi) Mensing 36
P.O. Box: 3141
Curacao

Switzerland

NBAD Private Bank (Suisse) SA
Telephone: +41 22 7075000
Telefax: +41 22 7075010
Address: Quai de l'lle 5, P.O. Box: 5055,
CH-1211 Geneva 11, Switzerland

Jersey Channel Islands

NBAD Trust Company (Jersey) Limited
Telephone: +44 1534 609000
Telefax: +44 1534 6093333
Address: C/O Mourant Private Wealth,
22 Grenville Street, St. Helier, Jersey JE4 8PX,
P.O. Box: 87, Jersey, Channel Islands

Malaysia

National Bank of Abu Dhabi Malaysia Berhad
Tel: +603 2330 3800 (General)
Telefax: +603 2330 3801 (General)
SWIFT: NBADMYKL
Address: Level 28, Menara Maxis,
Kuala Lumpur City Centre,
50088 Kuala Lumpur

Hong Kong

Ample China Holding Limited
Telephone: +852 3413 4388
Telefax: +852 3413 4343
Address: 18/F, Nine Queen's Road Central
Hong Kong

France

SAS 10 Magellan
Tel: 33 1 53 23 02 80
Telefax: 33147208160
Swift : NBADFRPPXXX
Address: 10 rue Magellan, 75008 Paris

Brazil

National Bank of Abu Dhabi Representações Ltda
Tel: +55 11 33864420-
Address: Rua Iaia 77, cj 32
Itaim Bibi, São Paulo/SP
04542060-
City of São Paulo,
State of São Paulo, Brazil

Egypt

Abu Dhabi Brokerage Egypt
Tel: 0020223943901
Telefax: 002023928162
SWIFT: NBADEGCATHB
Address: 4B, Behlar Passage Of Talat Harb St., Down Town,
Cairo, Egypt

United Arab Emirates

Abu Dhabi National Leasing LLC
Telephone: +971 2 6112000
Telefax: +971 2 6269111
P.O. Box: 4
Address: One NBAD Tower,
Sheikh Khalifa Street, Abu Dhabi,
United Arab Emirates

Abu Dhabi National Islamic Finance Company
Telephone: +971 2 4104444
Telefax: +971 2 6222435
Address: P.O. Box 40057, Abu Dhabi,
United Arab Emirates

NBAD Securities LLC
Telephone: +971 2 6161600
Telefax: +971 2 6273285
P.O. Box: 28400, Abu Dhabi,
United Arab Emirates

Abu Dhabi National Properties PJC
Telephone: +971 2 6594888
Telefax: +971 2 6355382
P.O. Box: 3520
Address: Muroor Street, Opposite Madinat Zayed
Shopping Centre, Abu Dhabi,
United Arab Emirates

NBAD Investment Management (DIFC) Limited
Telephone: +971 4 7058520
Telefax: +971 4 7058521
P.O. Box: 506659
Address: Gate Village